
Child Care Policy, Regulation and Funding

A Multi-State Landscape Assessment for
True North Strategies
Child Development Schools, Inc.

August 3, 2026

Federal Environment and Eleven-State Operating Footprint

Contents

About This Report	4
Part I — The Federal Landscape	5
1.1 The 2026 CCDF Rescission	5
1.2 Federal Appropriations	7
1.3 CCDBG Reauthorization	9
1.4 Head Start	9
1.5 Federal Tax Provisions — The Employer Partnership Opportunity	10
1.6 Workforce, Labor and Immigration Policy	12
1.7 Other Federal Levers	13
1.8 Federal Decision-Makers	14
1.9 What Is Genuinely in Play, August 2026 to Mid-2027	15
Part II — Cross-State Comparison	17
2.1 The Operating Footprint	17
2.2 Licensing Ratios and Group Sizes	17
2.3 Subsidy Programs — Structure and Terms	19
2.4 Quality Rating Systems and the Rate Link	21
2.5 State Pre-K — The Mixed-Delivery Opportunity	23
2.6 The 2027 Legislative Calendar and Political Turnover	24
2.7 Minimum Wage — The Structural Margin Squeeze	27
2.8 Where Each State Is Heading	28
Part III — State Profiles	30
3.1 North Carolina — 77 centers	30
3.2 Georgia — 76 centers	35
3.3 Arizona — 30 centers	42
3.4 Texas — 23 centers	48
3.5 Florida — 16 centers	53
3.6 Arkansas — 14 centers	58
3.7 Oklahoma — 12 centers	64
3.8 Virginia — 7 centers	70
3.9 Alabama — 5 centers	76
3.10 Tennessee — 5 centers	81
3.11 Kentucky — 2 centers	87
Part IV — Cross-Cutting Themes	93
4.1 The federal floor is gone and the consequences are now local	93
4.2 The rate-staleness gap is the strongest available argument, and it is fully sourced	93
4.3 Mixed-delivery pre-K is where the money is, and it is unevenly harvested	94
4.4 Quality ratings have decoupled from money in three states, and the decision that follows is deliberate	95

4.5 The employer channel is the one clearly expanding revenue line	95
4.6 Zoning and siting is the unaddressed policy space — and three states have already opened the door	96
Part V — Monitoring Calendar	98
5.1 The next ninety days	98
5.2 October 2026 through March 2027	98
5.3 Standing items through 2027	99
Appendix — Confidence, Gaps and Method	101
A.1 Method	101
A.2 How to read the confidence marks	101
A.3 Consolidated open items, by priority	101
A.4 Independent verification pass	103
A.5 Three corrections to circulate internally	103

About This Report

This report assesses the child care policy, regulatory and funding environment across the eleven states in which Child Development Schools, Inc. operates, together with the federal framework that governs all of them. It is current as of August 3, 2026.

The report covers the company's full operating footprint as published by its brands: Childcare Network in ten states, Sunrise Preschools in Arizona and Georgia, and My Small Wonders in Texas and Oklahoma — approximately 267 centers serving more than 30,000 children.

Three structural facts organize everything that follows.

First, the federal floor beneath subsidy revenue was removed three weeks ago. On May 12, 2026, the Administration for Children and Families published *Restoring Flexibility in the Child Care and Development Fund* (91 FR 25796), effective July 13, 2026. It rescinded the four provider-facing mandates of the March 2024 CCDF rule: the seven percent family copayment cap, enrollment-based payment, prospective payment, and the grants-and-contracts requirement for underserved populations. States may retain any of these voluntarily. None is now required. Revenue predictability in the subsidy book has become an eleven-state monitoring problem rather than a single federal guarantee.

Second, every one of the eleven states enters a leadership transition or a new legislative term between November 2026 and March 2027. Nine of the eleven elect a governor on November 3, 2026, and in seven of those the incumbent is term-limited. Committee assignments reset in states beginning new two-year terms. Agency heads serving at gubernatorial pleasure are in play. The relationships that produced the last two years of favorable action — Georgia's child care tax credit package, Tennessee's red tape reduction act, Kentucky's omnibus — do not automatically survive the transition.

Third, the direction of travel diverges sharply by state. Four states expanded materially in the last twelve months. Four contracted materially. Three held flat. A single national strategy will not work; a state-by-state posture is now a business necessity rather than a refinement.

How to read this document

Part I sets out the federal framework. Part II provides cross-state comparison tables that permit direct portfolio-level analysis. Part III contains the eleven state profiles, ordered by center count. Part IV draws out the cross-cutting themes. Part V is a monitoring calendar for the next twelve months.

A note on sourcing and confidence

Every factual assertion in this report is drawn from a primary or authoritative source retrieved during research conducted on August 3, 2026 — state administrative codes, legislative bill records, enacted appropriations acts, agency policy manuals, the Federal Register, and statutory reports to legislatures. Nothing time-sensitive has been drawn from general knowledge.

Where a fact could not be verified from an accessible source, it is marked **[unconfirmed]** rather than estimated. These marks are deliberate. In a document intended to support operating and advocacy decisions, a flagged gap is more useful than a confident guess, and each flagged item in this report is closable with a targeted records request or telephone call. A consolidated list appears in the Appendix.

Part I — The Federal Landscape

1.1 The 2026 CCDF Rescission

This is the single most consequential development in the federal child care framework in a decade, and it runs in the opposite direction from the one the sector spent two years preparing for.

What the 2024 rule required

The March 2024 final rule, *Improving Child Care Access, Affordability, and Stability in the CCDF* (89 FR 15366, effective April 30, 2024), imposed four provider-facing mandates on state lead agencies:

Requirement	Provision
Family copayments capped at 7 percent of family income	45 CFR 98.45(l)(3)
Payment based on authorized enrollment rather than attendance	45 CFR 98.45(m)(2)
Prospective payment at the start of the service period	45 CFR 98.45(m)(1)
Grants and contracts for direct services to underserved populations	45 CFR 98.30(b)(1)

The rule also permitted states to pay the full published rate even where it exceeded a provider’s private-pay price — a margin provision of direct relevance to operators with below-market community pricing.

States demonstrated compliance through their FFY2025–2027 CCDF Plans, and states unable to comply could request temporary waivers. Waivers initially ran through August 1, 2026; in late August 2025 ACF extended the availability of additional waiver requests through August 1, 2028.

What the 2026 rule changed

Restoring Flexibility in the Child Care and Development Fund, RIN 0970-AD20, was proposed January 5, 2026, finalized May 12, 2026 at 91 FR 25796, and took effect **July 13, 2026**.

Policy	2024 rule	In effect since July 13, 2026
Family copayment	Hard cap at 7 percent of income	Cap rescinded. States set their own sliding scale; the only remaining test is that copays not be “a barrier to families.”
Payment basis	Enrollment-based required	Mandate eliminated. States may use enrollment, an 85 percent attendance threshold, a five-absences-per-month standard, or a justified alternative.
Payment timing	Prospective required	Mandate removed. States may pay prospectively or within 21 calendar days of invoice receipt.
Supply building	Grants and contracts required for underserved areas, infants and toddlers, children with disabilities	Requirement eliminated; retained as a state option.

Policy	2024 rule	In effect since July 13, 2026
Payment agreements	—	Retained , at redesignated 45 CFR 98.45(m)(4), with dispute resolution cross-referenced at (m)(6). Lead agencies must still ensure providers receive payment under a written payment agreement specifying rates, payment schedules, any fees charged to providers, and the dispute resolution process.

The rule preamble is explicit that lead agencies “continue to have the flexibility to implement the policies formerly required by the March 2024 final rule.” Nothing compels states to reverse course. Nothing prevents it either.

The rulemaking record tells the strategic story

ACF received 1,244 comments, of which 998 were unique. Of the 787 individual submissions, 276 came from child care providers. **The majority of unique comments opposed the rescissions. The majority of the seven state CCDF agencies that commented supported them.**

That split is the most useful single fact in this section. State administrators wanted the flexibility back. The pressure to unwind enrollment-based and prospective payment will therefore come from inside state agencies under fiscal stress, not from the political process — which means it will arrive through policy transmittals and state plan amendments rather than through legislation, with correspondingly less notice.

Baseline state adoption at the moment of rescission

Before July 13, 2026, roughly 31 states and the District of Columbia had capped copays at seven percent or below; approximately 25 to 29 lead agencies had adopted enrollment-based payment; 9 to 12 had adopted prospective payment; and about 10 states used grants and contracts.

Backsliding has already begun. Missouri has paused prospective payments. Washington has eliminated funding for enrollment-based payment initiatives. Neither is in the company’s footprint, but both are leading indicators, and both are fiscal-stress cases rather than ideological ones. **Prioritize monitoring by state fiscal condition, not political lean.**

Where the eleven states stand

State	Payment basis	Copay structure	Exposure to reversion
Alabama	Enrollment	Per-child, 2–5% of income; 7% waiver submitted	Moderate — enrollment basis is documented in the approved plan
Arkansas	Attendance, with generous absence allowance (40 days/yr)	Sliding; 7% multi-child cap still under consideration	High — funding cliff September 30, 2026
Arizona	Attendance (“15 minutes or more”)	Sliding, fee schedule effective Aug 1, 2025	Already attendance-based; downside is copay and quality-differential erosion
Florida	Attendance, in arrears	Exceeds 7%; providers may bill families above copay	Already the least favorable; the four ACF waivers expired August 1, 2026
Georgia	Attendance [unconfirmed]	Sliding, 0–7% by FPL band	High — the single most important open question in the Georgia file

State	Payment basis	Copay structure	Exposure to reversion
Kentucky	Enrollment (922 KAR 2:160 §17(1)(a))	Flat daily copay, \$0–\$25 max	Low — policy costs roughly \$20M/yr and is embedded in regulation
North Carolina	[unconfirmed] post-rescission	Up to 10% of gross income	High — stated legislative interest in “cost reductions without new funding”
Oklahoma	Attendance , copay-first	\$0–\$473/mo; provider collects copay before state pays	Already attendance-based; HB 4298 gap fee is the offsetting positive
Tennessee	[unconfirmed]	Universal 5% copay since Oct 1, 2025	Unknown — verify with TDHS Child Care Fiscal
Texas	Enrollment, prospective, biweekly since Dec 9, 2024	Sliding, 2% to 7% cap	Moderate — \$50M sunk in the transition argues for retention, but the Chapter 809 rule package is pending
Virginia	Attendance	5% cap (below the federal ceiling), \$5/mo at or below poverty	Already attendance-based; the 2026 funding-formula law is the offsetting positive

The portfolio read. Three states pay on enrollment (Alabama, Kentucky, Texas). Five pay on attendance (Arizona, Arkansas, Florida, Oklahoma, Virginia). Three are unconfirmed and should be resolved this month (Georgia, North Carolina, Tennessee) — and Georgia and North Carolina together account for 153 centers, 57 percent of the portfolio.

Immediate federal watch item

The May 2026 final rule states expressly that “forthcoming guidance will outline the process HHS will follow to terminate existing transitional and legislative waivers for rescinded requirements.” **That guidance has not issued as of August 3, 2026.** It determines whether states holding waivers through August 1, 2028 simply have them voided, and how quickly. It is the highest-value single federal document to monitor.

1.2 Federal Appropriations

FY2026 enacted

The FY2026 Labor-HHS-Education bill was signed **February 3, 2026** — House 217–214, Senate 71–29 — following a 43-day government shutdown that ended November 12, 2025 and a continuing resolution through January 30, 2026. Congress moved five individual full-year bills rather than a single omnibus.

Program	FY2025	FY2026 enacted	Change
CCDBG (discretionary)	\$8.746B	\$8.831B	+\$85M
Head Start / Early Head Start	\$12.272B	\$12.357B	+\$85M
Preschool Development Grants B-5	\$315M	\$315M	Level

Program	FY2025	FY2026 enacted	Change
CCAMPIS	\$75M	\$75M	Level (preserved against proposed elimination)

State-level CCDBG increases ranged from roughly \$92,600 (Wyoming) to \$9.6 million (Texas). CLASP calculates the increase falls more than \$160 million short of holding current caseload harmless.

Adding the mandatory **Child Care Entitlement to States at \$3.55 billion per year**, total CCDF funding for FY2026 is approximately **\$12.38 billion**.

FY2027 — the live fight

Program	FY2026 enacted	President's request (April 2026)	House full committee (June 9, 2026)	Senate
CCDBG	\$8.831B	\$8.831B (flat)	\$8.841B (+\$10M)	Not released
Head Start	\$12.357B	\$12.357B (flat)	\$12.367B (+\$10M)	Not released
PDG B-5	\$315M	Eliminated	Eliminated	Not released
CCAMPIS	\$75M	Eliminated	\$75M (retained)	Not released

The House Labor-HHS subcommittee marked up June 5 and the full committee June 9, 2026. The Senate bill had not been released as of mid-June and its status as of this writing is **[unconfirmed]**.

Preschool Development Grants B-5 is the one line where the House and the White House agree on elimination. It is the most likely early childhood program to be zeroed out in FY2027, and the Senate is the only defense. Two states in the footprint hold current PDG B-5 awards: Arizona (\$8.4 million, of which roughly \$500,000 expands Quality First access) and Alabama (\$3.8 million, announced January 21, 2026). Arkansas holds an award of approximately \$14.75 million, with the award date reported inconsistently across sources.

A continuing resolution into the lame duck is the base case. The House Appropriations Committee posted an item titled “Continuing Appropriations Act, 2027” on July 17, 2026 — contents and status **[unconfirmed]**, but its existence in mid-July signals early CR planning against a September 30, 2026 deadline and a November election.

The TANF transfer lever

States may transfer up to 30 percent of their TANF block grant to CCDF. In FY2024 states transferred only 3.7 percent — approximately \$1.38 billion nationally.

ACF has issued an information memorandum, ACF-OFA-IM-26-01, *Using TANF to Support Child Care and At-Home Parental Caregivers*, encouraging states to transfer the maximum. The full text could not be retrieved and its precise contents are **[unconfirmed]**.

This matters practically. **The TANF transfer is now an explicitly federally-encouraged, entirely state-discretionary decision that can expand subsidy dollars without a new appropriation.** Texas has already used unspent TANF for its \$100 million child care scholarship expansion in 2025. Tennessee’s Public Chapter 1023 (2026) now requires annual public reporting of TANF and CCDF balances — creating a recurring, official number for advocates to campaign on. In every state in the footprint this is a low-visibility ask with a real fiscal path.

1.3 CCDBG Reauthorization

The CCDBG Act was last reauthorized in 2014. Two live vehicles exist in the 119th Congress:

	S. 2828	H.R. 9224
Title	Child Care Modernization Act of 2025	Child Care Modernization Act of 2026
Sponsor	Sen. Deb Fischer (R-NE)	Rep. Ryan Mackenzie (R-PA-7)
Introduced	September 17, 2025	June 9, 2026
Original cosponsors	Gillibrand (D-NY), Collins (R-ME) , Hickenlooper (D-CO)	McDonald Rivet (D-MI), Hinson (R-IA), Lee (D-NV)
Later cosponsors	Kelly (D-AZ) 6/11/26; Britt (R-AL) 6/16/26	Fitzpatrick (R-PA) 7/2/26; Carbajal (D-CA) 7/2/26; Lofgren (D-CA) 7/20/26
Committee	Senate HELP	House Education & Workforce; Financial Services
Status	Hearings held March 19, 2026 ; no markup	Referred; no markup

The provision that matters most to a large center operator is the shift in rate-setting from an “equal access” standard to a cost-estimation model. States would be required to compute the actual cost of delivering care, including educator wages, benefits and operating costs, rather than surveying market prices. Market-price surveys systematically anchor to what a depressed market will bear; cost models anchor to what care costs to provide. Across a 267-center portfolio this provision is worth more than any appropriations increase currently on the table.

The bills also carry facility construction and renovation grants, reduced administrative burden on subsidy-participating providers, a strengthened requirement that states consult **providers** — not only parents — in developing CCDF plans, and support for mixed-delivery models.

Sen. Susan Collins is simultaneously Chair of Senate Appropriations and an original cosponsor of S. 2828. That is the highest-leverage single relationship in the federal child care landscape at present. Sen. Katie Britt, who joined in June 2026, represents a state in the footprint and has her own bipartisan child care package history with Sen. Tim Kaine.

A HELP Committee markup before the November election would be the signal that reauthorization is real.

1.4 Head Start

Funding

FY2026 enacted: **\$12.357 billion**, an increase of \$85 million, roughly 0.7 percent. The Senate FY2026 mark had contained a 0.6 percent cost-of-living adjustment worth \$77 million plus \$8 million to extend the Tribal Colleges and Universities Head Start Partnership Program; **the COLA percentage in the enacted bill is [unconfirmed]**. The FY2026 process included widely reported rumors of Head Start elimination; Congress increased the program instead.

The FY2027 restructuring proposal

The April 2026 President’s Budget requests flat funding but proposes **allowing state child care licensing standards to substitute for the Head Start Program Performance Standards**, on the argument that this would “allow the program to serve more children with the same level of funding.”

The strategic implication cuts both ways for a private operator. Replacing HSPPS with state licensing standards narrows the cost differential between a Head Start slot and a licensed private slot. That reduces the regulatory moat around Head Start grantees and makes partnership and delegate arrangements cheaper to operate — but it also makes Head Start grantees more directly cost-competitive with private centers. In states with permissive ratios (Georgia at 1:18 for four-year-olds, Texas at 1:18, Arizona at 1:15, Alabama at 1:18) the effect would be largest.

The 2024 performance standards rule and its proposed rescission

Supporting the Head Start Workforce and Consistent Quality Programming (August 21, 2024, RIN 0970-AC63) set two compliance dates:

- **§1302.90(e) — wages: compliance by August 1, 2031.** Pay scales for all staff; education-staff wage comparability with public preschool teachers or 90 percent of public kindergarten teacher pay; salaries sufficient to cover basic living costs; wage comparability across preschool and Early Head Start programs.
- **§1302.90(f) — benefits: compliance by August 1, 2028.** Health coverage for full-time staff, paid leave, behavioral health access, facilitation of child care subsidies and loan forgiveness.

On May 12, 2026 — the same day as the CCDF rescission — ACF published a **notice of proposed rulemaking**, *Restoring Flexibility To Support Head Start Program Access* (91 FR 25842, RIN 0970-AD21), proposing to remove both subsections entirely. ACF’s rationale is that the requirements exceed statutory authority under 42 U.S.C. §9848 and would, absent new appropriations, force the elimination of approximately 106,000 funded slots. The estimated effect is roughly \$2.1 billion in avoided future expenditures.

Comments closed June 11, 2026. No final rule has published as of August 3, 2026 — confirmed by a Federal Register query of all Head Start documents published on or after May 13, 2026. Until a final rule issues, the 2028 and 2031 deadlines remain technically on the books. A final rule within two to six months is the reasonable expectation, and litigation risk on it is nontrivial given the volume of opposing comment.

For a private operator, the wage-parity mandate at §1302.90(e) was the mechanism that would have forced compensation upward at Early Head Start–Child Care Partnership sites. Its rescission removes that cost pressure from partnership arrangements — favourable to partnership economics, but it also removes a wage floor that would have compressed the competitive labor disadvantage private centers face against public pre-K.

1.5 Federal Tax Provisions — The Employer Partnership Opportunity

All three relevant provisions were amended by the 2025 reconciliation law enacted July 4, 2025. **This is the strongest federal tailwind for an employer-partnership business line in two decades**, and unlike appropriations it is already law.

Section 45F — Employer-Provided Child Care Credit

	Prior law	Tax years beginning after Dec 31, 2025
Credit rate, general	25% of qualified expenditures	40%
Credit rate, eligible small business	25%	50%
Resource and referral rate	10%	10%
Annual cap, general	\$150,000	\$500,000 , inflation-indexed
Annual cap, small business	\$150,000	\$600,000 , inflation-indexed
Small business threshold	—	Gross receipts under approximately \$32M
Pooled or jointly owned facilities	Not permitted	A qualified facility may be jointly owned or operated by the taxpayer and other persons

Qualifying expenditures include facility construction and renovation, operating expenses, **third-party provider contracts**, and resource and referral fees, applied to up to \$1.2 million of qualified operations expenditures and \$1.5 million of qualifying resource and referral expenditures. Eligible entities include S corporations, C corporations, partnerships, LLCs and sole proprietors. Nonprofits and government entities are ineligible. Where the provider is primarily child-care focused, at least 30 percent of enrollees must be dependents of the contracting employer's employees.

The pooled and joint-ownership change is the structural unlock. Before 2026, a shared on-site or near-site center serving a consortium of mid-size employers in one office park or hospital campus did not qualify. It now does, with each employer claiming its allocable share of a 40 to 50 percent credit up to \$500,000 or \$600,000.

Treasury and IRS guidance implementing the amendments — particularly the **allocation methodology among joint venturers** and substantiation requirements — could not be located and is **[unconfirmed]**. Until it issues, pooled employer structures carry real structuring risk and should not be papered without tax counsel.

Child and Dependent Care Tax Credit (IRC §21)

The maximum applicable percentage rises from 35 to 50 percent, with the phase-down restructured to deliver a roughly 15-percentage-point increase across most income ranges and a 20 percent floor above approximately \$103,000 AGI (\$206,000 joint). Eligible expense caps are unchanged at \$3,000 for one dependent and \$6,000 for two or more, and are not inflation-indexed. **Effective tax year 2026** — though one credible source places the change in tax year 2025 with a different phase-down floor, and the discrepancy should be resolved with tax counsel before use in family-facing tuition communications.

Dependent Care Assistance Program (IRC §129)

The annual exclusion rises from \$5,000 to \$7,500 (\$2,500 to \$3,750 married filing separately), effective January 1, 2026. **This is the first increase since 1986.** It is not indexed.

Stacking with state programs

Several states in the footprint offer state-level employer incentives that stack with federal §45F:

- **Georgia** — O.C.G.A. §48-7-40.6 provides a credit for **75 percent of employer operating cost** and **100 percent of qualified child care property** claimed at 10 percent per year over ten years, each capped at 50 percent of Georgia

income tax liability. HB 136 (2025) adds a separate \$1,000-first-year / \$500-annually per-child employer credit against a \$20 million statewide cap. Georgia is the strongest state-plus-federal stack in the portfolio.

- **Alabama** — the employer credit covers 100 percent of eligible expenses for employers under 25 employees and 75 percent above, capped at \$600,000 per employer, against statewide caps rising to \$20 million in 2027.
- **Kentucky** — the Employee Child Care Assistance Partnership is a **cash matching grant rather than a credit**, paid directly to the provider, and stacks with \$45F. The state match is expressly not taxable compensation to the employee.
- **Virginia** — the Employee Child Care Assistance Program, enacted May 27, 2026, provides a state match for employer contributions with priority to small businesses, funded at \$25 million in the FY2027–28 biennium.
- **Florida** — a corporate/multi-tax credit administered by the Department of Revenue covers employer payments to a facility on behalf of an employee, on a first-come, first-served basis until the cap is reached. The annual cap figure is **[unconfirmed]**.
- **Texas, Arizona, Arkansas, North Carolina, Oklahoma, Tennessee** — no state employer child care credit currently in force. Arkansas has narrower existing provisions (a 3.9-percent-of-salary credit and a sales tax refund on construction materials for employer-sponsored facilities); Oklahoma’s HB 1848 and Arkansas’s HB 1019 and HB 1435 all failed in 2025 and are expected to return.

A widely circulated commercial vendor site markets a Tennessee “HB 1163” employer credit and an Arkansas “Act 1435” credit. Neither exists. The Tennessee Department of Revenue’s published franchise and excise credit list contains no child care credit, and Arkansas HB1435 died in House committee at sine die on May 5, 2025 and was never assigned an act number. If anyone in the organization has modeled either, it should be flagged.

1.6 Workforce, Labor and Immigration Policy

Overtime

The 2024 Department of Labor overtime rule was vacated, and **DOL’s current published guidance reflects the pre-2024 thresholds: \$684 per week (\$35,568 per year) for the executive, administrative and professional exemption, and \$107,432 for highly compensated employees.** A Federal Register query returns no DOL rulemaking on the EAP exemption after April 2024.

Practically: assistant directors and center directors classified as exempt at salaries between \$35,568 and \$58,656 are not currently at federal risk. No new rulemaking is published or pending.

Federal contractor wage floor

Executive Order 14026, the federal contractor minimum wage, was revoked March 14, 2025 by Executive Order 14236. DOL is no longer enforcing it or 29 CFR part 23 and is moving to rescind the regulations. This bears directly on any federal contracting, including Department of Defense child care fee-assistance arrangements.

The federal statutory minimum wage remains unchanged.

Immigration enforcement and the workforce

Approximately **20 percent of the early care and education workforce is immigrant**. CLASP research conducted June through December 2025 — 56 immigrant parents, 74 children under six, and interviews with 67 early educators across seven states including Georgia and Texas — documents significant enrollment declines driven by family fear, including in Head Start.

Two regulatory actions bear on this directly:

- **HHS reinterpreted “federal public benefit” under PRWORA** (90 FR 31232, July 14, 2025, effective immediately), adding Head Start to the list of federal public benefits. **CCDF was already designated in the 1998 notice and remains designated**. Parallel notices issued from the Department of Education (July 11, 2025), the Department of Justice (July 16, 2025) and HUD (November 26, 2025).
- CLASP reports that the ACLU of Washington obtained preliminary injunctive relief halting implementation of the eligibility restrictions. **Case name, court, docket number and current scope are [unconfirmed]**.

DHS separately published a final rule rescinding the 2022 public charge regulations on July 20, 2026, and a final rule establishing fixed periods of admission for academic students and exchange visitors on July 17, 2026.

Operationally: in centers with high immigrant-family census, budget for enrollment volatility that is neither price- nor capacity-driven. In centers with high immigrant staffing, I-9 and E-Verify hygiene and a documented enforcement-response protocol are now a material operating risk control rather than a compliance formality.

Background checks

Federal requirements sit at 45 CFR §98.43 and CCDBG Act §658H — eight components comprising three in-state checks, two national checks and three interstate checks, applying to any staff member employed for compensation, including contract employees, whose activities involve care or supervision of children or who has unsupervised access. **No federal changes were made in 2025 or 2026;** the 2026 CCDF rule did not address them.

State-level changes did occur and are covered in the state profiles. Texas’s SEMARC multi-agency search engine, adopted July 17, 2026, is the most operationally significant.

1.7 Other Federal Levers

Child and Adult Care Food Program

Current rates are published at 91 FR 46894 (July 27, 2026), effective **July 1, 2026 through June 30, 2027**:

Meal, centers, contiguous states	Free	Reduced	Paid
Breakfast	\$2.54 (+\$0.08)	\$2.24	\$0.42
Lunch / supper	\$4.76 (+\$0.16)	\$4.36	\$0.45
Snack	\$1.30 (+\$0.04)	\$0.65	\$0.12

Free lunch and supper rose 3.5 percent year over year — meaningfully faster than the 0.7 to 1.0 percent growth in CCDBG and Head Start. Rates are CPI-adjusted annually each July by statute. CACFP participation optimization is one of the few federal revenue levers currently outpacing food inflation, and across 267 centers the arithmetic is not trivial.

Department of Defense fee assistance

MilitaryChildCare.com is the central portal. **Military Child Care in Your Neighborhood** is the fee-assistance program for families who cannot access installation care, administered by Child Care Aware of America, with an expanded **MCCYN-PLUS** operating through partnerships with the Department of War. Referral logic prioritizes installation-based care where families live within roughly thirty minutes of a base.

MCCYN-PLUS reportedly allows **state QRIS ratings as an alternative to national accreditation** for provider eligibility. That is the key question for a multi-site operator near installations and it is **[unconfirmed]**; confirm directly with the CCAoA fee assistance team.

The footprint is heavily concentrated near installations — Fort Moore and Columbus, Georgia; Fort Liberty and Fayetteville, North Carolina; the Camp Lejeune area including Jacksonville, Hubert, Sneads Ferry and Swansboro; Havelock and Cherry Point; Hinesville and Fort Stewart; Pensacola, Fort Walton Beach, Crestview and Valparaiso, Florida; Warner Robins, Georgia. Congress appropriated **\$100 million for military family child care assistance** in the 2025 reconciliation law.

Note also that several states exempt military-operated or DoD-certified programs from state licensing — Texas (HB 4529, 2025), North Carolina (SL 2025-36), Tennessee (HB 1663, 2026), Florida (CS/SB 738, 2025). This is a small competitive consideration near bases.

The ARPA cliff, three years on

ARPA child care funds are fully expired. What matters now is not the cliff itself but its aftermath: **the state backfills are what is currently under pressure**. Missouri’s pause on prospective payment and Washington’s elimination of enrollment-based payment funding are the leading indicators of state fiscal retrenchment reaching reimbursement terms. Within the footprint, Arkansas’s sustainability package expiring September 30, 2026 and Oklahoma’s July 1, 2026 eligibility reduction are the same phenomenon.

1.8 Federal Decision-Makers

Executive branch

Role	Person
Secretary, HHS	Robert F. Kennedy, Jr.
Assistant Secretary, Administration for Children and Families	Alex J. Adams, PharmD, MPH
Acting Director, Office of Child Care	Anne-Marie Twohie
Director, Office of Head Start	[unconfirmed]

The Office of Child Care is led by an acting director. Where the permanent position is vacant, policy initiative sits with the Assistant Secretary’s office and OMB rather than with career OCC staff. **Direct engagement should be pitched at the Assistant Secretary level.**

Congress

Committee	Chair	Ranking Member
Senate HELP	Bill Cassidy, M.D. (R-LA)	Bernie Sanders (I-VT)
House Education & Workforce	Tim Walberg (R-MI)	[unconfirmed]
Senate Appropriations	Susan Collins (R-ME)	Patty Murray (D-WA)
Senate Labor-HHS Subcommittee	Shelley Moore Capito (R-WV)	Tammy Baldwin (D-WI)
House Appropriations	Tom Cole (R-OK)	Rosa DeLauro (D-CT)
House Labor-HHS Subcommittee	Robert Aderholt (R-AL)	Rosa DeLauro (D-CT)

Two members of this table represent states in the footprint: Rep. Aderholt of Alabama chairs the House Labor-HHS subcommittee, and Rep. Cole of Oklahoma chairs full committee.

1.9 What Is Genuinely in Play, August 2026 to Mid-2027

Near term, high probability

1. **FY2027 appropriations against a September 30, 2026 deadline.** A continuing resolution into the lame duck is the base case. The live fight is PDG B-5 elimination — where the House and White House are aligned and the Senate is the only defense — and whether CCDBG and Head Start receive anything above \$10 million.
2. **ACF guidance terminating CCDF transitional waivers.** Expressly promised in the May 2026 final rule and not yet issued. **The highest-value single item to monitor.**
3. **The Head Start wage and benefits rescission final rule.** Comments closed June 11, 2026; no final rule as of August 3, 2026.

Medium term

1. **CCDBG reauthorization.** Bipartisan, bicameral, with an appropriations chair as cosponsor and a hearing held. The cost-estimation rate-setting provision is the one worth lobbying.
2. **Treasury and IRS guidance on the §45F amendments,** particularly allocation methodology for pooled facilities.
3. **The Britt-Kaine Child Care Workforce Act,** whose competitive wage-supplement grant program to states is the remaining unenacted piece with the most direct effect on labor cost structure. The 119th Congress bill number is [unconfirmed].

The election-year window

Every current signal indicates child care is being positioned as an **affordability** issue by both parties heading into the November 2026 midterms. The First Five Years Fund's July 2026 national polling frames child care as a key driver of national affordability challenges; NCSL published a bipartisan framework from thirteen state legislators of both parties on July 30, 2026; FFYF issued an August recess advocacy toolkit the same day.

The August 2026 congressional recess is the engagement window. Members are home, the toolkit infrastructure exists, center visits are the standard play, and there are 267 centers across eleven states — including in the districts of the House Labor-HHS subcommittee chair (Alabama) and the House Appropriations chair (Oklahoma).

Into 2027

1. **The FFY2028–2030 CCDF State Plans**, likely due around July 1, 2027 and effective October 1, 2027 (**timing [unconfirmed]** — ACF has not published the preprint). This is the formal state-level comment and influence window on payment practices, rate-setting and copay policy in **all eleven states simultaneously**. It is the mechanism by which the 2026 federal rollback either does or does not become permanent state policy. Planning for state plan engagement should begin in the fourth quarter of 2026.
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Part II — Cross-State Comparison

2.1 The Operating Footprint

Center counts below are the figures published on each brand's own locator as of August 3, 2026.

State	Childcare Network	Sunrise Preschools	My Small Wonders		Share
North Carolina	77	—	—	77	28.8%
Georgia	75	1	—	76	28.5%
Arizona	—	30	—	30	11.2%
Texas	21	—	2	23	8.6%
Florida	16	—	—	16	6.0%
Arkansas	14	—	—	14	5.2%
Oklahoma	11	—	1	12	4.5%
Virginia	7	—	—	7	2.6%
Alabama	5	—	—	5	1.9%
Tennessee	5	—	—	5	1.9%
Kentucky	2	—	—	2	0.7%
Total	233	31	3	267	

Two observations shape the whole report.

North Carolina and Georgia together are 153 centers — 57 percent of the portfolio. Any policy development in either state has more portfolio impact than everything happening in the seven smallest states combined. Both are among the three states where the post-rescission subsidy payment basis is currently unconfirmed.

The next tier — Arizona, Texas, Florida, Arkansas, Oklahoma — is 95 centers, 36 percent. Arizona is a single-metro concentration (Phoenix) under one licensing regime but eight to twelve municipal zoning regimes. Texas and Florida are large-state footholds rather than dominant positions.

Public figures conflict modestly. The corporate site states “more than 260 centers”; the Early Care and Education Consortium describes “over 270 schools in 11 states”; the brand locators total 267. Childcare Network’s state pages sum to 233 against a stated root-page total of 234. Treat 260 to 272 as the honest range.

2.2 Licensing Ratios and Group Sizes

Ratios drive labor cost more directly than any other regulatory variable. The table below is ordered from most to least permissive at age four.

State	Infant	1 yr	2 yr	3 yr	4 yr	5 yr	School age	Group size caps
Georgia	1:6	1:8	1:10	1:15	1:18	1:20	1:25	Yes — 12/16/20/30/36/40/50
Texas	1:4	1:5 (12–17mo), 1:9 (18–23mo)	1:11	1:15	1:18	1:22	1:26	[unconfirmed]
Alabama	1:5	1:7	1:8	1:11 (2.5–4 yr)	1:18	1:18	1:21–22	None published
Arkansas	1:5	1:8	1:12 (2.5–3 yr)	1:12	1:15	1:18	1:18	Yes — 2× the ratio
Arizona	1:5	1:6	1:8	1:13	1:15	1:20	1:20	None — youngest child sets ratio
Tennessee	1:4	1:6	1:7	1:9	1:13	1:16	1:20	Yes — 8/12/14/16/18/20
Kentucky	1:5	1:6	1:10	1:12	1:14	1:15	1:20–25	Yes (Type I only) — 10/12/20/24/28/30
North Carolina	1:5	1:6	1:10	1:15	1:20	1:25	1:25	Yes — 10/12/20/25/25/25
Florida	1:4	1:6	1:11	1:15	1:20	1:25	1:25	None — square footage governs
Oklahoma	1:4	1:5	1:5	1:10	1:10	1:10	—	[unconfirmed]
Virginia	1:4	1:5 (16–24mo)	1:8	1:10	1:10	1:10	1:18–20	Only school-age (max 100)

Reading the table.

North Carolina and Florida both permit 1:20 for four-year-olds, but North Carolina caps the group at 25 while **Florida imposes no group-size cap at all** — capacity in Florida is governed by square footage plus ratio. Combined with Florida's second-place national ranking on pre-K access and only four of ten NIEER quality benchmarks, this makes Florida the most revenue-per-square-foot-flexible state in the portfolio.

Arizona likewise imposes no hard group-size cap. The binding constraint is the mixed-age rule: the age of the youngest child in the group sets the ratio for the whole group. That is an operational scheduling problem, not a capacity ceiling.

Georgia's 1:15 at age three and 1:18 at age four are among the most permissive in the country, and Georgia is 28.5 percent of the portfolio. This is a material and under-appreciated margin position. It is also a standing target: Georgia's own state pre-K program runs at 1:10 with a maximum class size of 20, and every advocacy organization in the state can point at the gap.

Virginia and Oklahoma are the tightest. Virginia's 1:10 for three-, four- and five-year-olds is a genuine cost disadvantage relative to the Southeast, partially offset by the loosened school-age ratio under the new licensing chapter. Oklahoma's ratios are drawn from a secondary source and should be verified against Appendix GG before any staffing model relies on them.

North Carolina's 2025 regulatory reform raised group sizes while leaving ratios untouched — a deliberate framing choice by sponsors to blunt safety objections, and a template other states are likely to copy.

Where ratio change is a live risk

State	Risk	Direction
Virginia	8VAC20-781 replaces 8VAC20-780; core ratios unchanged, school-age loosened to 1:20 with max group 100	Favourable , but a full rewrite with many new compliance items
Oklahoma	HB 4298 requires OKDHS to loosen master teacher ratios; rulemaking pending	Favourable — comment now
North Carolina	SL 2025-36 already raised group sizes; lead teacher may supervise two groups	Favourable — largely done
Arkansas	United WE / OEP licensing reform package likely in 2027; permissive ratios are a plausible counter-target	Watch
Georgia	No pending rule package; DECAL's last amendment was June 2025	Stable

2.3 Subsidy Programs — Structure and Terms

State	Program	Lead agency	Rate methodology	Entry eligibility	Payment basis
North Carolina	Subsidized Child Care Assistance	DHHS / DCDEE	75th percentile of county market (2023 study) + statewide floor from Oct 1, 2026	200% FPL (0–5); 133% FPL (5–12)	[unconfirmed]
Georgia	CAPS	DECAL	60th percentile , 2024 Care Solutions analysis; new cost survey in progress	30% SMI — the lowest initial threshold in the country	Attendance [unconfirmed]
Arizona	Child Care Assistance	DES	75th pct (infants) / 50th pct (all other ages) of the 2022 survey	165% FPL	Attendance — paid at 15 minutes
Texas	Child Care Services	TWC + 28 local boards	Higher of 75th percentile of the 2025 survey or the Cost of Quality baseline	85% SMI	Enrollment, prospective, biweekly
Florida	School Readiness	DOE / Division of Early Learning via 30 coalitions	Narrow cost analysis; rates below the 75th percentile	55% SMI (HB 1255, 2025)	Attendance, in arrears
Arkansas	School Readiness Assistance	DESE / Office of Early Childhood	75th percentile, statewide, higher in Benton and Washington counties	Sliding by SMI; 30 hrs/week work requirement	Attendance with 40-day annual absence allowance
Oklahoma	Child Care Subsidy	OKDHS	Rates unchanged since January 1, 2023	Reduced from 85% to 55% SMI on July 1, 2026	Attendance, copay-first

State	Program	Lead agency	Rate methodology	Entry eligibility	Payment basis
Virginia	Child Care Subsidy Program	VDOE (lead) / VDSS (operations)	Cost estimation model — rates unchanged since October 2022	85% SMI, local entry thresholds	Attendance
Alabama	Child Care Subsidy	DHR via 4 management agencies	70th percentile of the 2017 survey; schedule posted April 1, 2022	60% SMI / 180% FPL	Enrollment
Tennessee	Child Care Certificate	TDHS	60th percentile of market price	85% SMI	[unconfirmed]
Kentucky	CCAP	CHFS / DCBS / Division of Child Care	80th percentile of market rate survey; cost model mandated for FFY2028–2030	85% SMI	Enrollment

The rate staleness problem

This is the clearest cross-portfolio finding in the report.

State	Rate basis vintage	Years stale
Alabama	2017 survey, schedule dated April 1, 2022	9 years
Oklahoma	Schedule effective January 1, 2023	3.5 years
Virginia	Cost model rates effective October 2022	3.8 years
North Carolina	2023 market rate study	3 years (floor arriving Oct 2026)
Arizona	2022 survey; a 2024 survey exists and is unused	4 years
Georgia	2024 analysis of 2023 administrative data	2 years (new study underway)
Texas	2025 survey, effective October 1, 2025	Current
Arkansas	Restructured October–November 2025	Current
Tennessee	New table effective January 1, 2026	Current
Kentucky	Increased July 2021	5 years
Florida	Annual legislative adoption; 2024–25 survey	Current, but below benchmark

Six of eleven states are operating on rate benchmarks that predate a period of substantial wage inflation. In four of them the state has a documented, published evidentiary basis for an increase — Arizona’s unused 2024 market rate survey, Alabama’s 2024 cost study documenting a statewide \$24-per-week-per-child shortfall, Virginia’s new statutory re-benchmarking mechanism, and North Carolina’s own division director on record that rates cover less than half the true cost of care.

Arizona is the sharpest case. Rates are keyed to a 2022 survey while the state minimum wage has risen from \$13.85 in 2022 to \$15.15 in 2026 — approximately 9.4 percent — with no rate rebase, and a 2024 survey sitting on the shelf. That is a cleaner and more winnable ask than the \$160 million waitlist appropriation the advocacy community is pursuing.

Waitlists

State	Waitlist	Trend
Arizona	~13,500 children / 7,916 families (July 2026)	+575% since reinstatement August 2024, growing ~600/month against ~\$48M/yr in appropriations
Texas	~95,000–100,000 children	The 2025 \$100M adds roughly 10,000 slots
Florida	Peaked at 18,948 (June 2025)	Eligibility widened to 55% SMI without matching appropriation
North Carolina	2,164 (July 2024) → 15,512 (Dec 2025)	Roughly sevenfold increase
Virginia	12,144 (Dec 2025) → just over 2,000 (June 2026)	Eliminated in the FY2027–28 budget, all ages, plus ~10% growth headroom
Tennessee	Active since August 26, 2025; size [unconfirmed]	Bypass pathways remain for TANF, SNAP E&T, DCS referrals
Arkansas	~1,100 (February 2025)	Against 16,000+ enrolled
Georgia	No published waitlist	Access rationed via the 30% SMI threshold and priority groups
Alabama	No statewide waitlist	Priority enrollment categories instead
Kentucky	Believed none [unconfirmed]	—
Oklahoma	[unconfirmed]	Rationed via the 2025 application freeze and the July 2026 eligibility cut

Virginia is the only state in the portfolio that eliminated its waitlist in the last twelve months. It is also, notably, the state that did **not** raise reimbursement rates in the same budget — which is the trade the advocacy coalition there is now contesting.

2.4 Quality Rating Systems and the Rate Link

The financial connection between quality rating and subsidy revenue varies enormously across the footprint, and in three states it changed materially in the last year.

State	System	Participation	Rate differential
Oklahoma	Reaching for the Stars (5 levels)	Effectively mandatory for subsidy	Steepest in the portfolio. Infant daily rate: \$20.00 at 1★ → \$50.60 at 5★. The 2★→3★ step alone is +67%
Texas	Texas Rising Star (Entry, 2★, 3★, 4★)	Mandatory for all subsidy programs since October 3, 2022	+5% / +7% / +9%. Entry gate is licensing compliance: no more than 40 points of weighted deficiencies over six months
Arizona	Quality First (1–5 stars)	Voluntary, free to the provider	+40% for 3★ and above. On infants that is \$25.66/day per subsidized child

State	System	Participation	Rate differential
Alabama	Quality STARS (5 levels)	1★ automatic on licensure unless the program opts out	+2% / +4% / +6% / +8% / +10%. Also gates both state tax credits
Tennessee	Report Card (mandatory) + Star-Quality (voluntary)	Report Card mandatory for every licensed agency; four evaluation visits a year	Cut effective January 1, 2026: 80–89 score fell from +15% to +5% ; 90–100 fell from +20% to +10%
Kentucky	All STARS (5 levels)	Mandatory for any provider receiving public funds	Monthly per-child add-on: Type I center \$25–\$45/mo under 3, \$23–\$43/mo age 3+, Levels 3–5
Georgia	Quality Rated (1–3 stars)	Mandatory for CAPS funding since December 31, 2021	Tiered reimbursement plus a Quality Rated Workforce Bonus and Commitment to Quality payments
North Carolina	Star Rated License (1–5) → “Pathways to the Stars” since July 1, 2025	Mandatory — every licensed program carries a rating	Rates published by county and star level. Decoupling from reimbursement was directed for study, plan due May 1, 2026
Florida	CLASS-based program assessment; Gold Seal	Contract eligibility gate, not a star rating	Minimum composite 4.00 to contract. Gold Seal minimum 20% differential; quality incentive 4–10%; supplement capped at 15%
Arkansas	Better Beginnings (now 1–6)	Level 2 is the price of admission — losing it terminates subsidy participation immediately	Tiers collapsed in 2025: levels 3–4 now pay identically, as do levels 5–6
Virginia	VQB5	Mandatory for any site receiving public funds — one subsidy child puts the site in	No rate differential. Public quality profiles posted annually

Three findings worth acting on

Tennessee has substantially flattened the return on quality investment. The January 2026 rate table raised base rates by 10 percent while cutting the quality bonus from 15/20 percent to 5/10 percent. Modeled on a top-tier-county infant at a 90–100 score: $\$260 \times 1.20 = \312.00 in October 2024, versus $\$286 \times 1.10 = \314.60 in January 2026 — **an increase of 0.8 percent**. A provider earning no quality bonus at all received the full 10 percent. The remaining business case for three-star status in Tennessee is **Voluntary Pre-K contracting eligibility**, which carries a hard three-star floor across 138 districts, not subsidy economics.

Arkansas destroyed the marginal return on two of four possible tier moves. With levels 3–4 collapsed into one rate and 5–6 into another, the only rate-relevant advancement steps are 2→3 and 4→5. Any quality-investment sequencing in Arkansas should be re-planned accordingly.

North Carolina’s decoupling study is the largest single quality-related revenue risk in the portfolio. SL 2025-36 directed DCDEE to submit, by May 1, 2026, a plan to separate the quality rating system from subsidy reimbursement rates. Whether that report was delivered and what it recommends is **[unconfirmed]** and is a priority retrieval. If decoupling advances, a high-star operator in 77 North Carolina centers loses its rate premium — and North Carolina is the largest single state position in the portfolio.

One structural note on Virginia. VQB5 is unusual nationally: accepting a single subsidy child at a site places that site in a mandatory, publicly reported quality measurement system with no offsetting rate differential. Seven hundred of the eight hundred available points come from CLASS interaction scores, which means there is no compliance-paperwork route to a good rating. The one cheap win is curriculum: 100 points are available simply for using a VDOE-approved curriculum in every classroom and reporting it by October 1.

2.5 State Pre-K — The Mixed-Delivery Opportunity

Public pre-K is simultaneously the largest public revenue opportunity and the largest competitive threat in the portfolio, and which of the two it is depends entirely on the state's delivery model.

State	Program	Private provider role	Per-child or per-classroom funding	Assessment
Florida	VPK	77% of VPK providers are private; licensed private centers alone are 68%	\$3,029 school-year / \$2,586 summer per FTE — flat for three consecutive years	The delivery system. Political asset, poor rate
Georgia	Georgia Pre-K (lottery)	Roughly half of enrollment , private and community providers	~\$7,630 state spending per child; \$30,000 startup grant per new classroom	Strongest position in the portfolio. 10 of 10 NIEER benchmarks
Alabama	First Class Pre-K	Explicitly funded in private child care centers; auspice breakdown [unconfirmed]	\$84,804–\$97,908/classroom annually, up to \$125,000 setup , 25% local match	Largest untapped opportunity. 20 straight years at 10 of 10 benchmarks
Virginia	VPI + Mixed Delivery Grant Program	Mixed Delivery is purpose-built for licensed non-faith-based private settings	Mixed Delivery re-benchmarked at \$19,441/slot vs. VPI at \$6,763	Best-priced public revenue in the portfolio. Contract-based, cost-of-quality, ~2× oversubscribed
North Carolina	NC Pre-K	Mixed delivery including private and for-profit centers	~\$7,117 state spending per child	No new funding in the FY2026–27 budget; added an unfunded dyslexia screening mandate
Texas	Half-day pre-K via the Foundation School Program	Public-private partnerships permitted; HB 2 mandates 85% passthrough to private providers	Per-child partnership funding [unconfirmed]	Mixed. HB 2 added anti-crowd-out protection but removed full-day ADA funding for partnership students
Arkansas	Arkansas Better Chance	Private centers eligible; most providers operate within public school systems	\$5,105/child/year center-based, 40% match required , 15% admin cap	Thin to loss-leading absent a strong in-kind match strategy
Kentucky	Kentucky Preschool Program	704 KAR 3:410 expressly authorizes district contracts with private preschools	~\$170M over the FY27–28 biennium, frozen at 2019 levels	Under-exploited. Kentucky serves 26% of four-year-olds and lags every mixed-delivery neighbor

State	Program	Private provider role	Per-child or per-classroom funding	Assessment
Tennessee	Voluntary Pre-K	Districts may contract with private providers rated at least three stars	~\$85M across ~935 classrooms	142-district business development effort , not a state procurement
Oklahoma	Near-universal school-based four-year-old pre-K	Collaboration permitted; contracting pathway thinly documented [unconfirmed]	State spending ~\$5,749/child	Enrollment is falling — see below
Arizona	No state pre-K program	—	—	Private market carries the 3-5 load. First Things First scholarships matter disproportionately

Four things worth separating out

Oklahoma is running in reverse, and that is good news. Four-year-old enrollment in the state’s near-universal school-based pre-K fell from 39,767 in 2019–20 to **32,794 in 2024–25** — a 17.6 percent decline, from 76 percent of four-year-olds to 65 percent — while national preschool enrollment surged. NIEER’s own analysis lists “children remaining in childcare centers through ages 4-5” among the causes. Roughly 3,500 four-year-olds a year have shifted out of the district pipeline since 2019. **In most universal-pre-K states the correct posture is to cede the four-year-old band; in Oklahoma it is to hold or expand it.**

Alabama is the largest untapped opportunity in the portfolio and the number needed to size it is not published. First Class Pre-K funds classrooms in private child care centers at \$84,804 to \$97,908 annually plus up to \$125,000 in setup, against a 25 percent local match. Approximately 4,100 children sit on waiting lists across twenty priority counties; clearing them would take 229 additional classrooms. The named barriers are classroom space, transportation, before- and after-school care, and workforce capacity — every one of which an operator with existing licensed square footage is positioned to solve. **The classroom-by-auspice breakdown is [unconfirmed] and obtainable from ADECE Office of School Readiness at 334-224-3171.**

The trade-off in every mixed-delivery state is the same: the pre-K classroom brings public money but imposes a materially higher cost structure on that classroom. Alabama’s First Class Pre-K requires a bachelor’s-degree lead teacher and 1:10 ratios against a licensing baseline of 1:18. Georgia Pre-K ties lead teacher salaries to the K-12 schedule. Arkansas ABC requires 1:10 and one bachelor’s degree per three classrooms against a 1:15 licensing ratio. **This creates a two-tier internal labor market inside the same building, and it is the primary reason pre-K classrooms and infant rooms in one center have divergent economics.**

Georgia’s HB 1123 is a direct competitive threat that has not been widely noticed. Effective July 1, 2026, it requires public schools offering after-school programming to make it available to Pre-K students on the same basis as other students. That is precisely the before- and after-care revenue private providers hosting Georgia Pre-K rely on to make the 6.5-hour instructional day economic. With 76 Georgia centers, this warrants modelling.

2.6 The 2027 Legislative Calendar and Political Turnover

Nine of the eleven states elect a governor on November 3, 2026. In seven, the incumbent is term-limited.

State	2027 session convenes	Governor's race	Notes
Kentucky	January 5, 2027 (30 legislative days, adjourn by March 30)	Not on the ballot; Beshear term-limited in 2027	Policy session, not a budget session. Implementation year
Virginia	January 2027 (short session)	Spanberger through January 2030	Caboose year — amends the adopted FY27–28 biennium. House elections November 2027
Georgia	January 2027 — new two-year term	Open. Rick Jackson (R) def. Burt Jones in the June 16 runoff; Keisha Lance Bottoms (D). Rated toss-up to tilt-R	All 2025–26 bills die and must be reintroduced. New Lt. Governor controls Senate referral
North Carolina	January 2027 — long session, FY2027–29 biennium	Stein not up until 2028	All 170 legislative seats on the ballot. House Republicans are one seat from a veto-proof majority
Texas	January 2027 — 90th Legislature, 140 days	Abbott	Writes the FY2028–29 budget. Governor's Task Force report due December 1, 2026
Arkansas	January 11, 2027 — regular session	Sanders (R) seeking a second term, rated Solid R	Regular sessions in odd years; 2026 was a fiscal session
Arizona	January 11, 2027	Hobbs (D) vs. Biggs (R); rated Tossup to Lean D	All 90 legislative seats. Two ESA ballot measures on November 3
Tennessee	January 2027 — new 115th General Assembly	Open. Lee term-limited	Full House and half the Senate on the ballot. Promising Futures Act provisions turn on January 1, 2027
Oklahoma	~February 1, 2027 [unconfirmed]	Open. Stitt term-limited. Republican runoff August 25, 2026 — Drummond vs. Mazzei. Munson (D)	Stitt was the veto point; either successor is likely less hostile
Florida	March 2, 2027 — sine die April 30	Open. DeSantis term-limited. Donalds (R) leads; rated Solid R	Committee weeks begin fall 2026. Bill filing deadline noon, March 2, 2027
Alabama	March 2, 2027	Open. Ivey term-limited. Tuberville (R) vs. Jones (D); rated Safe R	Convenes in March , not January — the first year of a four-year term. Entire Legislature on the ballot

What the calendar means practically

October through December 2026 is the working window, not January. In Florida, with a March 2 session start, bill drafting and budget positioning happen in the fall committee weeks. In Texas, the Governor's Task Force on Governance of Early Childhood Education — chaired by Peter J. Holt of the HOLT Group — reports to the Legislature on **December 1, 2026**, and will frame the entire 2027 debate. In Alabama, a new governor's first budget is typically submitted very close to a March session start, compressing the advocacy window to almost nothing.

Two departures matter more than any arrival.

In Georgia, **Lt. Gov. Burt Jones lost the Republican runoff on June 16, 2026.** He was the architect and chief patron of Georgia's entire child care tax credit agenda — HB 136 and the Senate Study Committee on Access to Affordable Childcare that produced it. The single strongest institutional champion of child care policy in Georgia Republican politics leaves office

in January 2027, and no 2026 successor study committee has been identified. Because the Lieutenant Governor controls Senate committee assignments and bill referral in Georgia, identifying and cultivating the incoming Lt. Governor is at least as important as the Governor.

In Alabama, **twenty years of First Class Pre-K institutional continuity has rested substantially on gubernatorial patronage.** ADECE Secretary Ami Brooks, appointed June 2025, and DHR Commissioner Nancy Buckner both serve at the governor's pleasure. A Tuberville administration puts both in play at exactly the moment the state's child care tax credits approach a December 31, 2027 sunset.

The sunsets and cliffs already on the calendar

Date	Event	State
August 2026	ADHS 24-hour annual training compliance deadline	Arizona
August 25, 2026	Republican gubernatorial runoff	Oklahoma
September 30, 2026	SRA sustainability package expires with no successor identified	Arkansas
September 30, 2026	Minimum wage steps to \$15.00 — final Amendment 2 step	Florida
October 1, 2026	Statewide subsidy rate floor takes effect	North Carolina
October 1, 2026	All STARS modernization plan due to the legislature	Kentucky
October 1, 2026	ECCE Commission annual report — frames the 2027 session	Virginia
December 1, 2026	Governor's Task Force on Early Childhood report to the Legislature	Texas
December 1, 2026	ECCAP third-party administrator must be under contract	Kentucky
January 1, 2027	Promising Futures Act second tranche takes effect	Tennessee
January 1, 2027	Minimum wage steps to \$13.75	Virginia
January 5, 2027	Alabama tax credit reservation window opens — first-come, first-served	Alabama
July 1, 2027	Microcenter regulations adopted; applications open (10 statewide)	Kentucky
December 31, 2027	Child Care Tax Credit Act sunsets	Alabama
December 31, 2030	HB 136 employer child care credit sunsets	Georgia

2.7 Minimum Wage — The Structural Margin Squeeze

State	Current	Scheduled	Mechanism
Arizona	\$15.15 (Jan 1, 2026)	Annual CPI indexation, 2027 rate announced ~Sept/Oct 2026	Constitutionally indexed under Prop 206 (2016). No legislative off-ramp
Florida	\$14.00	\$15.00 on September 30, 2026, then CPI-indexed	Voter-approved Amendment 2 (2020)
Virginia	\$12.77	\$13.75 (Jan 1, 2027); \$15.00 (Jan 1, 2028)	HB1/SB1, signed April 2026
Alabama, Arkansas, Georgia, Kentucky, North Carolina, Oklahoma, Tennessee, Texas	\$7.25 federal floor	None scheduled	Texas preempts local ordinances

Three states in the footprint face legislated or indexed wage escalation. In all three, the subsidy rate benchmark is stale or frozen.

- **Arizona:** wage +9.4 percent since 2022 against rates keyed to a 2022 survey.
- **Florida:** wage floor +25 percent from September 2022 to September 2026 (\$12 to \$15) against a **VPK base student allocation that has moved from \$3,029 to \$3,029 — zero percent** — and School Readiness rates roughly 11 to 15 percent below the 75th-percentile benchmark. This single comparison is the most powerful, fully sourced advocacy exhibit available anywhere in the portfolio.
- **Virginia:** cumulative +17.5 percent over 24 months against rates frozen since October 2022.

In the eight federal-floor states, wage pressure is market-driven rather than statutory — but market wages are the binding constraint regardless. Reported figures: Texas teacher median **\$14/hour**; Georgia median **\$13.35/hour** (\$27,760 annually); North Carolina average **\$14.20/hour**; Oklahoma **\$11–12/hour**; Tennessee average annual earnings **\$12,973**, with one in ten workers below the poverty line.

The state-run offsets worth using

State	Program	Value
Kentucky	Categorical CCAP eligibility for child care employees — now permanent statute at KRS 199.889	Free child care for staff with young children at zero employer cost . 3,200+ workers and 5,600 children in year one. Best-in-class in the region
Oklahoma	HB 2778 (2025) — no-cost child care for early childhood educators, enacted over veto	Same mechanism; Oklahoma Strong Start has paid 2.37M to 1,000 professionals * * Texas * * SB462(2025)— <i>children of child care workers added to subsidy waitlist priority Direct recruitment leveraged against a 95,000 – child waitlist</i> * * Tennessee * * ChildCareWAGE — salary cap raised from \$20 to \$30/hour, \$7.2M state investment
Tennessee	PC 873 (2026) — 16-to-18-year-olds may work in centers outside school hours, effective July 1, 2026	New labor pool for afternoon and closing shifts. Already in effect and largely unexploited
North Carolina	SL 2025-36 — five years' documented experience now equals the lead teacher credential	Widens the lead teacher pool without a degree requirement

State	Program	Value
Virginia	8VAC20-781 expands director and lead teacher pathways to career studies certificates and Virginia endorsements	Genuine hiring tailwind inside an otherwise costly rewrite
Georgia	DECAL pays employee fingerprinting costs	Explicitly conditional on continued funding — watch item
Arizona	Bright Futures AZ Scholarship, \$1M for early childhood educators' own child care	Route staff to it
Alabama	T.E.A.C.H. via Alabama Partnership for Children	Credential subsidy; under-leveraged by most operators

2.8 Where Each State Is Heading

A single-line summary of direction of travel, twelve months forward.

State	Direction	The one thing that defines it
Virginia	↑ Expanding	Waitlist eliminated, statutory biennial re-benchmarking enacted, Mixed Delivery at \$19,441/slot — but rates still frozen since 2022
North Carolina	↑ Expanding, unevenly	First statewide subsidy rate floor in the nation, effective October 1, 2026 — but the gain is rural, and QRIS decoupling is under study
Kentucky	→ Deregulating, not funding	HB 6 omnibus enacted without the Governor's signature; budget held child care flat in an austerity biennium
Georgia	↕ Split	Pre-K funding rising steadily; CAPS contracted to the lowest initial eligibility threshold in the country
Texas	↑ Modestly expanding	\$100M added, enrollment-based prospective payment already built, TRS simplification pending, task force reports December 1
Alabama	→ Flat, with a deadline	Best-designed for-profit tax credit in the country — sunseting December 31, 2027
Tennessee	↓ Contracting on money, ↑ loosening on rules	Two near-unanimous 2026 acts on red tape and dedicated revenue; subsidy in active retrenchment
Florida	→ Flat, squeezed	VPK per-child funding unchanged for three years against a wage floor rising 25 percent
Oklahoma	↓ Retrenching, with offsets	Eligibility cut to 55% SMI July 1; 131 centers closed since April; but HB 4298 gap fees and falling district pre-K enrollment cut the other way
Arizona	↓ Contracting	Waitlist up 575 percent in 24 months; First Things First revenue base structurally decaying

State	Direction	The one thing that defines it
Arkansas	↓ Cliff in eight weeks	The sustainability package expires September 30, 2026 with no successor and no legislative session until January

Part III — State Profiles

The eleven profiles that follow are ordered by center count. Each follows the same structure: a snapshot, then licensing and regulation, subsidy and CCDF, state pre-K, quality rating, recent legislation, the 2027 outlook, the political and agency map, business-climate factors, and a short watch list.

3.1 North Carolina — 77 centers

Snapshot. The largest state position in the portfolio, in a state that just ended a 1,000-day stretch without a full budget. The 2026 Appropriations Act establishes **the first statewide subsidy reimbursement rate floor in the country**, effective October 1, 2026 — but the gain is concentrated in rural and small-market counties, and metro sites may capture little or nothing. Meanwhile the legislature’s answer to the sector’s problems has been deregulation without new money, and a directed study of **decoupling star ratings from reimbursement** is the single largest quality-related revenue risk in the portfolio.

Licensing and regulation

The Division of Child Development and Early Education within NC DHHS regulates under 10A NCAC Chapter 09, with rulemaking by the NC Child Care Commission. DCDEE relocated its headquarters to 1915 Health Services Way, Raleigh, effective October 1, 2025.

Ratios and group sizes under 10A NCAC 09 .0713, last amended November 1, 2024:

Age	Ratio	Max group
0–12 months	1:5	10
12–24 months	1:6	12
2–3 years	1:10	20
3–4 years	1:15	25
4–5 years	1:20	25
5 and older	1:25	25

Voluntary enhanced ratios tied to star rating are available under 10A NCAC 09 .2818 (infants 1:4 / max 12; 12–24 months 1:5 / max 15; two- and three-year-olds 1:8 / max 20, with an intermediate tier at 1:9 / max 20).

HB 412 / Session Law 2025-36 — “An Act to Make Child Care Regulatory Reforms; and to Make Building Code Revisions” — was the defining 2025 regulatory event. Primary sponsors: Reps. Dean Arp (R-Union), Donny Lambeth (R-Forsyth), Erin Paré (R-Wake) and Heather Rhyne (R-Lincoln), with Sen. Jim Burgin (R-Harnett) as conference co-chair. Its provisions:

- **A lead teacher may now supervise up to two groups**, provided at least one other individual is pursuing NC Early Childhood Credential coursework or lead-teacher job training.

- **Five years of documented experience** in licensed facilities now qualifies as equivalent to the lead teacher credential — a meaningful hiring-pipeline relaxation.
- **Maximum group sizes increased; ratios held constant** — a deliberate framing choice to blunt safety objections.
- Family child care homes received a distinct state building code classification.
- Military-certified programs were exempted from state licensing under specified conditions.

Rep. Arp's framing was explicit: "I don't see opportunity to solve child care issues by pouring significantly more money into it."

SL 2025-36 also generated a set of study directives with deadlines that have now passed and whose outputs should be obtained: a Department of Insurance group liability insurance and tort reform report (due January 1, 2026); a **DCDEE market rate study plus a plan to decouple QRIS star ratings from subsidy reimbursement (due May 1, 2026)**; and a Licensed Childcare Licensure Workgroup on conflicts among building, fire and sanitation codes.

New environment rating scale tools (ECERS-3, ITTERS-3, FCCERS-3) took effect February 1, 2025, and the new Section .3200 "Pathways to the Stars" framework took effect July 1, 2025.

Inspection frequency and enforcement trend data are [unconfirmed] — Child Care Commission minutes and DCDEE enforcement pages were not retrievable. This is a genuine hole for a 77-center compliance risk assessment and warrants a data request. What is documented: DCDEE licensing consultants began Pathways consultation visits in October 2025, with each facility given a twelve-month window from consultation to select and transition to a pathway. **Expect elevated consultant contact through late 2026.**

Subsidy and CCDF

North Carolina sets reimbursement at the **75th percentile of each county's local market**, differentiated by age group, facility type and star rating, with economic tier designations also factored in. **The rates currently in force took effect October 1, 2023** and are nearly three years stale.

The county-based method produces extreme geographic dispersion for identical quality. An illustrative five-star family provider serving three- to five-year-olds drew \$957 a month in Buncombe County, \$602 in Edgecombe and \$397 in Alleghany. Alexandra Sirota of the Budget & Tax Center has put the objection plainly: the county market rate "is based more as a measure of income in a community and ability to pay and less on what it actually costs to deliver high-quality care."

The statewide floor rate, effective October 1, 2026. S257 establishes a floor: providers receive the higher of the 75th percentile of the 2023 Child Care Market Rate Study for their county, star level and age, **or** a statewide floor aligned with the 2021 market rate. The appropriation is **\$97 million in recurring federal funds**, against a total Child Care Subsidy Program budget of approximately \$593.1 million for FY2026-27. Implementation moved from July 1 to October 1, 2026 via a technical corrections bill. Roughly \$27 million of the increase is directed to rural communities. **North Carolina is reportedly the first state to set a statewide floor.**

Two concrete illustrations of impact:

- Randolph County, five-star center, infant: **\$867 → \$1,367 per month (+\$500, +58%)**
- Alleghany County, five-star family home, ages 3–5: **\$407 → \$900 per month (+\$493, +121%)**

The portfolio implication is unambiguous. If centers sit in metro counties — Wake, Mecklenburg, Guilford, Buncombe, Durham — the floor will likely fall below the existing county 75th-percentile rate and capture little or no increase. The economics of this budget favour rural and small-market operators. A county-by-county model against the new tables is required before October 1.

A sourcing caveat. S257 is confirmed as the 2026 Appropriations Act, ratified July 2 and enacted as Session Law 2026-41. **The rate-floor provision itself, the October 1, 2026 effective date and the \$97 million figure rest on contemporaneous reporting and advocacy sources rather than on retrieved session-law text — the DHHS special provisions could not be reached in the enacted act. [unconfirmed]** There is also a live figure discrepancy: EdNC reports \$97 million recurring, while the Lieutenant Governor’s Task Force press release of July 23, 2026 cites \$101 million for “reimbursement rate improvements and statewide floor.” **Confirm both the provision and the number against the Fiscal Research Division money report before modelling either.**

Eligibility and copay. Income eligibility runs to 200 percent FPL for birth to age five and 133 percent FPL for school-age children five to twelve. **The family copay runs up to 10 percent of gross family income —** North Carolina’s long-standing percent-of-income structure, above the former federal seven percent benchmark and now unambiguously permissible following the July 13, 2026 rescission.

Waitlist: 2,164 children in July 2024, rising to **15,512 by December 2025** — roughly a sevenfold increase. A separate count put 18,556 children aged zero to five on the waitlist in September 2025 against 55,220 served. Subsidy enrollment is down about 15 percent since 2019, and roughly 60 percent of licensed programs participate.

Supply contraction. 5,160 licensed programs in January 2026, down from 5,921 in July 2019 — a 13 percent net loss, projected below 5,000 in 2027. **280 licensed providers closed between January and October 2025;** in August 2025 alone, 47 centers closed against 22 openings. Family child care homes account for 97 percent of the net loss. Federal stabilization grants concluded in March 2025 with **no direct state successor compensation programme;** the rate floor is the de facto successor, arriving roughly eighteen months after the cliff.

Post-rescission payment basis is [unconfirmed] and is the highest-magnitude open risk in this profile. North Carolina’s fiscal posture and its stated legislative interest in “cost reductions without new funding” create real risk of reversion toward attendance-based reimbursement. The state’s FFY2025–2027 CCDF Plan, submitted November 2024, predates the rollback and will likely be amended.

State pre-K

NC Pre-K is administered by DCDEE, not the Department of Public Instruction. Eligibility requires age four by August 31 and family income at or below 75 percent of state median income, with up to 20 percent of slots available above the income limit for developmental delay, disability, chronic health condition or limited English proficiency. Delivery is mixed — public schools, Head Start, and both nonprofit and private for-profit child care centers.

Most recent published data (2023–24): **27,304 four-year-olds enrolled, 22 percent of the state’s four-year-old population;** 57 percent of eligible children enrolled. State spending **\$115.3 million**, plus federal TANF of \$66.8 million. **State spending per child \$7,117** against a national state average of \$7,888.

The FY2026-27 budget added no new NC Pre-K funding and imposed a dyslexia screening requirement on all NC Pre-K students with mandated staff training — an unfunded compliance cost. Governor Stein had recommended \$11 million to raise NC Pre-K reimbursement rates by six percent across all settings; it was not enacted. Providers have publicly warned that rates are too low to sustain participation. **Current NC Pre-K per-slot payment rates by site type for 2026-27 are [unconfirmed];** the latest published rate guidance located dates to 2015.

Quality rating

North Carolina pioneered QRIS nationally in 1999. Every licensed center carries a one- to five-star rated license, and **market rate tables are published by county and star level**, so a five-star licence commands materially higher reimbursement than a three-star in the same county. Stars also gate access to the voluntary enhanced ratios.

“Pathways to the Stars,” codified at Section .3200, took effect July 1, 2025, replacing the prior points approach with three pathways: Program Assessment (ECERS-3 / ITERS-3 / FCCERS-3), Classroom and Instructional Quality, and **Accreditation and Head Start**.

Pathway 3 is a potentially significant efficiency for a multi-state operator already carrying national accreditation — it may permit star maintenance without the full environment rating scale assessment burden. This warrants a direct DCDEE conversation, and an inventory of which centers have already been consulted and how much of their twelve-month transition window remains.

The decoupling threat. SL 2025-36 directed DCDEE to submit, by May 1, 2026, a plan to separate the quality rating system from subsidy reimbursement rates. Separately, DCDEE issued RFA #007 on November 7, 2025 for a “QRIS Support and Supplement Study,” with UNC’s FPG Child Development Institute in the bidder pipeline. **Whether the decoupling plan was delivered, and its content, is [unconfirmed]**. If decoupling advances, an operator that invested in four- and five-star quality loses its rate premium across 77 centers. This is the highest-value single retrieval in the North Carolina file and the most likely 2027 legislative target.

2026 legislation and budget

The 2026 Appropriations Act (S257) was ratified July 2, 2026 and signed by Governor Josh Stein in early July — **\$34.4 billion**, ending a stalemate that ran from the June 2025 conference committee appointment through June 2026. Primary sponsors: Sens. Brent Jackson, Ralph Hise and Michael Lee.

Child care line items for FY2026-27:

Item	Amount
Subsidy rate increase and statewide floor	\$97M recurring (federal)
Total Child Care Subsidy Program	~\$593.1M
Smart Start mental and behavioral health	\$7.3M one-time
Child Care Teacher Academies	\$1.5M one-time
Family child care home supports and technology	\$5.8M federal
Dolly Parton Imagination Library	\$13M
Liability insurance feasibility study	\$350,000 nonrecurring
NC Pre-K	\$0 new , plus an unfunded dyslexia screening mandate

Other 2025 bills of note: **SB 412** (Hise) sought \$123.5 million a year with a ten percent rural and infant-toddler differential — absorbed into the budget concept; **HB 389** (Arp, Lambeth, Bell, Strickland) proposed a Child Care Academy pilot, funded at \$1.5 million as “Child Care Academies”; **HB 800** (Willis, Paré, Campbell, Loftis) proposed free or automatic subsidy for child care teachers’ own children with a copay waiver — **stalled in House Appropriations since April 8, 2025**; **HB 877** proposed a public-private facility partnership placing state land and building shells with private operators, conditioned on a \$13 minimum wage, health insurance and tuition caps — **status [unconfirmed]**.

Advocates entered the 2026 short session asking for \$101 million as step one of a four-step, **\$380 million per year** plan to reach true cost of care. They received approximately the step-one number.

2027 outlook

The 2027 long session convenes in January and writes the FY2027-29 biennial budget — the first full biennium cycle after a two-year budget failure, and the first real test of whether the rate floor holds and grows.

Current composition is Senate 30R–20D and House 71R–49D. **House Republicans are one seat short of a veto-proof majority.** All 170 legislative seats are on the November 3, 2026 ballot, with a marquee U.S. Senate race (Whatley v. Cooper) driving turnout. Governor Stein is not up.

- If Republicans regain a House supermajority, the deregulatory agenda — QRIS decoupling, further ratio and group-size flexibility, code streamlining — proceeds over Stein's objection.
- If Democrats hold or gain, Stein's veto remains binding and funding-side proposals gain leverage.

Teed up for 2027: QRIS decoupling; the Licensed Childcare Licensure Workgroup's code-conflict report and a likely streamlining bill; **liability insurance**, where the Department of Insurance workgroup report was due January 1, 2026 and the budget added \$350,000 for a feasibility study; child care for child care workers (HB 800 / SB 593 concepts); rate floor phase two, being the remaining \$279 million of the \$380 million plan; and Governor Stein's proposed refundable Child and Dependent Care Tax Credit (\$55 million) and Working Families Tax Credit at ten percent of the federal EITC (\$240 million), neither of which appears in the enacted budget.

Political and agency map

Role	Person
Governor	Josh Stein (D), took office January 2025
NCDHHS Secretary	Dev Sangvai
Deputy Secretary, Opportunity and Well-Being	Michael Leighs
DCDEE Director	Candace Witherspoon — the key regulatory relationship; publicly critical of the current funding model
Lieutenant Governor	Rachel Hunt (D) — Task Force co-chair, the most visible statewide champion

Sen. Jim Burgin (R-Harnett, SD-12) is the single most important Republican relationship on child care — Task Force co-chair, HB 412 conference co-chair, and a demonstrated bipartisan legislator. **Rep. Dean Arp (R-Union)** is the deregulation-first architect and, depending on the ask, either key partner or key adversary. **Sen. Ralph Hise (R, SD-47)**, Senate Appropriations co-chair, drove the floor rate concept and is rural-focused. Other active members: Sens. Brent Jackson and Michael Lee; Sen. Jay Chaudhuri (D-Wake); Reps. Sarah Crawford (D), David Willis (R), Donny Lambeth (R), Erin Paré (R) and Larry Potts (R).

On the outside: the **NC Licensed Child Care Association** (President Dan Rockaway) is the trade association most aligned with for-profit operator interests and the primary membership target. The **NC Chamber** (President Gary Salamido, a Task Force member) called the rate floor the “single most consequential childcare provision in the budget” and originated the \$5.65 billion annual economic loss figure — **business-framed advocacy is the winning register with this legislature.** Also:

NC Early Education Coalition (Interim Director Sheila Hoyle), NC Child (Executive Director Erica Palmer Smith; Leanna Martin on early childhood policy), NC Partnership for Children / Smart Start (President Amy Cabbage), and Child Care Aware of America (CEO Susan Gale Perry, a former NC DHHS official and Task Force member).

Business climate

Average child care teacher wage **\$14.20/hour** (2024) across a workforce of roughly 42,000. Only 49 percent of surveyed centers offer fully or partially subsidised health insurance. **North Carolina has no enacted state child and dependent care tax credit.**

SL 2025-36 created a family child care classification in the state building code and directed the Licensed Childcare Licensure Workgroup to examine conflicts among building, fire and sanitation codes. **That workgroup report is the most likely vehicle for center-level code relief and is an open lobbying lane for an operator with a construction and conversion pipeline.** No statewide zoning preemption for child care appears to exist.

Hurricane Helene damaged at least 55 licensed programs; \$700 million sits in the budget for recovery. The Child Care Expansion and Access Grants programme — 200 grants of up to \$125,000 from a \$20 million appropriation — closed to applications in June 2023 with no identified successor capital programme.

What to watch

1. **October 1, 2026 — the rate floor goes live.** Model county by county now, comparing the current 75th-percentile rate against the statewide floor for every age and star combination across all 77 centers. Confirm DCDEE publishes new rate tables before October 1 and reconcile the \$97 million versus \$101 million discrepancy.
2. **Payment-basis reversion risk.** Get DCDEE on record about post-rescission payment policy and watch for a CCDF State Plan amendment. Highest-magnitude downside risk in the profile.
3. **The May 1, 2026 QRIS decoupling report.** Obtain it from DCDEE or the Joint Legislative Oversight Committee on Health and Human Services.
4. **Pathways to the Stars transition deadlines.** Inventory which centers have been consulted and whether Pathway 3 lets existing national accreditation reduce the assessment burden.
5. **November 3, 2026 — House seat 72.** Republicans are one seat from a veto-proof majority. Build the Burgin and Hise relationships regardless of outcome.

3.2 Georgia — 76 centers

Snapshot. The second-largest state position, and the state with the sharpest internal contradiction in the portfolio. Georgia Pre-K — lottery-funded, roughly half privately delivered, meeting ten of ten national quality benchmarks — is the strongest and most stable public revenue line available anywhere in the footprint, and it keeps getting better funded. Simultaneously, CAPS has contracted to **the lowest initial subsidy eligibility threshold in the country.** And the architect of Georgia's entire child care tax agenda lost his primary in June.

Licensing and regulation

Bright from the Start: Georgia Department of Early Care and Learning (DECAL) is **both the licensing agency and the CCDF lead agency** — an unusual single-agency consolidation that also runs Pre-K, CACFP, Head Start Collaboration and the Criminal Records Unit. In a multi-state portfolio this is a genuine advantage: one relationship covers licensing, subsidy and pre-K.

Child Care Learning Centers are governed by Ga. Comp. R. & Regs. Chapter 591-1-1, consolidated version effective July 1, 2025. An amendment package effective June 4, 2025 updated pediatric first aid and CPR requirements. **No new proposed rule package was posted as of early August 2026.**

Ratios and group sizes under Rule 591-1-1-.32:

Age	Ratio	Max group
Under 1 year / under 18 months non-walking	1:6	12
1 year (walking)	1:8	16
2 years	1:10	20
3 years	1:15	30
4 years	1:18	36
5 years	1:20	40
6 and older	1:25	50

Group-size caps do not apply to outdoor playground time, special center activities of two hours or less, or centers licensed for eighteen or fewer children — but ratios apply at all times. **Georgia’s 1:15 at age three and 1:18 at age four are among the most permissive in the country and represent a material margin advantage** relative to neighbouring states. Note the separate and much tighter Georgia Pre-K standard of 1:10 with a maximum class size of 20.

Directors must complete a 40-hour DECAL-approved director’s training course. All direct-care staff need pediatric CPR on a biennial cycle and pediatric first aid on a triennial cycle, obtained within the first 45 days of employment. **Annual continuing-education hour requirements are [unconfirmed]** and should be read directly from 591-1-1-.14/.15.

Background checks — the portability provision is operationally valuable. Georgia Child Care Background Records requires fingerprint-based checks for every person working at a licensed center, with two determinations: a National Records Check permitting supervised work while out-of-state records pend, and a Comprehensive Records Check required for unsupervised access. Renewal every five years, or after the first year on a facility change. **Determination letters less than one year old can be electronically ported to a different facility without a new check** — materially useful for moving staff between 76 centers. **DECAL currently pays the fingerprinting cost** for child care employees “for the foreseeable future unless funding becomes no longer available” — an explicitly conditional state subsidy of a compliance cost and therefore a watch item.

DECAL enforcement volumes and trend direction for FY2024–FY2026 are [unconfirmed] — the enforcement actions page was inaccessible. This is the largest data gap in the Georgia licensing section. An open-records request for enforcement action counts by type, together with a pull of each center’s own inspection history from the DECAL portal, would close it.

DECAL launched **DECAL FAST** — Family Access to Services & Tools — on July 10, 2026, a consolidated family portal with an AI navigation assistant, Spanish-language content and mobile-first design. Provider-side implications were not detailed, but it is worth confirming whether the new portal changes how centers appear in state-facing search and referral, and whether Quality Rated status is now surfaced more prominently to families.

Subsidy and CCDF

Georgia has materially contracted its subsidy programme since 2024, and the federal floor beneath it was removed in July 2026.

State funding for Childcare and Parent Services was approximately **\$77 million in FY2026 and \$77.5 million in FY2027** — growth of 25 percent over eight years against 31 percent inflation, a real-terms cut, while Pre-K grew 57 percent. Georgia lost more than \$170 million in federal COVID-era relief in September 2024; GEEARS puts the resulting gap at roughly \$188 million.

The eligibility change is the defining fact. DECAL cut initial income eligibility from 50 percent of state median income (\$52,947 for a family of four) to **30 percent of SMI (\$31,768 for a family of four)** — described by the Georgia Budget and Policy Institute as the lowest initial eligibility threshold in the country. Families must also participate in at least 24 hours a week of approved work or school activity and fall within a DECAL-designated priority group. Continued eligibility at redetermination runs to the federal ceiling of 85 percent SMI.

Note a live conflict in the record: GEEARS' CAPS materials still state 50 percent SMI. Treat 30 percent as operative — GBPI is the more recent and more specific source — but verify with DECAL. CAPS Appendix A carries an effective date of March 2, 2026 and should be pulled directly.

Enrollment fell from a peak of roughly 72,000 children in 2023 to roughly 51,000. Approximately 24,000 children lost scholarships when pandemic funding ended in 2024. Only about seven percent of income-eligible children are served. Recent additions are small: FY2026 added \$4 million for 500 scholarships; FY2027 redirected \$9.7 million in freed federal funds to serve 1,288 more children. **Formal waitlist status is [unconfirmed]** — Georgia manages access through the eligibility threshold and priority groups rather than a published queue.

Rate methodology. Rates are set at the **60th percentile** of the most recent market rate survey — one of the lowest benchmarks in the portfolio. The current basis is a 2024 analysis by Care Solutions, Inc. of 2023 state administrative rate data, not a fresh provider survey. Rates vary by zone, age group and Quality Rated star level.

A new market study is underway in 2026 with Georgia Policy Labs at Georgia State University, in two parts: a Child Care Market Rate Survey covering all licensed providers, and a **Child Care Cost Survey** of selected Quality Rated CAPS providers — the cost-estimation methodology the 2024 federal rule encouraged. **This is the single most consequential pending item for CAPS rate levels.** Cost-based methodologies systematically produce higher rate benchmarks than price surveys. Georgia centers should be in the sample and should submit complete cost data. Contact: ChildCareMarketStudy@dec.al.ga.gov.

Family copay runs on a sliding scale keyed to federal poverty level bands, one fee per family divided across children: no fee at or below ten percent FPL; three percent of annual income at 10–50 percent; five percent at 50–100 percent; seven percent above 100 percent. **These figures come from a secondary source and should be verified against CAPS Policy Manual §00-9.**

Payment basis is [unconfirmed] and is the highest-value open question in the Georgia file. At least one industry source states Georgia operates an attendance-based model with mandatory date-stamped digital attendance documentation. Treat as plausible, not confirmed, and obtain the answer from CAPS Policy Manual §00-12 or the CAPS provider agreement. Whatever the current practice, **there is now no federal barrier to Georgia retaining or reverting to attendance-based, in-arrears payment** — a direct cash-flow and bad-debt exposure across 76 centers.

Georgia Pre-K

This is the most attractive and most stable revenue line in Georgia for a private operator, and it has been getting steadily better funded.

	FY2026	FY2027 enacted
DECAL total state funds	~\$640M	\$671.5M (+\$31.1M)
Georgia Pre-K	\$563M	\$594M
CAPS	~\$77M	\$77.5M

FY2027 added roughly \$30.7 million to Pre-K: **\$12 million** for year three of the four-year phase-in reducing class size from 22 to 20; **\$9.7 million** for extended-day expansion for priority groups and lottery-funded before- and after-school scholarships; **\$4 million** for five days of paid leave for Pre-K lead and assistant teachers, a new benefit; **\$5.9 million** for teacher health-benefit cost increases; and **\$708,000** for Rising Pre-K Summer Transition Program expansion.

Class size and ratio. DECAL's 2026-2027 Pre-K Application Overview states the maximum class size for all Georgia Pre-K classrooms is **20 students**, with inclusion classrooms capped at 18, staffed by one lead teacher and one assistant. NIEER records the standard as maximum 20 with a 1:10 ratio for 2024-25, up from maximum 22 and 1:11 in 2023-24. **The budget phase-in is funding the revenue backfill for classrooms that lost two slots, not a further rule change.**

Program requirements for 2026-2027: 180 instructional days plus 10 professional development days; a 6.5-hour instructional day; DECAL-approved curriculum; **a \$30,000 startup grant per new classroom** for materials and equipment. Private centers qualify if DECAL-licensed with licensed space for at least 20 children and a playground accommodating 20. The application window ran February 23 to March 18, 2026, and the rate chart publishes only after gubernatorial budget approval.

Enrollment and quality. 2024-25: **70,572 children, 53 percent of Georgia four-year-olds**; \$538.4 million total state spending; **\$7,630 per child**, a 22 percent budget increase year over year. Georgia met **ten of ten NIEER quality benchmarks in 2024-25**, up from eight of ten — a credential worth deploying in state-level advocacy.

Teacher compensation is a wage-floor pull on the rest of the building. Lead teacher salaries are tied to the State Board of Education K-12 salary schedule. 2024-25 delivered a 27.5 percent assistant teacher salary increase and funding for 100 new classrooms; FY2026 included \$18.8 million for one-time \$2,000 raises, of which \$17.2 million went to Pre-K teachers. **Georgia Pre-K salary parity is the primary reason Pre-K classrooms and infant rooms in the same building have divergent labor economics.**

Private provider share. DECAL states participation is voluntary for both public schools and private child development centers. GBPI survey research found enrollment roughly evenly split between public schools and private providers across FY2012–FY2019. A current precise split is **[unconfirmed]**. Use “approximately half” and request the current figure from DECAL's Pre-K division. **This is the core political fact for the sector's standing in Georgia: no other state pre-K program of this scale is so dependent on private and community providers.**

Expansion pressure. GEEARS is pushing a pilot to serve three-year-olds and points to **\$1.7 billion in unrestricted lottery reserves** as the source. The 2026 vehicle, HB 1146, died in House Education but the reserve balance makes this a recurring ask — and a three-year-old pilot delivered through the existing roughly-half-private network would be a direct new revenue line.

Quality Rated

Georgia's QRIS is a voluntary one-, two- or three-star system, but participation is functionally mandatory: **“as of December 31, 2021, all child care providers must be Quality Rated (or in Provisional or Probationary Status) to receive CAPS funding.”** Scoring runs to 45 points — Structural Quality (portfolio, 0–15), Process Quality (environment rating scale observation, 0–30), and an accreditation bonus of up to 4. Ratings are valid three years.

Financial incentives include an annual Quality Rated Workforce Bonus, Commitment to Quality payments, and customisable bonus packages covering credentialing, equipment, curriculum and professional development, administered through decalqrpayers.com. **Current dollar amounts are [unconfirmed].**

A proposed Quality Rated Framework revision was discussed in May 2024 and its status is [unconfirmed] — a priority follow-up, because a re-weighted framework can move star levels and therefore tiered reimbursement across an entire portfolio at once.

2025–2026 legislation

HB 136 (2025) — Act 182, the child care tax credit package. Lead sponsor Rep. Mark Newton (R-Augusta), carried as a priority of Lt. Gov. Burt Jones and derived from the Senate Study Committee on Access to Affordable Childcare. House 170–2; Senate 50–0; signed May 13, 2025; effective July 1, 2025.

Credit	Terms	Effective
Child & Dependent Care Expense credit	Raised from 30% to 50% of the federal credit	Tax years from January 1, 2025
Georgia Child Tax Credit (new)	\$250 per qualifying child under age 6	Tax years from January 1, 2026
Employer Child Care Credit (new)	\$1,000 per child in year one, \$500/child annually thereafter; requires employer payments of ≥\$1,000/yr per employee to a licensed facility for children under 6; \$20M annual statewide cap	January 1, 2026; sunsets December 31, 2030

All three are nonrefundable, capped at the taxpayer's income tax liability, with no carryforward.

Georgia's pre-existing employer credit at O.C.G.A. §48-7-40.6 remains in force and is far larger in value: 75 percent of the employer's cost of operation less employee payments, capped at 50 percent of annual income tax liability with a five-year carryforward; and 100 percent of qualified child care property claimed at ten percent a year over ten years, capped at 50 percent of liability with a three-year carryforward. The facility must be DECAL-licensed and **at least 95 percent of users must be children of participating employees** — the binding constraint on any consortium structure.

The go-to-market read: §48-7-40.6 is the on-site and near-site consortium play; HB 136 is the tuition-benefit play. The HB 136 credit is small and nonrefundable, but its low threshold of \$1,000 a year per employee makes it a workable door-opener with mid-size Georgia employers, and the “licensed facility” requirement means every licensed center qualifies as recipient. The 2030 sunset supplies urgency.

2026 session — passed:

- **HB 1123 (Act 393)** — Pre-K access to school after-school programs. Sponsors Rep. Jan Jones and others. Requires public schools offering after-school programming to make it available to Pre-K students on the same basis as other students. House 162–0; Senate 46–0; signed May 5, 2026; **effective July 1, 2026. This is a direct competitive threat to the wraparound revenue private Georgia Pre-K hosts depend on. Model it.**

- **SB 589 (Act 633)** — Pre-K and kindergarten age eligibility. Lets parents elect to enroll a child who has attained age four or five in voluntary Pre-K rather than kindergarten. Senate 54-0; House 156-3; signed May 12, 2026; effective July 1, 2026, applicable to the 2026-2027 school year. **This legally enlarges the Pre-K-eligible pool by adding opt-in five-year-olds — favourable for private Pre-K sites with capacity.**
- **HB 1193** — early literacy coaches at all 1,850 public elementary schools (\$70 million school-based, \$18.5 million regional), with Pre-K collaboration requirements attached.

2026 session — died, all likely to return in 2027:

- **SB 554** — child care facility capital grant program, directing DECAL to establish grants for facility repairs, renovations and expansions. Sponsors Sens. Chuck Payne, Jason Anavartarte, Billy Hickman, Randy Robertson (R), Sonya Halpern and Tonya Anderson (D). Died in Senate Education and Youth. A GEEARS priority. **The single most directly favourable pending bill for a capital-intensive operator, with bipartisan sponsorship and a Republican Senate Education member as lead.**
- **HB 1281** — mandatory liability insurance for child care learning centers with specified minimums and proof of filing. Six Republican sponsors. Died in House Education. **A cost-of-compliance risk, but consider that a well-calibrated mandate is often net-favourable to a large, well-capitalised operator against undercapitalised independents. Engaging constructively on limits may be better than opposing.**
- **HB 1146, the Georgia Ready to Learn Act** — a pilot expanding Georgia Pre-K to three-year-olds. Died in House Education. A GEEARS priority and a direct new revenue line if enacted.

2027 outlook

The 2027 session convenes in January and begins a new two-year term — every bill that died in 2025-26 is dead and must be reintroduced, all committee assignments reset, and a new Governor and Lieutenant Governor take office.

Combined with executive-branch turnover, 2027 is a genuine reset year.

Governor Kemp is term-limited. In the May 19, 2026 primaries, **Keisha Lance Bottoms won the Democratic nomination outright with 57.7 percent.** On the Republican side no candidate reached a majority — Burt Jones 38.0 percent, Rick Jackson 33.9 percent, Brad Raffensperger 14.5 percent, Chris Carr 11.4 percent — and **Rick Jackson defeated Lt. Gov. Burt Jones in the June 16 runoff, 52.7 to 47.3 percent.** The general election is November 3, 2026, with a December 1 runoff if no majority. Rated toss-up to tilt Republican.

This is the most consequential political fact in the Georgia file. Burt Jones — the architect and chief patron of Georgia's entire child care tax credit agenda — leaves office in January 2027, and the 2024 Senate Study Committee that produced HB 136 has no visible 2026 successor. **The child care agenda in Georgia needs a new Republican patron.**

On candidate positions: **Rick Jackson (R)** is a healthcare staffing executive who grew up in foster care across five homes and led passage of the Fostering Success Act providing tuition-free public college for foster youth. His platform centers on cutting the state income tax in half within four years and eliminating it within eight, freezing property taxes, term limits, AI-driven program audits and work requirements for public assistance. **No explicit child care or early learning plank was found [unconfirmed].** Two inferences: his foster-care biography is a plausible opening for a child-wellbeing framing; and **an aggressive income-tax elimination trajectory is a structural threat both to CAPS, which is general-fund financed, and to the value of nonrefundable credits like HB 136's** — if there is no income tax, an income tax credit is worthless. Georgia Pre-K, being lottery-financed, is insulated. **Keisha Lance Bottoms (D)** — former Atlanta mayor and Biden White House senior adviser — has no retrievable specific early learning platform **[unconfirmed].**

Issues teed up for 2027: SB 554 capital grants redux; Pre-K expansion to three-year-olds against the \$1.7 billion lottery reserve; CAPS restoration to 72,000 children and reversal of the 30 percent SMI threshold; year four of the Pre-K class-size phase-in in the FY2028 budget; a liability insurance mandate refile; and **Georgia's response to the July 2026 federal CCDF deregulation.**

Political and agency map

DECAL Commissioner Amy M. Jacobs was appointed by Governor Deal in June 2014 and retained under Kemp — a twelve-year tenure, extraordinary stability for a state agency head. Her background is the Governor's Office of Planning and Budget, where she directed the Education and General Government divisions. **That background means DECAL is unusually fluent in budget process — an advantage when advocating for appropriations rather than statutory change.** She remained in post as of July 2026. **A new Governor takes office in January 2027; commissioner retention is a real open question and a top monitoring item.**

Committee chairs could not be retrieved and are **[unconfirmed]**; all assignments reset in January 2027 in any case. What is confirmed: **Senate Education and Youth** received SB 554 and SB 589 and is the primary Senate venue; **Senate Children and Families** received HB 1123; **House Education** killed both HB 1281 and HB 1146 and is the key House chokepoint. Legislators to know from the bill record: Speaker Pro Tem **Jan Jones** (HB 1123 lead); **Sen. Chuck Payne** (SB 554); **Sen. Matt Brass** (SB 589); **Rep. Mark Newton** (HB 136); **Sens. Jason Anavitate and Billy Hickman**, on both SB 554 and SB 589; **Rep. Chris Erwin**, central House education actor; and **Rep. Joseph Gullett**, who co-sponsored both the Pre-K-for-threes bill and the insurance mandate.

GEEARS — the Georgia Early Education Alliance for Ready Students — is the dominant early-learning advocacy organisation and the natural coalition partner. Its 2026 agenda includes restoring CAPS to 72,000 children, **dedicated capital improvement grants for child care facilities**, prioritising early educators' own children for CAPS, dedicated infant-toddler funding, and a lottery-funded Pre-K pilot for three-year-olds. Also active: Voices for Georgia's Children; the Georgia Budget and Policy Institute, whose annual Education Primer and DECAL budget overviews are the de facto reference documents legislators use.

The Georgia Chamber of Commerce runs a Center for Workforce & Talent Preparedness and the Georgia |2050 strategic plan, but no child care-specific program, coalition or policy position is visible on its site [unconfirmed]. Given that HB 136 was framed as a workforce measure the Chamber almost certainly supported it, but child care is not a headline Chamber brand in Georgia the way it is in Kentucky or North Carolina. **That is an opening: a large operator could help stand up a Georgia business-and-child-care coalition rather than joining one.**

Business climate

Georgia child care worker median hourly wage **\$13.35**, annual median \$27,760 (2023). Infant-toddler teachers earn less than Pre-K teachers, who benefit from lottery-funded pay schedules — **the state has effectively created a two-tier wage structure inside the same buildings.**

Roughly 4,500 licensed providers offer approximately 368,000 licensed slots against approximately 1,115,000 children under 13 with all available parents working. **44 percent of Georgians live in a child care desert.** Georgia's child care shortfall costs the state economy at least \$1.75 billion annually — the standard business-case statistic in Georgia advocacy.

No state-level zoning preemption, by-right siting provision or child care zoning reform was identified in the 2025 or 2026 sessions [unconfirmed]. Georgia child care siting appears entirely local. This is an unaddressed policy space and a plausible 2027 ask, and SB 554's capital-grant framing is a natural vehicle to attach it to. Property tax treatment of child care facilities is likewise **[unconfirmed]**.

What to watch

- 1. **The DECAL / Georgia Policy Labs market rate and cost study now in progress.** This resets the CAPS rate benchmark and is the highest-dollar-impact item in the state. Confirm Georgia centers are in the Child Care Cost Survey sample and submit complete cost data.
- 2. **Georgia’s response to the July 13, 2026 federal deregulation.** Get a definitive answer from DECAL on enrollment versus attendance and on payment timing, then model the cash-flow delta of a reversion to attendance-based, in-arrears payment across 76 centers.
- 3. **November 3, 2026 and the January 2027 transition.** Watch three things: retention of Commissioner Jacobs; the identity of the new Lieutenant Governor, who controls Senate referral; and whether income tax elimination under a Jackson administration erodes both CAPS general-fund capacity and the value of nonrefundable HB 136 credits.
- 4. **SB 554 refile — child care facility capital grants.** Engage Sen. Chuck Payne’s office during the interim, offer facility cost data, and consider attaching a zoning or by-right provision.
- 5. **HB 1123 implementation and the FY2028 Pre-K budget.** Model the wraparound revenue exposure at private Georgia Pre-K sites, and watch for year four of the class-size phase-in and annualisation of the extended-day and paid-leave lines.

3.3 Arizona — 30 centers

Snapshot. A single-metro concentration operating in a low-regulation, low-subsidy, divided-government state. Two facts dominate: the state child care assistance **waitlist has grown 575 percent in twenty-four months** and continues to grow faster than appropriations can release children from it; and **First Things First, the voter-created tobacco-tax early childhood agency, is structurally decaying** as smokers convert to vaping products the 2006 ballot measure does not tax. A constitutionally indexed minimum wage compounds both.

Licensing and regulation

Centers are licensed by the Arizona Department of Health Services, Bureau of Child Care Licensing, under A.A.C. Title 9, Chapter 5. **The operative version is Supplement 25-2, effective August 3, 2025.**

A document trap worth flagging to compliance staff: the PDF that ADHS still serves on its own website is the superseded **September 30, 2010** version and still uses the retired job title “teacher-caregiver.” Cornell’s mirror of R9-5-404 is likewise keyed to the 2010 amendment. Compliance staff should work from the Secretary of State’s Supplement 25-2 text.

The August 2025 rule revision changed:

Area	Change
Job titles	“Teacher-Caregiver” → “ Child Educator ”; “Assistant Teacher-Caregiver” → “Assistant Child Educator”
Annual training	Increased to 24 hours per year — compliance deadline August 2026 (up from 18)
New-staff orientation	Expanded to cover infant tummy time, SIDS prevention, shaken baby syndrome
Closure reporting	Notify ADHS within 24 hours of any closure, planned or unplanned

Area	Change
TB screening	Mandatory Mantoux testing replaced by a self-screening form
Infant sleep	Cribs: fitted sheets only; blankets prohibited
Discipline	Section reframed as “Positive Discipline and Guidance”
Suspension/expulsion	Programs must adopt written suspension and expulsion policies with prevention strategies
Attendance	“Signature or other unique identifier” accepted — enables digital check-in
Plans	Site and floor plans no longer require an architect’s seal

The 24-hour annual training compliance deadline falls this month. Auditing training records across all thirty sites is the most probable near-term citation avoidance available in the Arizona portfolio.

Ratios under R9-5-404 are among the most permissive in the country — infants 1:5, one-year-olds 1:6, two-year-olds 1:8, three-year-olds **1:13**, four-year-olds **1:15**, five-year-olds and school-age 1:20. **Arizona imposes no hard maximum group sizes;** instead the licensee must maintain the required ratio for each group **based on the age of the youngest child in the group.** That mixed-age rule is the operationally binding constraint.

Caveat: the R9-5-404 text could not be read out of the Supplement 25-2 PDF. Ratios are very likely unchanged — the 2025 rulemaking summaries describe no ratio change — but this should be confirmed from pages 18 to 22 of the Secretary of State PDF before staffing models rely on it.

Staff qualification floors are likewise permissive relative to peer states: **Child Educators must be 18 with six months’ experience and a high school diploma; Assistant Child Educators may be 16** with current high school enrollment, a diploma or twelve months’ prior experience.

Background checks are portable and that is a genuine hiring-velocity advantage — Arizona DPS Fingerprint Clearance Cards are valid six years and move with the employee across employers. But R9-5-203 requires a **valid card before the staff member’s starting date**, so there is no conditional or provisional start while a card is pending. Card lead time must be budgeted into the onboarding funnel.

The Maricopa County layer is the real operational complexity. Arizona licensing is state-run, so there is no separate county child care license — but a thirty-site Phoenix-metro portfolio is managing roughly eight to twelve different **municipal** zoning regimes (Phoenix, Mesa, Chandler, Gilbert, Glendale, Scottsdale, Tempe, Peoria, Surprise, Goodyear), each with its own conditional use permit process, plus fire inspection tied to license renewal, business licensing, and environmental health permits under the Maricopa County Environmental Health Code as revised September 10, 2025. **Maricopa publishes food-service inspection results in a public searchable database** — a reputational exposure worth monitoring proactively across all kitchens.

ADHS enforcement statistics for FY2025–FY2026 are [unconfirmed] and would be the single most useful missing dataset for benchmarking thirty sites. A public-records request to BCCL for enforcement actions by facility and top-ten cited rule sections would close it.

Subsidy and CCDF — the waitlist is the dominant fact

The Department of Economic Security reinstated the Child Care Assistance waiting list on **August 1, 2024.**

Date	Children	Families
August 2024 (reinstatement)	~2,000	—
February 28, 2025	2,607	1,587
June 26, 2026	13,244	7,916
July 2026	~13,500	—

That is a **575 percent increase since reinstatement**. Advocates put the cost of clearing it at \$160 million; the legislature has appropriated roughly \$90 million over two years, releasing 900 children in July 2025 and 600 more in February 2026 — 1,500 cumulative — while the list grows by roughly 600 a month.

The arithmetic does not close. Plan for the waitlist to persist and grow through FY2027, likely exceeding 17,000 to 18,000 by January 2027.

The waitlist exemptions are the reliable subsidy channel. Families bypassing the list entirely: Jobs-program referrals; Cash Assistance recipients maintaining employment; Transitional Child Care; **Department of Child Safety or Tribal Child Welfare referrals** with documented case-plan need; siblings in households already receiving DCS-referred care; and families with a DCS or tribal referral within the prior thirty days. **DCS-referred placements are the only subsidy stream in Arizona currently immune to the waitlist, and sites with DCS relationships have a materially more stable subsidy census.** This warrants a deliberate business-development push.

Eligibility is set at **165 percent of the federal poverty level** — well below the federal ceiling of 85 percent SMI. Arizona is leaving significant federally permitted eligibility on the table, which is why only about 16 percent of eligible Arizona children receive a subsidy.

Reimbursement rates, effective November 1, 2025:

Age group	Base daily	Quality rate (3–5 star, +40%)
Infant (under 1)	\$64.15	\$89.81
Toddler (1–2)	\$48.70	\$68.18
Preschool (3–5)	\$42.00	\$58.80
School-age, summer	\$35.00	\$49.00
School-age, school year	\$25.00	\$35.00

The methodology contains the central weakness. Rates are set at the 75th percentile of the **2022** market rate survey for infants under one, and only the **50th percentile** of the 2022 survey for ages one through twelve. Two problems follow: the 50th-percentile benchmark for everything above infancy calibrates the subsidy to the median of a depressed market, and **DES published a 2024 market rate survey that is not being used.** The state minimum wage rose from \$13.85 in 2022 to \$15.15 in 2026 — roughly 9.4 percent — with no rate rebase.

This is the strongest, most defensible advocacy argument available in Arizona, and a rate rebase to the 2024 survey is a cleaner and more winnable ask than the \$160 million waitlist appropriation the advocacy community is pursuing.

The 40 percent quality differential is the single largest revenue lever in the subsidy channel — worth \$25.66 a day per subsidised infant. It applies to providers rated three, four or five stars in Quality First or meeting Head Start standards. Governor Hobbs's FY2027 executive budget explicitly funds "\$44.8M GF ... to maintain a 40% high quality enhancement," which confirms the differential is a **discretionary, appropriation-dependent policy rather than a permanent entitlement**. It is exposed in any downturn budget and is the easiest line to trim.

Arizona pays on attendance — the daily rate applies "when attending for 15 minutes or more." Revenue risk from absenteeism sits with the provider. Arizona is not among the states that adopted enrollment-based payment, and the July 13, 2026 federal rescission removes any pressure to change.

Budget trajectory: FY2025 delivered \$12 million General Fund, the first GF appropriation for child care assistance in over a decade. FY2026 enacted \$44.9 million — "the largest appropriation since 2009." The FY2027 executive request was \$44.8 million; **FY2027 enacted is approximately \$48 million**.

First Things First — a structurally decaying asset

Created by Proposition 203 (2006) and funded by a dedicated tobacco tax, First Things First serves children from birth to five and is governed by the Arizona Early Childhood Development and Health Board. CEO: **Melinda Gulick**.

Metric	Figure
Year-one revenue (FY2008)	~\$180 million
Most recent fiscal year	~\$89 million
Decline over 20 years	~50%
Decline in the last 3 years alone	\$32 million
ASU estimate of revenue foregone by not taxing vapes	\$1.6 billion

The cause is structural and simple. Proposition 203 taxed cigarettes, cavendish, chewing tobacco and cigars. **Vaping entered the market in 2007 — one year after the vote — and is not covered**. Every smoker who converts is a direct revenue loss.

Because Prop 203 was voter-enacted, its revenue is protected by the Voter Protection Act: the legislature cannot sweep or repurpose it without a three-fourths supermajority and a furtherance-of-purpose finding, or a return to the ballot. **Treat the revenue base as eroding but the legal protection as intact**. First Things First has sought a statutory fix for two consecutive sessions without bipartisan support; the 2025 vehicle, HB 2778, a luxury tax on nicotine and vapor products directing 60 percent to FTF, did not receive a hearing in its chamber of origin.

A reintroduced vapor-tax-to-FTF bill in 2027 is the most plausible bipartisan child care revenue vehicle in Arizona — it is a revenue fix for a voter-protected program, framed as closing a loophole rather than raising a tax — and is worth active support.

One bright spot. Arizona was among 23 states awarded a **Preschool Development Grant Birth Through Five Systems Building Grant of \$8.4 million**, administered through the Department of Education. Roughly \$500,000 will let approximately 60 additional providers join Quality First as Rating Only participants, and **beginning July 2027 Rating Only participants at three or more stars become eligible for Quality First Scholarships** previously reserved for Full Support participants.

State pre-K and the ESA question

Arizona has no universal or broadly funded state pre-K program. Public preschool is delivered through a patchwork of federal Head Start and Early Head Start (16,500 children — nine percent of EHS-eligible, 26 percent of HS-eligible), district-run preschool, early childhood special education, and First Things First Quality First Scholarships. Arizona sits near the bottom nationally in state pre-K investment — **which is precisely why the private market carries so much of the three-to-five load, and why First Things First scholarships matter disproportionately.**

On Empowerment Scholarship Accounts, the answer matters and it is restrictive. Arizona runs the nation's largest universal school-choice voucher program, but for preschool the door is mostly closed:

- The general rule requires a student to be **at least five years of age as of January 1** of the contract year to qualify as an entering kindergartener. **Typically developing preschoolers aged three and four cannot participate.**
- **The one exception is preschoolers with disabilities.** A child aged three or older, not yet kindergarten age, qualifies with a current MET evaluation report, IEP or 504 plan issued by an Arizona public school — and this category is exempt from the 45-day prior public-school enrollment requirement that gates other pathways.

Three practical conclusions follow. ESA is **not** a general revenue channel for three- and four-year-olds and should not be modelled as one. ESA **is** a viable channel for a defined niche — preschool-age children with a public-school-issued MET, IEP or 504 — which requires family awareness, referral relationships with district early childhood evaluation teams, and operational capacity to accept ESA payment through ClassWallet. And **the five-by-January-1 kindergarten rule creates a genuine ESA-funded transitional-kindergarten opportunity** for older fours and young fives: if any Phoenix-metro site operates a kindergarten or transitional-K program, that program can be ESA-funded where the typical preschool cannot. **This is the most under-exploited ESA angle for the business model.** Award amounts are **[unconfirmed]**.

ESA politics are live. The FY2027 budget maintained the program intact. Republicans referred **HCR 2048** to the November 2026 ballot — framed as the “Military Families College Savings and Scholarship Protection Act,” carrying a poison pill voiding other ESA reforms — while a competing citizen initiative, the **Protect Education Act**, would impose income limits and spending restrictions. **Both are live on the November 3, 2026 ballot and the ESA landscape could shift materially within ninety days.**

Quality First

Operated by First Things First across roughly 1,100 to 1,300 participating programs, with about 87 percent of enrolled providers at three stars or above. Two participation tracks: **Full Support** (assessment, rating, coordination plus coaching, health consultation and funding) and **Rating Only** (assessment, rating and coordination, with the program waitlisted for full support). Participation is free to the provider.

Incentives tied to rating include materials, equipment and **facility improvements** — including shelving, fencing, painting and carpet — professional development funds, staff recognition and retention funds, and Quality First Scholarships providing direct tuition subsidy for low-income families.

The money tie that matters most: the DES 40 percent subsidy rate enhancement is conditioned on a three-, four- or five-star Quality First rating. Quality First is therefore not a soft branding exercise in Arizona; it is the gate on the highest-value subsidy revenue. **Any site at one or two stars, or not participating at all, is leaving roughly 40 percent of subsidy revenue on the table at that site.**

2025–2026 legislation and the 2027 outlook

The structural dynamic is blunt. Democratic Governor Katie Hobbs faces a Republican House and Senate under Speaker Steve Montenegro (R-Goodyear). Democratic child care spending bills die without hearings; Republican priorities die by veto; **the budget is the only real vehicle.** Hobbs recorded 151 vetoes in 2026.

In 2025, Rep. Sarah Liguori's HB 2643 (a \$120–211 million DES appropriation) and HB 2778 (the vapor tax) both received **no hearing in the chamber of origin**. Rep. Walt Blackman (R-LD7) introduced a \$6 million rural child care development center bill and a child care infrastructure grant program; the latter was heard in Senate Federalism & Family Law. In 2026, **Liguori's HB 2648 seeking \$160 million to eliminate the waitlist received no committee consideration at all.**

The FY2027 budget, passed June 11, 2026, runs approximately **\$18.3 billion General Fund**, a 3.1 percent increase, with approximately \$48 million for child care assistance, **full federal tax conformity producing a \$1.45 billion tax cut over three years**, and a 2.5 percent across-the-board agency spending reduction.

The fiscal squeeze is already locked in. The three-year tax cut and the agency reduction mean FY2028 begins with less room regardless of who wins in November — and child care assistance is a discretionary General Fund line.

The 58th Legislature convenes approximately **January 11, 2027**. The November 3, 2026 general election is the hinge: Hobbs seeks re-election against a Republican field led by Rep. Andy Biggs, with polling through April 2026 at roughly Hobbs 47.1 percent to Biggs 37.6 percent and forecaster ratings from Tossup to Lean Democratic. All 90 legislative seats are on the ballot. **A Hobbs second term means continuity — appropriations in the \$45–50 million band, executive-branch workarounds, and a continued veto wall against deregulation. A Biggs administration means discontinuity in both directions: possible ESA expansion into younger ages and licensing deregulation, alongside likely flat or reduced child care appropriations.**

Political and agency map

- **ADHS Director Debbie Johnston**, nominated November 24, 2025 — **the third ADHS director in three years**, with Senate confirmation status **[unconfirmed]**. Institutional discontinuity at the top of the licensing regulator means relationship-building should target the Bureau level, not the director's office.
- **DES Director Michael Wisehart** — returned to DES having previously served three years, a stable and experienced counterpart and the most durable agency relationship available.
- **First Things First CEO Melinda Gulick**; Senior Director of Early Learning **Ginger Sandweg** is the operational contact for Quality First expansion.

Most active legislators: **Rep. Sarah Liguori (D-Phoenix)**, primary sponsor of waitlist appropriations in both sessions; **Rep. Lorena Austin (D-Mesa)**; **Rep. Walt Blackman (R-LD7)**, the key Republican on rural child care infrastructure and therefore **the most important cross-aisle target for a business-framed ask**; Sen. T.J. Shope (R); Sens. Lela Alston and Analise Ortiz (D).

On the outside, the **Arizona Early Childhood Education Association** is the provider-side trade association and the most natural home. The **Center for the Future of Arizona** produced the single most useful business-framed statistic in the state: full child care funding would generate **\$12 billion in economic output and 115,000 jobs**. Children's Action Alliance is the lead statewide child advocacy organisation.

Notably, the Arizona Chamber of Commerce, Read On Arizona and Valley of the Sun United Way did not appear in any 2025–2026 child care policy source retrieved [unconfirmed]. That absence is itself a finding: **the business community is not visibly organised on child care in Arizona**, and the Center for the Future of Arizona's \$12 billion framing is sitting unused by the business lobby. For an operator of this scale that is an opening.

Business climate

Arizona's minimum wage is **constitutionally indexed to CPI** under Proposition 206 (2016) and reset each January 1 by the Industrial Commission: \$14.35 in 2024, \$14.70 in 2025, **\$15.15 in 2026**, with the 2027 rate announced around September or October 2026.

Three compounding pressures follow. **Increases are automatic with no legislative off-ramp** — Prop 206 is voter-protected, so 3 to 4 percent annual wage escalation belongs in every Arizona pro forma indefinitely. **Prop 206 also mandates earned paid sick time**, a separate and often under-budgeted cost for a high-headcount, high-turnover workforce. And **the wage floor rises faster than the subsidy rate**, which is the structural margin squeeze described above. Flagstaff and Tucson maintain higher local minimums; neither is in Maricopa County, so all thirty sites are on the state rate.

No state child care tax credit or employer child care incentive was identified as enacted [unconfirmed but likely accurate]. The relevant credit is federal \$45F, expanded effective tax year 2026 — and that is a **demand-side opportunity rather than a cost**. Phoenix-metro employers now have a materially better federal credit for subsidising employee child care, and a **B2B employer-partnership channel is the most attractive growth vector in this landscape precisely because it is insulated from the DES waitlist**.

What to watch

1. **The ADHS 24-hour annual training compliance deadline — August 2026, now.** Audit training records across all thirty sites immediately; this is the most probable near-term citation source in the portfolio.
2. **November 3, 2026 — Governor plus HCR 2048 plus the Protect Education Act.** A Biggs win flips the veto dynamic entirely, and either ESA measure could reshape whether an ESA-funded transitional-K channel becomes more or less viable.
3. **DES response to the July 13, 2026 federal deregulation.** Watch for a CCDF State Plan amendment, particularly any move on copay levels or the 40 percent quality enhancement, both of which now have less federal protection.
4. **The waitlist trajectory into the FY2028 budget cycle.** Agency FY2028 budget requests land in the autumn of 2026 — that is the window to press for a **rate rebase to the 2024 market rate survey**.
5. **The January 1, 2027 minimum wage announcement (September or October 2026) and the FTF vapor-tax bill.** Model the new wage now; support the third-attempt vapor tax as the most plausible bipartisan child care revenue vehicle in the state.

3.4 Texas — 23 centers

Snapshot. A comparatively favourable operating environment, and the only state in the portfolio that has already built and paid for the payment architecture the 2024 federal rule required — enrollment-based, prospective, biweekly, funded with a \$50 million transition appropriation. The 2025 session was unusually productive, with fifteen child care bills signed. The near-term question is whether TWC retains that architecture now that the federal mandate has lapsed, and the answer will surface in a Chapter 809 rule package whose comment period closed on July 6, 2026.

Licensing and regulation

Texas HHSC Child Care Regulation administers 26 TAC Chapter 746 for centers, with Chapter 745 covering cross-cutting licensing and background checks.

Ratios under §746.1601: infants under 11 months 1:4; 12–17 months 1:5; 18–23 months 1:9; two-year-olds 1:11; three-year-olds 1:15; **four-year-olds 1:18**; five-year-olds 1:22; six and older 1:26. **Maximum group sizes are [unconfirmed]** — every retrieval path returned the ratio column only. Texas ratios are notably permissive versus national norms, and 1:18 for four-year-olds is among the loosest in the country, so **group sizes should be confirmed directly from the HHSC Chapter 746 PDF before modelling classroom capacity.**

Directors require 30 clock hours of training annually; caregivers 24 clock hours, with self-study capped at three hours a year.

Background checks changed materially in 2026 and this is an action item. HHSC adopted rules implementing **SB 1849, creating SEMARC — the Search Engine for Multi-Agency Reportable Conduct** — pulling findings from the Texas Education Agency, the Texas Juvenile Justice Department and the HHSC Employee Misconduct Registry into the background check process. Adopted in the Texas Register on **July 17, 2026. HR onboarding and any third-party screening vendor must be SEMARC-ready**; misses become licensing deficiencies, which feed Texas Rising Star scoring, which feeds rates.

Inspection frequency: at least one unannounced monitoring inspection every six months in the first twelve months with a full standards evaluation within twelve months; thereafter at least annually and not more than 366 days apart, unannounced and risk-based. **Deficiency count and weighting drive increased frequency — and the same weighted-deficiency score gates Texas Rising Star entry.** Licensing compliance and subsidy revenue are directly linked in Texas.

Also adopted July 2026: **HB 4529** (military-operated child care licensing exemption) and **HB 3597** (raising the population threshold for a public-hearing requirement from 300,000 to 500,000).

Enforcement trend data is [unconfirmed].

Subsidy and CCDF

The lead agency is the Texas Workforce Commission, delivering through **28 Local Workforce Development Boards**. Boards set local rates within TWC parameters, so **rates and policies vary by board** — a key operational fact for a multi-site operator.

Rate methodology, per WD Letter 08-25, effective October 1, 2025: boards set rates at the **higher of** the 75th percentile of the 2025 Texas Child Care Market Rate Survey **or** baseline rates from the Cost of Quality Price Modeling Report. **That “whichever is higher” floor is a genuine alternative-methodology protection and is more provider-favourable than most states in the portfolio.** Rates are set across eight age ranges per board. **Dollar-level rates by board are [unconfirmed]** — TWC publishes them per board via TX3C.

Texas Rising Star enhanced rates above base: **4-star +9 percent, 3-star +7 percent, 2-star +5 percent**, with a minimum two-percentage-point differential between consecutive levels.

Texas pays on enrollment, prospectively, every two weeks. Per WD 06-24 Chapter 2, effective December 9, 2024, TWC pays regulated providers prospectively on authorised enrollment, not attendance, and **allocated \$50 million to fund the transition.**

Copays run on a sliding scale from two percent of gross income at one percent SMI to a **seven percent cap** at 76–85 percent SMI, applying per additional child. Zero-calculated copays may not be charged. TWC discontinued the Texas Rising Star provider copay discount in December 2024, grandfathering existing recipients.

Eligibility runs to **85 percent of state median income** with a twelve-month minimum eligibility period. **SB 462 (2025) adds children of child care workers to waitlist priority effective September 1, 2025** — a direct staff-recruitment lever against a waitlist of roughly 95,000 to 100,000 children.

Scale context: **\$1.4 billion in Child Care Services funding serving approximately 150,000 children daily** against roughly 1.2 million licensed slots statewide. Only 50 percent of regulated programs accept subsidy, and 60 percent of participating providers have subsidy children below 20 percent of capacity. Roughly 87.5 percent of the Texas market is private pay.

The central open question. Texas already built the 2024 rule's architecture and spent \$50 million doing it. The federal floor disappeared on July 13, 2026 but the rescission does not prohibit states from continuing, and **Texas has issued no public signal of reversal [unconfirmed]**. Sunk cost and the TX3C build argue for retention. The **40 TAC Chapter 809 rule package is where any change would surface** — the Commission approved proposed amendments on May 19, 2026 to "streamline certain rules, simplify Texas Rising Star parameters, and make programmatic improvements," **public comment closed July 6, 2026, and adoption is imminent**. The redline could not be retrieved. **This is the highest-priority document to obtain in the Texas file.**

A separate compliance tightening independent of payment basis. WD 06-26 Change 1 mandates **dual check-in and check-out** via the TX3C suite (KinderConnect, KinderSign, KinderSmart, KinderBridge). A missing scan counts as an unexplained absence. Non-compliance carries a **one-week cure window, then payment withholding** and possible contract termination. Absence thresholds sit at 15, 30 and 40, with more than 40 in twelve months permitting eligibility termination. **A one-week leash across a multi-site footprint is unusually short and warrants a dedicated operational control.**

State pre-K

Texas funds half-day pre-K for eligible four-year-olds through the Foundation School Program plus an Early Education Allotment of roughly \$800 million. **HB 2 (2025)** — Rep. Brad Buckley's \$8.5 billion school finance package — restructured the allotment so half-ADA for eligible four-year-old pre-K students is funded first, generating roughly \$90 million additional for early literacy and math. It also newly qualified **children of public school teachers**.

Mixed delivery under HB 2 is a mixed picture:

- **HB 2 mandates an 85 percent passthrough** of partnership funds to private providers.
- New intermediary oversight bodies must **verify that no eligible private child care is available before a district builds new pre-K classrooms** — a meaningful anti-crowd-out protection.
- But **HB 2 removed full-day ADA funding protection** for partnership students, eroding partnership economics.
- **Tuition-based pre-K faces new restrictions after 2027.**

For-profit providers can contract via TEA public-private prekindergarten partnerships and TWC Prekindergarten Partnerships. **Per-child partnership funding is [unconfirmed]**.

SB 2 (2025), the ESA program, begins in the 2026-27 school year with eligible pre-K children receiving accounts above \$10,000 (up to \$30,000 for special needs), usable at private schools **or approved child care**, against a \$1 billion appropriation with a lottery prioritising low-income and special-needs children. **This is a potential new private-pay revenue channel**, and the House Public Education interim charge explicitly studies its effect on private child care providers.

Texas Rising Star

Mandatory for subsidy since October 3, 2022. Levels run Entry → 2-Star → 3-Star → 4-Star.

The entry gate is licensing compliance: no more than 40 points of high or medium-high weighted deficiencies over six months. Entry-level programs have 24 months to reach at least two stars. Weighting: Teacher-Child Interactions 40 percent; Director and Staff Qualifications 20 percent; Program Administration 20 percent; Indoor and Outdoor Environments 20 percent. Certification runs three years with two unannounced monitoring visits.

Texas Rising Star is the hinge connecting three separate benefit streams — subsidy rate enhancement, the property tax exemption, and licensing standing — and simplification of its parameters is pending in the Chapter 809 package.

2025 legislation

The 89th Legislature was unusually productive; Governor Abbott signed the child care package on August 18, 2025.

Bill	Sponsors	Effect
SB 1 (budget)	—	\$100M for child care scholarships from unspent TANF; ~10,000 added slots
HB 2	Buckley	\$8.5B school finance; Early Education Allotment restructure; pre-K partnership changes
SB 2	—	ESAs including pre-K-age children; \$1B; from 2026-27
HB 117	Schoolcraft / Campbell	Governor's Task Force on Governance of Early Childhood Education ; report due December 1, 2026
HB 4903	Harris Davila / Birdwell	Quad-Agency Child Care Initiative Commission (DFPS, HHSC, TEA, TWC) to streamline regulation
HB 2294	Thompson / Zaffirini	Boards may pay Texas Rising Star providers at the board maximum rate by quality level rather than capping at the provider's published rate. Effective September 1, 2025
SB 462	Kolkhorst / Harris Davila	Waitlist priority for children of child care workers
HB 3963	Capriglione / Paxton	Early Childhood Integrated Data System
SB 599	West / Davis	Restricts local governments from imposing extra health and safety standards on family child care homes
SB 1265	Alvarado / Harris Davila	TWC website must link employer child care resources
SB 1849	—	SEMARC multi-agency background check
HB 4529	Hefner / Hancock	Exempts military-based child care from state licensing

HB 2294 is the most directly monetisable 2025 win. It decouples subsidy reimbursement from the provider's published private-pay rate, which historically penalised operators that kept community rates low.

2027 outlook

The 90th Legislature convenes in January 2027 for 140 days and writes the FY2028–29 budget. Texas legislates only in odd years, so 2026 is entirely an interim and agency year.

Interim charges released February 11, 2026 give child care unusual prominence:

- **House Appropriations and Senate Finance:** monitor the impact of increased funding on parental waiting lists and provider reimbursement rates.
- **House Public Education and Senate Education K-16:** SB 2 ESA implementation effects **on private child care providers and pre-K**; HB 117 implementation and child care governance; HB 3963 data and outcomes.
- **House Trade, Workforce & Economic Development and Senate Economic Development:** HB 2294 and HB 4903 implementation, child care deserts, and **barriers to Texas Rising Star participation by providers.**

The recurring “TRS participation barriers” charge across both chambers signals a likely 2027 push to lower TRS friction — a favourable direction for a multi-site operator.

The Governor’s Task Force on Governance of Early Childhood Education, chaired by Peter J. Holt (CEO, HOLT Group), has met five times since March 2026 with policy and budget recommendations due to the Legislature **December 1, 2026.** This report will frame the entire 2027 child care debate. **Engage now, not in January.**

Political and agency map

Governor Greg Abbott has personally branded child care as an agenda item. Lieutenant Governor Dan Patrick controls Senate committees and charges; Speaker Dustin Burrows (R-Lubbock) the House.

Substantial 2026 Senate committee turnover in the relevant jurisdictions: **Education K-16 Chair Donna Campbell (R-Bulverde)**, who was HB 117’s Senate sponsor, replaced Brandon Creighton; **Economic Development Chair Angela Paxton (R-McKinney)** replaced Phil King and holds the Texas Rising Star, HB 2294 and HB 4903 charges. **Senate Finance and HHS chairs, and all House committee chairs for 2026, are [unconfirmed].**

TWC Commissioners: Joe Esparza, Chairman and Commissioner Representing **Employers**; **Alberto Treviño III** (Labor); **Brent Connett** (Public, appointed September 26, 2025). **An employer-representative chairman is a favourable audience for business-side child care arguments.** HHSC Executive Commissioner Stephanie Muth; Deputy Executive Commissioner for Child Care Regulation Rachel Ashworth-Mazerolle.

The natural coalition home is the Employers for Childcare Task Force — Texas Restaurant Association, Early Matters Texas, Texas Association of Business and Texas 2036, with Texas Mutual Insurance support — which cites more than \$9 billion in annual Texas economic loss from inadequate child care and deserts in more than half of Texas counties. The **Texas Licensed Child Care Association** is the licensed-provider trade association and the most directly aligned body.

Business climate

Teacher median pay is **\$14 an hour** (\$12 rural, \$14 urban, \$16 with a bachelor’s degree); director median \$45,000. Only 37 percent of full-time center teachers receive health insurance. **58 percent of centers cite low wages as the primary hiring barrier**, with warehouses and retail explicitly named as competition. TWC is promoting **Multiple Employer Welfare Arrangements** to cut small-employer insurance premiums by up to 50 percent — worth evaluating.

Minimum wage is \$7.25 and Texas preempts local minimum wage ordinances. Wage pressure is market-driven, not statutory.

The property tax exemption is the biggest single for-profit-relevant lever, and it is local-option. Authorised by SB 1145 (2023) and Proposition 2, ratified November 7, 2023, it exempts **50 to 100 percent of appraised value** at local discretion. **Eligibility requires both (a) Texas Rising Star participation and (b) at least 20 percent of enrolled children receiving TWC subsidy.** Real property only. Adopting jurisdictions include San Antonio, Dallas, Austin, Houston, El Paso County, Denton, Hays County, Travis County (100 percent), New Braunfels and San Marcos.

Two constraints matter. Only about 17 percent of Texas's roughly 15,000 centers meet both tests — **an operator with low subsidy mix will likely fail the 20 percent threshold, so this must be modelled site by site before assuming benefit.** And where sites are leased, the landlord must pass tax savings through as reduced rent, with an unclear enforcement mechanism; the benefit does not flow automatically and requires active lease negotiation.

No state employer child care tax credit was found. Texas has no personal income tax and no identified franchise-tax child care credit.

What to watch

1. **TWC's 40 TAC Chapter 809 final rule.** Adoption is imminent. Watch specifically whether TWC **retains enrollment-based and prospective payment** now that the federal mandate has lapsed, and how it simplifies Texas Rising Star parameters. Highest revenue-certainty stake in the state.
2. **The Governor's Task Force report, due December 1, 2026.** It sets the 2027 governance and budget agenda; comment windows and meeting testimony are open now.
3. **Whether Texas voluntarily keeps the 7 percent copay cap.** TWC's sliding scale is now policy, not federal mandate.
4. **SEMARC operationalisation.** Confirm the hiring pipeline and screening vendor handle the TEA, TJJD and Employee Misconduct Registry sources.
5. **Property tax exemption adoption in specific taxing jurisdictions,** tested per site against the Texas Rising Star plus 20-percent-subsidy thresholds, with landlord pass-through conversations opened where sites are leased.

3.5 Florida — 16 centers

Snapshot. Florida's Voluntary Prekindergarten programme is not a market a private operator participates in at the margin — **it is a privately delivered public programme, with 77 percent of VPK providers private and licensed private centers alone accounting for 68 percent of the provider base.** That is the strongest political asset in the state. It sits alongside the least favourable subsidy terms in the portfolio and the single sharpest cost-versus-revenue divergence anywhere in this report: **the VPK base student allocation has been flat at \$3,029 for three consecutive fiscal years while the state minimum wage rises 25 percent.**

Licensing and regulation

Two agencies split the file, and this is the most common error in vendor briefings. Licensing sits with the **Department of Children and Families.** Subsidy and VPK sit with the **Division of Early Learning inside the Department of Education,** operating through 30 early learning coalitions plus the Redlands Christian Migrant Association. The 2021–23 restructuring moved the former Office of Early Learning into FLDOE; **it did not move licensing.**

DCF administers licensing in **63 of 67 counties**. **Broward, Palm Beach, Pinellas and Sarasota operate their own local licensing agencies** — meaning a multi-site operator in those counties faces separate inspection regimes with independent enforcement discretion.

Ratios under s. 402.305(4), F.S.: under 1 year 1:4; 1 to under 2 1:6; 2 to under 3 1:11; 3 to under 4 1:15; **4 to under 5 1:20**; 5 and older 1:25.

Florida imposes no separate statutory maximum group sizes. Capacity is governed by square footage plus ratio. This is a real competitive advantage relative to benchmark states, and it partly explains why NIEER scored Florida only four of ten quality benchmarks while ranking it **second nationally on access** for four-year-olds.

Staff requirements: a 40-clock-hour introductory course within one year of start; annual in-service of one CEU or ten clock hours; early literacy of 0.5 CEU or five clock hours once during employment; a Director Credential as a minimum licensing standard; and one credentialed staff member per twenty children.

Level 2 background screening includes employment history, criminal history, sexual predator and offender registries, and **the child abuse and neglect registry of every state of residence in the preceding five years**, with DCF required to complete screening within three business days. **CS/SB 738 (2025) created a 45-day provisional hiring status** during pending screening, with supervision requirements — a material hiring-velocity improvement.

Enforcement under s. 402.310 permits fines up to \$100 per violation per day, or up to \$500 per day where the violation could result in death or serious harm; probation up to six months, non-renewable; and denial, suspension or revocation. **CS/SB 738 created a three-tier violation classification (Class 1/2/3)** effective July 1, 2025 — the enforcement grid center directors are now managed against. **Inspection frequency under s. 402.311 is [unconfirmed].**

CS/CS/CS/SB 1690 (2026), Chapter 2026-140, sponsored by Sen. Calatayud and passed 37-0 and 111-0, took effect **July 1, 2026**. It renames “family day care home” to “family child care home”; **requires license-exempt providers — church and parochial schools, employer-operated centers — to disclose exempt status on their websites and materials**, a competitive-transparency win for licensed operators; extends residential property insurance non-cancellation protection to large family child care homes; creates the **Florida Child Care Fund** inside FLDOE’s direct-support organisation; expands the TEACH Scholarship and creates a Center for Early Childhood Professional Recognition; and requires **Division of Early Learning annual reporting beginning January 1, 2027**.

Subsidy — School Readiness

FY2024-25 actuals: **210,786 children served across 6,919 providers**, average monthly enrollment 153,804, **waitlist peaking at 18,948 in June 2025**, total expenditures \$1.21 billion with 74.78 percent to direct services. The Florida Policy Institute estimates only about **15 percent of eligible families** receive a voucher.

Rates are set by county, provider type, unit of care and age band, adopted annually by the Legislature in the appropriations process. Illustrative FY2025-26 statewide base rates for licensed and exempt providers: full-time infant **\$50.00 a day**; full-time preschool three-year-old \$27.95; part-time school-age \$15.33. County variance is wide — Miami-Dade full-time infant is \$55.20.

Methodology and the gap. Florida uses a **narrow cost analysis, not a cost estimation model**. Current rates sit **below** the federal 75th-percentile equal-access benchmark — Gold Seal infant at approximately **88.60 percent** and non-Gold Seal infant at approximately **84.90 percent** of the 75th percentile. Gold Seal carries a minimum 20 percent differential; quality performance incentives add four to ten percent.

The payment-practice question is the most consequential item in the Florida file, and it moved in the last sixty days.

The sequence matters. **Florida took four ACF waivers from the 2024 CCDF rule — the 7 percent copay cap, prospective payment (explicitly not eligible for renewal), enrollment-based payment, and targeted grants and contracts — all expiring August 1, 2026.** Florida's CCDF appendix committed to amend Rule 6M-4.500 by April 30, 2026 to require payment prior to delivery of services and payment based on enrollment, implement by July 1, 2026, and file a plan amendment by July 31, 2026. Florida acknowledged in that filing that it **currently exceeds the 7 percent copay cap and permits providers to charge families above the copay.**

Then the federal floor was pulled out on July 13, 2026.

And the only 2026 amendment to Rule 6M-4.500, effective June 17, 2026, concerns the special-needs differential — not prospective or enrollment-based payment. The rulemaking trail is likewise special-needs only.

The conclusion, high-confidence but formally [unconfirmed]: Florida appears to have let the enrollment-based and prospective payment reforms lapse rather than implement them, and the federal rescission ratified that outcome three weeks ago. Florida remains an attendance-based, arrears-payment state. Confirm by reading the current 6M-4.500 text and the Division's July 31, 2026 plan amendment filing. If correct, it removes a working-capital improvement competitors in enrollment-pay states are already booking, and it is the strongest available ask for the 2027 session.

Eligibility. CS/CS/HB 1255 (2025), Chapter 2025-110, effective July 1, 2025, redefined “economically disadvantaged” as families at or below **55 percent of state median income**, replacing the 150-percent-of-FPL standard, and required waitlists to track children by household income and priority level. A parallel 50-percent-SMI version, CS/HB 859, passed the House 114-0 and Senate 38-0 but died in returning messages on June 16, 2025; its staff analysis warned that without new appropriation the effect of eligibility expansion is **a longer waitlist, not more enrollment.**

VPK

FY2026-27 enacted funding, from HB 5001-E, Chapter 2026-232, signed June 29, 2026:

Line	Item	FY2026-27
84	VPK programme	\$433,773,635
80	School Readiness services, all funds	\$1,152,783,397
74-87	Early Learning Services programme total	\$1,654,215,005

VPK base student allocation: \$3,029 per FTE school-year, \$2,586 summer, plus five percent above the allocation for administrative and other programme costs. *(These figures were read from the enrolled text of HB 5001-E. Note that the regular-session General Appropriations Act died in conference on March 13, 2026 and the budget was completed in extended session; confirm the chapter number and approval date alongside the line items before external use.)*

These are identical to FY2025-26 and FY2024-25. VPK per-child funding has been flat for at least three consecutive fiscal years while the state minimum wage rose from \$12 to \$15. The Florida Policy Institute ranks Florida **41st of the 43 states** with free pre-K on per-student spending. The Governor's January 2026 recommendation carried **\$483.4 million** for VPK; the enacted figure came in roughly \$49.6 million below it. That gap is a usable advocacy fact.

The private-provider share, quantified. FY2024-25: 153,132 children served across 6,292 VPK providers, 97 percent in the school-year programme. **Licensed private centers were 4,259 providers — 68 percent of the provider base. Public schools were 22 percent. Private, non-public-school providers were approximately 77 percent of all VPK providers.** Roughly 77 percent of eligible four-year-olds attend VPK. **Florida's VPK is a privately delivered programme with public financing, and the for-profit sector is the delivery system rather than a participant at the margin. That is the central political asset in any 2027 rate argument.**

HB 345 / SB 512 (2026) — Rep. Edmonds (R-West Palm Beach) and Sen. Osgood (D-Tamarac) — would have **indexed the VPK base student allocation to inflation**. It did not advance. **A bipartisan sponsor pair is the rarest asset in Tallahassee, and with the allocation flat for three years against a \$15 wage floor, this is the highest-probability early learning vehicle for 2027.**

One further 2025 change worth noting: **CS/CS/HB 1255 removed the rule barring families from using a full VPK voucher after completing more than 70 percent of the programme, enabling mid-year provider transfers without forfeiting the benefit** — a direct enrollment-competition change that favours providers able to absorb transfers.

Quality and accountability

Florida runs a single seven-point observational programme assessment across both School Readiness and VPK, and **it is a contract eligibility gate, not a star rating.**

Under s. 1002.68, F.S., VPK programme assessment measures emotional support, classroom organisation and instructional support, with the composite weighted at 50 percent or more of provider designations across five tiers. Providers below minimum go on probation; failure, or **two consecutive years on probation, triggers removal from eligibility for two to five years.**

The number that binds is 4.00. Under F.A.C. 6M-8.621, a VPK contract minimum composite below 4.00 means the provider cannot participate in the consecutive programme year and thereafter until the threshold is met, with one self-funded re-assessment permitted within 30 days. Under 6M-4.740, the same 4.00 threshold applies to School Readiness, with failure triggering a Quality Improvement Plan if the provider is deemed essential to local capacity, and otherwise contract termination and up to five-year eligibility revocation.

But in FY2024-25, 99 percent of assessed providers scored at or above 4.00 in both programmes, with average composites of 5.23 and 5.31. **A 99 percent pass rate means the threshold is a floor, not a screen.** For a well-run operator the risk is not failing; it is that the differential is capped at 15 percent while the base rate sits 11 to 15 percent below the 75th percentile. **Quality dollars cannot close a base-rate gap. Any 2027 strategy that leads with “raise the quality differential” is arguing for the smaller of the two pools.**

Gold Seal designation covered 1,934 providers in FY2024-25, of whom 1,589 contracted for School Readiness and 1,648 for VPK.

Florida's child care tax credits

Florida enacted a corporate and multi-tax child care credit codified across ss. 402.261, 220.19, 212.1835, 211.0254, 561.1214, 624.509 and 624.5107, F.S., administered by the Department of Revenue. Three qualifying activities: **startup costs** for an eligible facility, **operating** a facility for employees, and **payments to an eligible child care facility on behalf of an employee**. Allocations are **first-come, first-served until the cap is reached**. The annual programme cap figure is **[unconfirmed]** and should be obtained from the Department of Revenue.

The third bucket — employer payments to a facility for an employee — is a direct B2B revenue channel. An enterprise sales effort can market Florida-capped credits to employer clients. Confirm the cap and remaining allocation before building a campaign, since it is first-come, first-served.

2027 outlook

Florida alternates session start dates and 2027 is an odd year, so it is a March start. The 2027 Regular Session convenes **Tuesday, March 2, 2027** and adjourns sine die Friday, April 30, 2027, with the bill filing deadline at noon on March 2 and the last scheduled committee meeting April 20.

Committee meetings begin in the autumn of 2026. Specific interim week dates are [unconfirmed] and should be pulled as soon as they post. With a March 2 start, the real policy design work happens between October and December 2026.

Political overlay: 2027 is the first session of a new Governor's term. DeSantis is term-limited; the primary was August 18, 2026 and the general is November 3, 2026. The Republican field comprises U.S. Rep. Byron Donalds (Trump-endorsed), Lt. Gov. Jay Collins, former House Speaker Paul Renner and James Fishback; David Jolly leads the Democratic field; Sen. Jason Pizzo, currently Vice Chair of Senate Appropriations on PreK-12 Education, is running with no party affiliation. The race is rated Solid Republican.

Teed up for 2027: **VPK base student allocation indexation**, the highest-probability vehicle; **the federal rescission cleanup**, since nothing is locked in on payment practice; School Readiness base-rate methodology, with the 2025-26 market rate survey landing in this window; **VPK full-school-day** proposals, which have not advanced in either chamber and which a new Governor makes a plausible reset for; and SB 1690 implementation, with the Division's first annual report due January 1, 2027, two months before session.

Political and agency map

A leadership conflict requires resolution before this section is relied upon. FLDOE's leadership page currently lists **Anastasios Kamoutsas** as Commissioner, but FLDOE's own newsroom carries a **June 30, 2026 release welcoming Interim Commissioner Dr. Paul O. Burns**, unanimously appointed by the State Board. The most likely reading is that Kamoutsas departed on or around June 30, 2026 and Dr. Burns is serving as Interim Commissioner with the leadership page stale — **but this is [unconfirmed]**. **A leadership vacuum at FLDOE five months before a gubernatorial transition is itself strategically relevant**, and a permanent Commissioner will likely be the new Governor's pick, pushing real early learning policy direction into mid-2027.

Division of Early Learning Chancellor: Cari Miller. The Division is the continuity layer through the transition and the relationship to build now.

Key legislative players: **Senate Education Pre-K-12 Chair Corey Simon (R); Vice Chair Alexis Calatayud (R). Senate Appropriations Committee on Pre-K-12 Education Chair Danny Burgess (R); Vice Chair Jason Pizzo (NPA). Sen. Calatayud is the single most important relationship** — she sponsored both the enacted 2026 child care law (SB 1690) and the 2025 School Readiness bill (SB 1102), and vice-chairs the policy committee. **House committee chairs are [unconfirmed]**, and House rosters turn over entirely after November 2026.

The Florida Association for Child Care Management is the for-profit operators' vehicle in Florida. It describes itself as the state's largest child care advocacy group representing centers and providers, and it owns the **APPLE Accreditation** standard, which qualifies for Gold Seal — giving it unusual leverage on both sides of the accreditation-to-differential pipeline. **Current leadership and published 2027 priorities are [unconfirmed]** and should be obtained directly. Also relevant: the Children's Movement of Florida, the most reliable public bill tracker for early learning; and the Florida Policy Institute, the analytic source most often cited against the state's funding posture and useful as third-party validation for a rate argument. **The Florida Chamber's current position is [unconfirmed]**; given the employer-side child care credit already in statute, the Chamber is the natural partner for expanding it in 2027.

Business climate

The minimum wage schedule is the defining financial fact. Under voter-approved Amendment 2 (2020): \$12.00 September 2022; \$13.00 September 2024; **\$14.00 currently; \$15.00 on September 30, 2026** — the final step — then CPI-indexed annually. Tipped minimum rises to \$11.98.

Stated plainly: the wage floor rises 25 percent from September 2022 to September 2026. VPK's base student allocation over the same period moved from \$3,029 to \$3,029 — zero percent. School Readiness rates remain roughly 11 to 15 percent below the 75th-percentile benchmark. This single comparison is the most powerful fully sourced advocacy exhibit available anywhere in this report, and it is simultaneously the operating reality.

Partial statutory offsets: the 45-day provisional hire window compresses time-to-fill; TEACH Scholarship expansion and the new Center for Early Childhood Professional Recognition subsidize credentialing; the Division's Emergent Literacy Micro-Credential carries stipends. **None is a wage subsidy.**

CS/SB 738 (2025) exempted preschools from municipal special assessments — a recurring, quantifiable local cost reduction across a multi-site footprint that municipalities apply slowly. **Verify that Florida sites are actually receiving this exemption on current municipal bills.**

CS/CS/SB 182 (2026), effective July 1, 2026, addresses private school facilities and zoning. Whether its preemptions extend to licensed child care facilities as opposed to private K-12 schools is [unconfirmed] and warrants a direct read of the enrolled text, because a preemption covering child care would be materially valuable for site expansion.

Commercial property insurance cost trends for Florida child care centers are [unconfirmed] and represent the largest unresearched area in this profile. Given Florida's commercial property market, this warrants dedicated follow-up.

What to watch

1. **Confirm whether Florida abandoned enrollment-based and prospective payment.** The ACF waivers expired August 1, 2026 — two days ago. Read the current 6M-4.500 text and obtain the Division's July 31, 2026 CCDF plan amendment. Highest dollar impact in the state.
2. **September 30, 2026 — the minimum wage reaches \$15.00.** Model the Florida P&L against a flat \$3,029 VPK allocation and School Readiness rates below benchmark. This comparison is simultaneously the advocacy exhibit and the budget reality.
3. **The gubernatorial transition and the FLDOE leadership question.** Build relationships with the leading campaigns' policy shops and with Chancellor Miller's Division team now.
4. **Autumn 2026 interim committee weeks — obtain the calendar the day it posts.** Target Sen. Calatayud, Chair Simon and Appropriations Chair Burgess, and revive HB 345 / SB 512 VPK inflation indexing as the bipartisan vehicle.
5. **Two unglamorous items that convert directly to cash:** the child care tax credit cap and remaining allocation at the Department of Revenue, and whether Florida sites are receiving the SB 738 municipal special assessment exemption.

3.6 Arkansas — 14 centers

Snapshot. The most urgent item in this entire report sits in Arkansas. **The state's child care sustainability funding package expires on September 30, 2026 — roughly eight weeks from now — with no successor funding decision in the public record, no legislative session until January 2027, and a 2026 fiscal session that declined to add early childhood money.** Any rate reduction or eligibility tightening will arrive by administrative action in the fourth quarter of 2026 with minimal notice.

Licensing and regulation

Child care licensing in Arkansas sits with the Department of Education — Division of Elementary and Secondary Education, Office of Early Childhood — not the Department of Human Services. The 2023 LEARNS Act, following Governor Sanders’s January 11, 2023 executive order, moved the office out of DHS. **This is a genuinely different regulator personality than in most states: an education agency, outcome- and kindergarten-readiness oriented, running licensing.**

A stale-artifact risk worth flagging to center directors. Legacy DHS pages remain live, and DESE’s own **Child Care Assistance page still instructs applicants to mail DHS at “P.O. Box 1437, Slot S145” and links a 2021 sliding fee chart.** All compliance questions should route to the Office of Early Childhood and the School Readiness Assistance portal.

Ratios and group sizes under the Minimum Licensing Requirements for Child Care Centers:

Age	Ratio	Max group
Birth – 18 months	1:5	10
18 – 36 months	1:8	16
2.5 – 3 years	1:12	24
4 years	1:15	30
5 years – kindergarten	1:18	36

Group size is capped at twice the number of children allowed with one staff member. **Infant and toddler ratios of 1:5 and 1:8 are more permissive than the national median and materially better for unit economics than neighbouring states with 1:4 infant rules. This is a labor-cost advantage worth protecting — and worth watching, because any quality push in 2027 will target exactly these numbers.**

Directors must be at least 21 with one of four qualification pathways, and **must be on site at least 50 percent of the center’s primary operational day on a routine basis** — a real constraint on roving or shared leadership models across fourteen centers. Staff must be 18 (16 and 17 permitted only under direct supervision) with a high school diploma or GED. Training: 15 clock hours a year for directors and direct care staff; new staff require 8 hours of orientation plus 15 hours of job-specific training within three months.

Background checks require FBI and Arkansas State Police checks every five years and Child Maltreatment Registry checks every two years.

The enforcement leverage runs through subsidy, and it is unusually severe. The CCDF participant agreement provides for **immediate termination of subsidy participation upon license revocation, probationary or provisional license status, loss of Better Beginnings Level 2, or federal exclusion-list placement. A provisional license — not merely a revocation — cuts off subsidy revenue.** In a state where subsidy is a meaningful revenue line, that is a severe cliff and a strong argument for over-investing in licensing compliance.

The operative center licensing rulebook available through the federal database remains the December 2020 edition, and whether the Office of Early Childhood has promulgated a comprehensive post-transfer rewrite is [unconfirmed] — the largest verification gap in the Arkansas file. The Arkansas Early Childhood Commission holds rule-approval authority; **its published minutes run only through April 2025.**

A licensing-reform report is already on the table. United WE commissioned the University of Arkansas Office for Education Policy, with additional Walton Family Foundation funding, for a year-long study released October 29, 2025 with the policy brief following November 5. Method: 32 providers in focus groups and more than 50 expert interviews. **Provider satisfaction with licensing averaged 5.7 out of 10, with extensive documentation, overlapping inspections and long**

approval periods the chief complaints. Six recommendations: streamline licensing and align state and local requirements; financial support including subsidies, insurance options and facility-upgrade grants; workforce development; **modernise zoning to permit child care in residential areas and establish “Child Care Zones”**; diversify funding beyond federal dependence; and recruit family child care providers.

This is a foundation-backed, bipartisan-framed, ready-made legislative package and the reform most aligned with operator interests and most likely to pass in 2027.

Subsidy — School Readiness Assistance

The Child Care Assistance Program is now **School Readiness Assistance**, on a dedicated portal launched November 18, 2024.

Rates are set from the Arkansas Market Rate Survey at the **75th percentile**, standardised statewide **except Benton and Washington counties in Northwest Arkansas, which carry a higher rate**. A family of three with a child under four and income below \$30,334 qualifies for up to **\$35 a day**. **The complete county, age and quality-level rate table is not publicly posted [unconfirmed]** and should be obtained through the provider portal.

The 2025 restructuring collapsed payment tiers so that rates are identical for Better Beginnings levels 3–4 and identical for levels 5–6 — designed to avoid direct payment cuts while preserving quality incentives.

Payment basis is attendance-anchored — the participant agreement reimburses for “services delivered” — but Arkansas softens it with a generous absence allowance rather than true enrollment-based payment: six days a month and twelve per period in July–October and March–June, eight and sixteen in November–February, with an **annual ceiling of 40 days** absent a written waiver. **Up to five paid professional development days a year** and holiday billing when the facility is closed and the child was scheduled are also permitted.

One operational risk deserves direct attention: “OEC is not obligated to pay bills more than thirty calendar days after the date of service” absent prior written approval. Late submission means forfeited revenue. Verify that the Arkansas billing cycle clears this comfortably.

Eligibility runs on monthly income limits effective October 1, 2025 keyed to state median income, with children birth through twelve, family assets under \$1 million, and parents working or in school. **The work requirement was raised from 20 to 30 hours a week in November 2025** — a demand-side headwind that will disqualify part-time-working parents and shrink subsidy-funded census at the margin. The 72-month lifetime limit was eliminated, partially offsetting.

Copays are zero for families at or below the state poverty level. **Uniform copayment percentages across age groups for multi-child families were adopted; capping multi-child copays at 7 percent of household income and eliminating copays below 60 percent SMI remained under consideration as of November 3, 2025, at an estimated cost of \$5 to \$7 million. Whether Arkansas adopted the 7 percent cap between November 2025 and August 2026 is [unconfirmed] and is a high priority** — it was a federal requirement until July 13, 2026, and Arkansas’s hedging suggests a compliance gap that the rescission may simply have resolved by default.

The cliff. The October–November 2025 sustainability package — approximately **\$77 million through September 30, 2026**, following an emergency bridge of \$28 million to sustain programs for eight weeks — was adopted after **250 child care facilities across 50 of Arkansas’s 75 counties faced potential closure** and roughly 400 layoffs were projected. Deputy Commissioner Stacy Smith called the plan “still doable,” requiring monthly financial monitoring.

Arkansas allocates roughly \$101 million in federal CCDF against approximately \$7.8 million in state funds — a state share of roughly 7 percent, an unusually thin state commitment. That is precisely the “diversify funding beyond federal dependence” recommendation in the United WE report, and precisely why the FY2027 cliff is dangerous.

Enrollment: more than 16,000 children, with roughly 1,100 on the waitlist as of February 2025.

Arkansas Better Chance

Established in 1991 and expanded in 2003, ABC serves birth to five with developmental and socio-economic risk factors across center-based, home-visiting and family child care home models. **Private and for-profit centers are eligible** — the 2025–26 finance guidance explicitly distinguishes LEAs from “private programs” with different administrative cost caps.

But size the opportunity carefully. Rep. Julie Mayberry stated in April 2026 that “most ABC providers operate within public school systems,” arguing 75 percent of any appropriation increase would flow back to public schools. **The private and for-profit share of ABC slots is [unconfirmed] and appears to be a minority.** Obtain the provider-type breakdown from the Office of Early Childhood before sizing.

2025–26 funding rates: **center-based \$5,105 per child per year**; home-visiting \$1,894. Terms include a **40 percent match requirement** (ABC reimburses 60 percent, and match may be cash or in-kind including donated goods, services, equipment, utilities and labor), administrative cost caps of 12 percent for LEAs and **15 percent for private programs**, monthly payment October through April based on enrollment, and a **separate bank account with no commingling**.

At \$5,105 per child per year with a 40 percent match obligation and a 15 percent admin cap, ABC is a thin-margin-to-loss-leader programme for a for-profit operator absent a strong in-kind match strategy. The in-kind flexibility is the key lever. ABC’s quality standards also impose 1:10 ratios and one bachelor’s degree holder per three classrooms against a licensing baseline of 1:15 with no degree requirement — the staffing delta belongs in any pro forma.

Statewide 2024-25: **20,327 children enrolled — up just 16 from the prior year** — against \$106.1 million state spending plus \$7.5 million TANF and **\$14.0 million in federal recovery funds now expiring**. State spending per child \$6,278, up nine percent inflation-adjusted, meeting eight of ten NIEER benchmarks. **Note the tension: the increase went to per-child adequacy and to backfilling expiring federal money, not to slot expansion — and a second cliff is embedded in the ABC number.**

Act 504 of 2025 (HB1733), approved April 10, 2025, consolidated the Arkansas Better Chance and ABC for School Success programmes across approximately 23,000 slots, repealing the prior 200-percent-of-poverty eligibility definition and letting the department set unified eligibility on risk factors including **family income, parental education level, low birth weight, limited English proficiency and developmental delays**. **This broadens the eligible population beyond a pure income test and expands the addressable ABC-eligible census in mixed-income centers.**

The April 2026 rate fight was lost — but on funding source, not merits. Rep. Julie Mayberry (R-Hensley) brought a proposal to appropriate roughly **\$22 million** from the public school adequacy fund and require ABC providers be reimbursed at no less than 75 percent of current market rates. Her case: **ABC pays \$28 a day against \$33 to \$36 for other early childhood programmes; ABC has not had a significant increase in funding since 2008**; 70 percent of participating pre-K students reached kindergarten readiness. **Sen. Jonathan Dismang objected to drawing from the public school adequacy fund** given concerns that Educational Freedom Accounts are already straining public education. **A 2027 ABC increase needs a funding source outside the adequacy fund — general revenue, TANF or surplus. That is the coalition design problem to solve before January 2027.**

Better Beginnings

The scale is now 1 to 6, not 1 to 3 — the public database lets parents filter by ratings on a 1–6 scale and the 2025 rate restructuring explicitly references quality levels 3–4 and 5–6. **But the public Better Beginnings site still publishes only Level One, Two and Three Star Kits; the published requirements for levels 4, 5 and 6 are [unconfirmed] and not publicly documented.** This is a material gap for any rating-advancement strategy and should be requested directly.

Two hard linkages: **loss of Level 2 triggers immediate termination from subsidy participation** — Level 2 is the price of admission — and reimbursement is tiered by level, with the 2025 restructuring collapsing 3–4 and 5–6.

The tier collapse destroys the marginal return on moving from 3→4 and from 5→6. The only rate-relevant moves are 2→3 and 4→5. Any quality-investment plan should be re-sequenced accordingly.

A reputational note. The Childcare Arkansas database, launched July 8, 2025 under the LEARNS Act, makes ratings, hours, transportation, voucher acceptance and **complaint history** consumer-facing and map-searchable, and supports filing complaints against facilities. **Audit Arkansas listings for accuracy — errors in a state-run parent-choice tool are a direct enrollment risk.**

Legislation and the 2027 outlook

Arkansas holds regular sessions in odd years and fiscal sessions in even years.

2025 regular session: Act 504 (ABC consolidation) passed. **Two employer child care tax credit bills died** — HB1019, the Affordable Childcare Act of 2025 (Rep. D. Garner, with A. Collins and Springer), died in House Revenue & Taxation at sine die on May 5, 2025; **HB1435** (Reps. Achor and J. English), which would have amended the employer credit and created a new credit for licensed child care providers, died in House committee the same day.

A correction that should be circulated internally. A commercial vendor site markets an “Arkansas Employer Child Care Tax Credit 2026 | Act 1435 — \$15M Annual Cap,” claiming a 30 percent credit, a \$3,600-per-child cap, a \$500,000 per-employer cap and a \$3.75 million rural set-aside, and describes it as “active for the 2026 program year.” **The Arkansas General Assembly’s own bill record shows HB1435 died in House committee at sine die on May 5, 2025 and was never assigned an act number.** The same page attributes oversight to an entity that has not held the portfolio since the 2023 LEARNS transfer. **Do not build tax planning on it.**

Credits that do exist in Arkansas code: **Ark. Code §§ 26-51-507 and 26-51-508**, an income tax credit of **3.9 percent of the annual salary** of employees exclusively providing child care services, with a two-year carryforward; and **§§ 26-52-516 and 26-53-132**, a **refund of gross receipts tax paid on construction materials and furnishings** for employer-operated or employer-contracted child care facilities. **The construction-materials refund is directly usable in new-center capital expenditure.** Verify current statutory text with the Department of Finance and Administration before claiming.

2026 fiscal session: convened April 8, 2026 on a \$6.7 billion proposed budget with a \$334.4 million forecast surplus. **Early childhood outcome: nothing gained.** The only item of note — Mayberry’s \$22 million ABC rate floor — was rejected April 22. **Vouchers are consuming the education budget’s political oxygen and crowding out early childhood asks.**

2027 outlook. The 96th General Assembly convenes in January 2027. Governor Sanders is overwhelmingly likely to win a second term — the Republican primary was cancelled and every forecaster rates the race Solid or Safe Republican. **Planning assumption: continuity. The LEARNS framework, the Department-of-Education-housed Office of Early Childhood, and the voucher-first education posture all persist. There is no realistic scenario in which licensing moves back to DHS.**

Teed up for 2027: **the SRA funding cliff**, which will dominate; **ABC rate adequacy** with a different revenue vehicle; **licensing streamlining** from the United WE / OEP package; **zoning modernisation and “Child Care Zones,”** which will draw municipal-league opposition; and **a third attempt at an employer child care tax credit**, with Garner, Collins, Springer, Achor and English as a ready-made bipartisan coalition.

Interim committee activity is [unconfirmed] — the legislature’s interim listing returned no committees for the cycle. **The Arkansas Early Childhood Commission is the faster-moving venue** and holds rule-approval authority; its current membership and chair are **[unconfirmed]** and should be requested.

Political and agency map

Role	Name
Governor	Sarah Huckabee Sanders (R)
Secretary of Education	Jacob Oliva
Deputy Commissioner, DESE	Stacy Smith — led the sustainability negotiation
Office of Early Childhood, interim Director	Ashelyn Abney
ABC Program Manager	Susan Underwood, 501-683-1068

An interim director running a programme through a funding cliff is a meaningful instability signal — and also an access opportunity, since interim leaders are often more receptive to constructive operator input. Whether Abney remains interim is **[unconfirmed]**.

Named actors: **Sen. Breanne Davis (R-Russellville)**, Senate Majority Whip, publicly engaged on child care access and women’s workforce participation via the United WE report — **the highest-value legislative relationship in the state**; **Rep. Julie Mayberry (R-Hensley)**, the ABC rate champion and natural bill sponsor; **Sen. Jonathan Dismang**, the Joint Budget gatekeeper who must be satisfied on funding source.

The winning 2027 configuration is business and workforce framing — State Chamber, United WE, Women’s Foundation of Arkansas — carrying a licensing-streamlining and employer-tax-credit package, sponsored by Davis in the Senate and Mayberry in the House, with a non-adequacy-fund revenue source to satisfy Dismang. **A multi-state operator is a credible voice in that coalition but should lead with workforce and employer arguments rather than provider-margin arguments.** The **Arkansas State Chamber’s current child care position is [unconfirmed]** and is the highest-leverage untapped ally.

Business climate

Average annual child care cost **\$9,178**; a family with two young children pays **\$17,500 a year — 27 percent of median household income**. Estimated annual economic loss from inadequate child care: **\$1.2 billion**. Arkansas ranks 43rd on KIDS COUNT child well-being.

Arkansas women’s employment rate is 76.5 percent against 79 percent nationally; **69 percent of surveyed mothers cited child care cost as a critical employment barrier**. Anna Koelsch of the Women’s Foundation put it usefully: *“When the cost of care rivals or exceeds what a second income brings home, leaving the workforce is a rational financial decision.”* **That reframes subsidy as labor-force policy rather than welfare and is the single most useful advocacy quote in the Arkansas record.**

Zoning is identified as a primary structural barrier — restricting residential and mixed-use locations, with variation across municipalities creating unpredictability for multi-site expansion. **No statewide zoning preemption exists.** A 2027 preemption bill would be a direct expansion enabler.

Arkansas-specific wage and turnover figures, and liability insurance cost and availability data, are [unconfirmed]. Insurance was elevated to a top-six recommendation in the licensing report, which suggests a genuine market-hardening problem worth independent broker inquiry.

What to watch

1. **The September 30, 2026 SRA funding cliff — act now.** Roughly eight weeks out with no successor decision in the public record. Establish direct contact with Deputy Commissioner Stacy Smith and the Office of Early Childhood, monitor Arkansas Early Childhood Commission agendas weekly, and **model the Arkansas P&L against a 10 to 20 percent subsidy rate reduction scenario.**
2. **Resolve the 7 percent copay cap question** and determine whether Arkansas adopted it, waived it, or was simply relieved of it by the federal rescission.
3. **Obtain three documents:** the current county, age and quality-level rate table; the published requirements for Better Beginnings levels 4, 5 and 6; and the Early Childhood Commission roster and meeting calendar. Without them, quality-tier investment cannot be optimised — remember that only 2→3 and 4→5 move the rate.
4. **Position for the 2027 licensing-streamlining bill and get ahead of a ratio fight.** Engage Sen. Breanne Davis and the Arkansas State Chamber now, and watch for any quality counter-proposal touching the permissive 1:5, 1:8 and 1:15 ratios.
5. **Track the ABC rate-floor rematch and its funding source,** and confirm that the \$14.0 million in expiring federal recovery funds inside the FY25 ABC total has a replacement.

3.7 Oklahoma — 12 centers

Snapshot. The most volatile state in the portfolio, and the volatility cuts both ways. The subsidy programme is in active retrenchment — the pandemic-era add-on ended in April, income eligibility dropped from 85 to **55 percent of state median income on July 1, 2026**, base rates have not moved since January 2023, and **131 centers have closed since April.** Against that, two structural wins for operators arrived with HB 4298 in May, and — uniquely in this portfolio — **Oklahoma's near-universal school-based pre-K is shrinking, with children staying in child care centers.**

Licensing and regulation

Licensing sits with Oklahoma Human Services, Child Care Services, under OAC Title 340:110-3. The governing document is **Pub 14-05, "Licensing Requirements for Child Care Programs," effective November 1, 2025.**

A technical note for compliance staff: OKDHS's own policy-library URLs now redirect to rules.ok.gov. Oklahoma has migrated its administrative code to a new platform and any internal compliance links to the old library are broken. Separately, **the Spanish version of Pub 14-05 remains the June 2022 edition** — a compliance gap if the workforce includes Spanish-dominant staff.

Ratios could not be retrieved from a primary source. Appendix GG is not reproduced in the body of Pub 14-05 and the policy page redirects. A secondary source gives infants 1:4, toddlers 1:5 and preschool 1:10, **with maximum group sizes entirely [unconfirmed]. Treat these as unverified and request Appendix GG directly from Child Care Services before relying on them for staffing models.** For context, state pre-K in public schools runs a 10:1 ratio with class size capped at 20.

Directors must be 21 with a current bronze or higher Oklahoma Director's Credential and must work at least 50 percent of operating hours or 30 hours a week. **Master Teachers require a Level 4 or higher Oklahoma Professional Development Ladder certificate, with a minimum of one master teacher per 60 children of licensed capacity** — tightening to 1:30 for two- and three-star centers under legacy criteria. **This is the provision HB 4298 targets.** All teaching personnel need Entry Level Child Care Training within 90 days of hire.

Background checks include criminal history resubmitted every five years and a search of the Restricted Registry, known as Joshua's List.

Reputational exposure is unusually high in Oklahoma. OKDHS logs licensing visits publicly on the Child Care Locator with visit type, purpose, a count of areas in compliance, itemised non-compliances, full downloadable reports, and a **substantiated complaint history persisting for years.** Competitors and journalists can pull center-level compliance records trivially. One offsetting benefit: **accredited programmes are exempt from partial reviews** absent serious non-compliance.

The accreditation mandate is the biggest recent regulatory change and it carries real cost. Revised emergency rules released December 20, 2024 require **five-star facilities to obtain accreditation from one of nine approved national organisations**, with milestones on April 10, September 1 and December 31, 2025. **Failure means a star rating reduction** — and given the rate table, that is roughly a 13 percent revenue cut on infants dropping from five to four stars, or 48 percent dropping from five to three. **All costs fall on providers**, and providers testified at the January 2025 hearing that accreditation is “about a two-year process” and could force salary cuts. More than 50 providers registered to comment, largely opposed.

Subsidy — the retrenchment sequence

Oklahoma uses **tiered reimbursement keyed directly to star level, and the tie is the steepest in the portfolio.**

Center full-time daily rates, effective January 1, 2023 and unrevised since:

Age band	1★	2★	3★	4★	5★
0–12 mo	\$20.00	\$22.80	\$38.00	\$44.00	\$50.60
13–24 mo	\$20.00	\$21.80	\$33.60	\$41.80	\$48.10
25–48 mo	\$17.20	\$19.60	\$31.50	\$35.90	\$41.30
49–72 mo	\$17.00	\$18.50	\$22.80	\$25.20	\$29.00
73 mo–13 yr	\$13.80	\$16.10	\$18.80	\$20.70	\$23.80

The two-star to three-star step is the money cliff: infant care moves from \$22.80 to \$38.00 a day — a 67 percent increase for one star level. One star to five stars on infants is +153 percent. Any Oklahoma portfolio strategy should be built around star advancement before volume.

Add-ons: special needs +\$16 full-time / +\$12 part-time daily (moderate) and +\$28 / +\$20 (severe); **non-traditional hours \$14 a day**; child welfare case +\$5 a day.

Base rates have been frozen for roughly three and a half years through a period in which infant care costs rose 27 percent between 2023 and 2025.

The 2026 sequence:

Effective	Change
January 12, 2026	Subsidy access expanded to children aged 6, 7 and 8; TANF emergency-assistance families to age 13
April 6, 2026	\$5/day pandemic add-on ends for all recipients
July 1, 2026	Income eligibility reverts from 85% to 55% of state median income

The eligibility reversion is estimated to affect approximately **5,800 families**. The subsidy programme historically costs roughly \$280 million a year against \$230 million budgeted, with the gap covered by now-exhausted federal TANF reserves. Director Cartmell framed the FY2027 ask as needed to “continue to serve the 40,000 kids on the subsidy programme that we were serving at the end of September.”

One payment mechanic requires attention. Oklahoma runs a **copay-first model**: “OKDHS does NOT begin paying until services provided total more than the client co-payment.” With copays running to \$473 a month, the provider bears substantial collection risk. **Combined with the July 2026 eligibility cut, expect elevated bad debt.** OKDHS is rolling out **KinderSystems** as a new provider payment system with attendance tracking; timing is **[unconfirmed]** and billing operations should pre-position.

Whether a formal waitlist exists is [unconfirmed] — Oklahoma rationed instead via a 2025 application and renewal freeze and the 2026 eligibility reduction.

A recruitment tool worth using. HB 2778 (2025) provides **no-cost child care to early childhood educators**, and the related Oklahoma Strong Start Program has awarded **\$2.37 million in benefits to nearly 1,000 child care professionals**. Against wages of \$11 to \$12 an hour, free child care for staff is worth real money. Programme mechanics are **[unconfirmed]** and should be sourced directly.

State pre-K — the defining Oklahoma dynamic

Oklahoma runs one of the nation’s oldest near-universal four-year-old pre-K programmes, **delivered through public school districts** with no income requirement, an Early Childhood Certified Teacher, a 10:1 ratio and both full-day and half-day options. All non-charter districts offer it.

Enrollment is falling, and that is commercially significant:

Metric	2019-20	2024-25
4-year-olds enrolled	39,767	32,794
Share of 4-year-olds served	76% (peak)	65%
3-year-olds enrolled	2,111	1,370

That is a roughly 7,000-child, 17.6 percent decline in five years — while national preschool enrollment surged. Oklahoma still ranks fifth nationally for four-year-old access and meets nine of ten NIEER quality benchmarks, but it sits 30th in state spending per child at \$5,749.

NIEER’s own stated causes of the decline include, explicitly, “children remaining in childcare centers through ages 4-5,” alongside low awareness, district enrollment friction, declining K-12 enrollment and increased homeschooling.

The commercial read is unusual and worth stating plainly: the structural threat that school-based universal pre-K poses to private four-year-old enrollment is weakening in Oklahoma, not strengthening. Roughly 3,500 four-year-olds a year have shifted out of the district pipeline since 2019. This argues for holding or expanding four-year-old capacity rather than ceding the age band — the opposite of the correct posture in most universal-pre-K states.

The partnership pathway is real but thinly documented. State law expressly permits public school early childhood programmes to operate collaboratively with other organisations, and the Department of Education names **child care centers** among documented partner types under OAC 210:15-11-2. The best-documented model is the Tulsa Head Start / Tulsa Public Schools partnership.

Mechanics for a private operator are partly [unconfirmed]. In the collaboration model the district remains the fiscal and accountability agent, drawing state aid and contracting with the community site. **The binding constraint is the Early Childhood Certified Teacher requirement** — the teacher of record must hold Oklahoma ECE certification and is typically employed by the district and placed in the classroom, or employed by the operator at district-comparable salary. **No current policy document, application, per-pupil pass-through rate or list of active collaborative sites could be located. This is the largest single research gap in the Oklahoma profile and the second-highest priority after ratios.** Direct outreach to the Department of Education and to the specific districts of operation — Tulsa, Oklahoma City, Moore, Deer Creek, Edmond, Norman — would resolve it. The certified-teacher salary requirement is likely the deal-breaker or deal-maker.

Reaching for the Stars

Oklahoma moved to an upgraded **five-level** system effective June 1, 2022, adding a path to accreditation for providers seeking four- or five-star ratings and criteria based on staff retention.

A stale-source warning worth passing to any consultant. The federal ACF and ECQuality state profiles and OKDHS's own Pub 99-39, dated November 1, 2016, all still describe the **obsolete four-level system** — One Star, One Star Plus, Two Star, Three Star. Live provider records confirm the current nomenclature. **Do not let vendors brief off the ACF profile. Current four- and five-star criteria documents could not be retrieved and are [unconfirmed].**

Also adopted: quality coaches now handle QRIS monitoring; annual criteria reviews are available on one week's notice; and the grievance first-step timeframe extended from ten to fifteen business days.

Legislation

HB 2778 (2025) — enacted over veto. Authors Rep. Suzanne Schreiber (D-Tulsa) and Sen. Chuck Hall (R-Perry). Provides no-cost child care to early childhood educators. **Governor Stitt vetoed; the Legislature overrode on June 3, 2025 — House 69-17, Senate 36-9.**

That override is the single most important political datapoint in this profile: a Republican supermajority overrode a Republican governor on a child care bill by better than four to one in the House. Child care has escaped partisan valence in Oklahoma.

HB 1848 (2025) failed — a 30 percent employer tax credit capped at \$30,000 per employer and \$5 million annually for tax years 2026 through 2030.

HB 4298 — approved by the Governor May 12, 2026. The most operator-relevant bill in the state. House 95-0 and 83-2; Senate 48-0. Rep. **Daniel Pae (R-Lawton)** is the author of record at first reading; Rep. **Suzanne Schreiber (D-Tulsa)** and Sen. **Paul Rosino (R-OKC)** are the authors named in the bill's public announcement. **Note on the effective date: the Senate**

added an emergency clause on April 20, 2026, which in Oklahoma makes an act effective on the Governor's approval rather than the following July 1. Contemporaneous reporting described the bill as effective July 1, 2026; treat May 12, 2026 as the more likely operative date and confirm against the enrolled text before relying on either. [unconfirmed]

1. **Master teacher ratio flexibility** — OKDHS must establish more flexible master teacher ratios while maintaining overall staff-to-child ratios. Pure margin relief, since master teachers require Level 4+ credentials and command premium wages.
2. **Differential or gap fee authority** — subject to federal approval, licensed providers may charge subsidy families **the gap between the state subsidy rate and the private-pay rate**, provided total charges to the parent, copay plus gap fee, **do not exceed 10 percent of household income**.

Forty other states already permit similar differential fees. **Quantified upside: at the frozen rates, a three-star center serving an infant collects \$38.00 a day — roughly \$823 a month — against Oklahoma private-pay infant rates well above that. HB 4298 permits recovery of part of that gap for the first time. And the federal rescission of the 7 percent copay cap on July 13, 2026 removed the main legal obstacle.** Confirm OKDHS has secured ACF approval and issued billing guidance before charging any subsidy family a gap fee.

HB 1979 (2026) — enacted. Authors Rep. Trish Ranson (D-Stillwater) and Sen. Chuck Hall, with Sen. Rosino. Creates an **Early Childhood Task Force** to examine delivery across school readiness, infant and child health, and access to care. **Preliminary report due November 2027; final recommendations November 2028.** The stated goal is to **consolidate 19 early childhood programmes currently run by five different agencies. Task force membership and appointing authorities are [unconfirmed] — this is a high-value seat for an industry representative and appointments have not closed.**

HB 3705 (2026) — enacted, raising the **Parental Choice Tax Credit** allocation cap from \$250 million to \$275 million. This is the private-school and homeschool credit, not a child care credit, but it is the relevant fiscal comparator: **Oklahoma has committed \$275 million a year to school choice while the entire child care subsidy programme runs about \$280 million and was cut.** That framing asymmetry is the strongest 2027 argument available.

FY2027 appropriations. The \$12.82 billion budget passed April 9, 2026. **OKDHS requested roughly \$70 million for child care — \$57 million to restore subsidy and \$11.5 million for Strong Start — and received approximately \$7.5 million in additional subsidy plus \$4.5 million for teacher recruitment and retention. That is roughly 17 percent of the ask.** Common education received an additional \$232 million including a \$2,000 teacher minimum salary raise, widening the K-12 versus child care wage gap.

The consequence: 131 day care centers have closed statewide since April 2026. That is a **consolidation opportunity for a well-capitalised operator**, particularly for acquiring three-star-and-above licenses in markets where subsidy-dependent independents are failing.

2027 outlook

The Legislature convenes approximately **February 1, 2027 [unconfirmed]**.

A new governor takes office in January 2027. Stitt is term-limited. The June 16, 2026 Republican primary produced no majority: **Attorney General Gentner Drummond at 25.9 percent and former state senator Mike Mazzei at 25.5 percent advanced to an August 25, 2026 runoff — three weeks from this writing.** Trump and Rep. Josh Brecheen endorsed Mazzei; the Oklahoma Fraternal Order of Police endorsed Drummond. **Cyndi Munson**, House Minority Leader, is the Democratic nominee. The race is rated Solid Republican.

Stitt was the veto point — he vetoed HB 2778 and pushed flat DHS budgets. Either successor is likely to be less hostile. Neither Republican runoff candidate has a documented child care position **[unconfirmed]**, and the runoff window is the cheapest access available.

Teed up for 2027: restoring the 55 percent SMI cut, with OKDHS’s unfunded \$57 million request as the ready-made vehicle; a rate schedule update, with the underlying rate methodology **[unconfirmed]** and worth researching before advocacy; HB 4298 implementation; the HB 1979 task force organising through 2027; a third attempt at an employer tax credit; and **the 131 center closures as the political fact driving the debate.**

Interim studies typically run September to October. No child care study was identified among the sampled House requests, so a sponsor slot may still be open. Senate interim studies are **[unconfirmed]**.

Political and agency map

Jeffrey Cartmell, Director of Oklahoma Human Services, appointed August 2024 and Senate-confirmed May 27, 2025. His background is executive and legal — Office of Juvenile Affairs, Deputy General Counsel to the Governor, private practice — **not child welfare or early education, unlike his predecessor Dr. Deborah Shropshire, a pediatrician.** Engagement should be framed in fiscal sustainability, programme integrity and workforce and economic development terms rather than child development terms. He was appointed by an outgoing governor and **his tenure past January 2027 is not assured [unconfirmed].**

Legislator	Relevance
Rep. Suzanne Schreiber (D-Tulsa)	Author of HB 2778 and HB 4298. The single most important legislative relationship in the state — and in the minority party, which makes her Republican co-authors essential
Sen. Paul Rosino (R-OKC)	Carried the differential-fee and ratio-relief bill. Primary Senate target
Sen. Chuck Hall (R-Perry)	Co-author on both the workforce subsidy and the task force
Rep. Daniel Pae (R-Lawton)	House Appropriations subcommittee chair; “child care is a fundamental workforce issue.” Key appropriations gatekeeper
Cyndi Munson (D-OKC)	House Minority Leader and gubernatorial nominee; has linked workforce, taxes and child care

The Licensed Child Care Association, President Tammy Maus, is the industry’s own voice and the most natural coalition partner. **The Oklahoma State Chamber and Oklahoma Business Voice have covered child care as a business and workforce issue consistently since 2024 — the most important ideological ally for a for-profit operator in a Republican state, because it permits the argument to be made in business language.** Also: the Oklahoma Institute for Child Advocacy; the Oklahoma Policy Institute, the highest-quality source of fiscal analysis; and the **Center for Early Childhood Professional Development**, which administers the Professional Development Ladder and **accreditation support** — directly useful for meeting the five-star mandate at reduced cost.

Business climate and what to watch

Early childhood educators earn **\$11 to \$12 an hour**; precise state wage data is **[unconfirmed]**. The state’s \$85 million for a \$2,000 public school teacher minimum salary raise intensifies poaching of credentialed staff. Level 4+ Professional Development Ladder and bronze Director’s Credential requirements create credentialed-labor bottlenecks money alone cannot solve quickly.

No Oklahoma employer child care tax credit exists. Zoning and liability are municipal and common-law questions and are **[unconfirmed]** — both require separate review.

What to watch:

1. **HB 4298 gap-fee federal approval and OKDHS implementing guidance.** The statute is in force but the differential fee is expressly conditioned on federal approval. Confirm both the operative effective date and ACF approval before charging any subsidy family a gap fee — billing early carries direct compliance risk.
2. **OKDHS rulemaking on master teacher ratios.** OKDHS is *required* to loosen them; the flexibility level is being set right now and directly determines labor cost at every Oklahoma site. **File comments.**
3. **The August 25, 2026 Republican gubernatorial runoff, then the November general.** Engage both campaigns during the runoff window.
4. **Fallout from the July 1 drop to 55 percent SMI.** Track subsidy-family attrition and receivables at renewal, identify distressed three-star-and-above acquisition targets, and watch whether closure numbers generate enough pressure to force a restoration bill.
5. **HB 1979 task force stand-up and appointments — seek an industry seat before appointments close.**

3.8 Virginia — 7 centers

Snapshot. The most improved operating environment in the portfolio and the one with the clearest structural win. Virginia **eliminated its subsidy waitlist entirely in the FY2027–28 budget** and enacted a **statutory biennial re-benchmarking mechanism** that puts reimbursement rates on an escalator rather than an ad hoc appropriation. It also has the best-priced public revenue stream anywhere in this report — the Mixed Delivery Grant Program, reserved for licensed private providers, re-benchmarked at \$19,441 a slot. Against that: rates have not actually risen since October 2022, the minimum wage is on a legislated climb to \$15.00, and a complete licensing rewrite may have taken effect today.

Licensing — the headline item

Licensing sits with the **Virginia Department of Education, Office of Child Care Health and Safety**, moved from the Department of Social Services in July 2021.

8VAC20-780 is being replaced by 8VAC20-781, and the effective date requires immediate verification. The Board of Education proposed to repeal 780 and replace it with a reorganised, more prescriptive 781; the proposed stage published December 1, 2025, comment closed January 16, 2026, and final Board approval was expected at the April 2026 meeting. **The Virginia Administrative Code now carries a Chapter 781 entry showing an effective date of August 3, 2026 — today.**

This is [partially unconfirmed] and is the highest-priority verification item in the Virginia file. The Agency 20 chapter index, dated July 28, 2026, still lists 780 and does not show 781, and no Register final-adoption notice could be located. The most probable reading is that 781 became effective today and the index has not caught up. **Confirm with VDOE directly.** Precedent matters: when 8VAC20-780 took effect in October 2021, VDOE granted a **90-day non-citation grace period and expired all existing variances after 90 days, requiring reapplication.** Expect an analogous transition — **and note that any variances currently held are likely to expire.**

What changes under 781:

Area	Change
Ratios	Core ratios unchanged . School-age loosened to max 20 per staff member (from 18) , max group size 100
Staff qualifications	Loosened — director and lead teacher pathways expanded to include career studies certificates and Virginia endorsements in child-related fields
Training	3 of the 16 required annual hours must be VDOE's health and safety update course; new-staff orientation expands from 11 to 20 topics; directors must complete pre-licensure orientation within 60 days
Screen time (new)	Visual media prohibited birth to 16 months; max 2 hours a day thereafter unless curriculum-based
Safe sleep	Swaddling, weighted blankets and sleep-adaptive equipment prohibited absent physician order
Building	Lead risk assessments for pre-1978 buildings; CO detectors for pre-2015 buildings; potable water testing plan
Emergency	Lockdown drills twice a year (from once)
Records	Parents must annually attest to the accuracy of child records

The qualification loosening is a genuine hiring tailwind and should be operationalised in recruiting immediately. Everything else is added cost and documentation load — screen-time limits, doubled lockdown drills, annual parent attestations and building assessments are the items most likely to generate citations in the first inspection cycle.

Current ratios under 8VAC20-780-350, operative until 781 lands: birth to 16 months 1:4; 16 to 24 months 1:5; two-year-olds 1:8; three years to school-age eligible **1:10**; school-age to nine 1:18; nine to twelve 1:20. **Virginia does not impose broad maximum group sizes by age; group-size caps beyond school-age are [unconfirmed].**

Two other live compliance items. A separate new chapter, **8VAC20-821**, took effect February 1, 2026, consolidating licensure procedures, background checks and fee requirements. And **effective January 1, 2026, providers now pay all background check fees at increased rates** — \$12 for a Central Registry search, \$17 for portability requests, and \$63.23 for a national criminal fingerprint check for non-volunteers. **For a multi-site operator with meaningful turnover this is a real new line item at roughly \$63 to \$92 per non-volunteer hire.**

A **stock epinephrine** requirement was pursued as a fast-track rule but drew more than the ten objections required to kill fast-track — objectors cited recurring EpiPen cost, liability, and that “educators are not medical professionals” — and reverted to standard rulemaking. **But stock epinephrine also appears in the 8VAC20-781 package, so the requirement may arrive regardless.** Track it.

Licensed centers are inspected **at least twice annually, unannounced**. The state has 2,646 licensed center-based programmes and 1,328 licensed family child care homes. **Enforcement trend data is [unconfirmed]** and would require a data request.

Subsidy — Child Care Subsidy Program

VDOE is the CCDF lead agency; the programme is administered operationally by VDSS through local departments of social services. FY2025 saw **\$531 million in total CCDF expenditures serving more than 40,000 children**, with 53,977 children receiving subsidies at some point in the year and **47,676 slots as of December 2025**. Subsidy children are served at roughly **3,107 private early childhood centers statewide — this is overwhelmingly a private-provider-delivered programme.**

Virginia is one of the leading states using a cost estimation model rather than a market rate survey, developed with Prenatal to Five Fiscal Strategies. Rates reflect programme inputs — wages, standards, curriculum, quality improvement — and vary by child age, setting type and regional grouping rather than individual locality market.

The central provider grievance: rates have not increased since October 2022. The published maximum reimbursement schedule is dated August 2023, and multiple 2026 sources confirm rates unchanged since 2022. Four years of wage and insurance inflation have been absorbed by providers.

Re-benchmarking is the fix in motion, and it would raise average state funding per birth-to-five slot by more than 60 percent. Re-benchmarked cost-per-slot assumptions:

Programme	Cost per slot
CCSP birth-to-five	\$16,669
CCSP school-age	\$3,687
Mixed Delivery	\$19,441
VPI	\$6,763

Virginia pays on attendance, not enrollment. VDOE materials state providers are reimbursed “according to actual child attendance rather than enrollment alone,” and a January 2026 policy memo re-issued reminders on child-absence rules.

Virginia’s compliance posture and waiver status under the 2024 federal rule is [unconfirmed] and is a high-value advocacy opening. Two workgroup reports are the near-term documents to obtain: an attendance-and-absence-policy workgroup met in October 2025 with findings due December 2025, and an out-of-school-time rate review workgroup met June to September 2025 with a report due December 2025.

The attendance system changed on December 1, 2025, when **Child Care PASS**, operated by KinderSystems, replaced the legacy swipe-card system. Confirm center-level onboarding is complete at every Virginia site, since attendance capture directly determines revenue.

Copay was cut, not raised. Effective July 1, 2025, Virginia **reduced the maximum copay from 7 percent to 5 percent of family income** — below the former federal ceiling — and set families at or below the poverty line at a flat \$5 a month per child. Eligibility runs to 85 percent SMI with entry thresholds set locality by locality.

The waitlist was eliminated. From roughly 3,000 in August 2024, it rose above 12,000 by January 2025 and peaked around 13,000 in June 2025, standing at 12,144 in December 2025 — and **just over 2,000 by June 2026**. The FY2027–28 budget **fully eliminates locally maintained CCSP waitlists regardless of age**, funds roughly **6,700 additional slots**, and builds in headroom for about 10 percent growth.

One caveat worth carrying. Advocates argue waitlist elimination overstates the win: only 26 percent of eligible under-fives are enrolled in Richmond and 13 percent in Chesterfield County. That is demand suppression, not demand absence — **and it means substantial latent demand now sits behind a cleared waitlist and a 5 percent copay cap.**

State pre-K and Mixed Delivery

The Virginia Preschool Initiative serves at-risk three- and four-year-olds through school divisions **and community-based organisations**, with private providers eligible. Enrollment runs roughly 23,500 to 24,487 with a 3,351 waitlist as of December 2025; funding \$116.6 million (FY25) and \$115.4 million (FY26) state, against a local match requirement of \$114.1 million. Re-benchmarked at \$6,763 a slot.

A structural insight worth noting: VPI persistently underspends, and unused VPI funds are repeatedly repurposed to the subsidy programme — \$7.5 million in FY25, \$5.2 million in December 2024, \$2.3 million in February 2025, with a 2025 budget amendment formalising the practice.

The Mixed Delivery Grant Program is purpose-built for this business model and is the best-priced public revenue stream in the portfolio.

- It funds publicly financed early childhood education **delivered in licensed, non-faith-based private settings** — full-day, year-round, for infants, toddlers and preschoolers.
- It is administered through the Virginia Early Childhood Foundation across **nine Ready Regions covering 82 localities**, with regional coordinators.
- It uses a **cost-of-quality payment model** since 2023 that estimates actual operating expense including educator compensation, **delivered via contracts rather than vouchers** — sustained, predictable funding supporting competitive compensation.
- Scale: **\$37.4 million state general fund in FY2024 for 2,530 slots**, rising to 2,630 slots as of December 2025 with a **1,423-family waitlist**. Regional allocations ranged from \$981,030 to \$8,094,180.
- **Demand is roughly double funded capacity.**

Contract-based, cost-based, priced at \$19,441 a slot against CCSP's \$16,669 and VPI's \$6,763, explicitly reserved for licensed non-faith-based private providers, and running at roughly two times oversubscription. FY27 programme guidelines exist and should be obtained directly from VECF or the regional Mixed Delivery Coordinator — the public opportunities page returned a 404. FY27 funding totals, slot counts and per-slot rates by age are [unconfirmed].

VQB5

VQB5 is mandatory for every site receiving public early childhood funds — VPI, early childhood special education, Title I Preschool, Head Start, the **Child Care Subsidy Program**, CCAMPIS and Military Child Care Fee Assistance. **Operationally: accepting a single subsidy child at a site places that site in VQB5 with a publicly posted rating.** That is a public-reputation obligation vouchers in most states do not carry.

Three annual obligations per site: LinkB5 registration and profiles between August 15 and October 1 with curriculum reported by October 1; **two local CLASS observations per eligible classroom** (autumn and spring) conducted by the programme's own certified observers; and external CLASS observations covering approximately 75 percent of classrooms.

A points-based system totalling **800 points** produces five levels, from Distinguished (700–800) to Needs Support (100–399). **Interactions account for 700 points** — the average of all local CLASS scores times 100. **Curriculum accounts for 100 points**, awarded in full only if an approved curriculum is used in every classroom by May 31. Sites scoring 499 or below face mandatory structured improvement planning beginning autumn 2027. **Whether the current-year methodology matches the fall 2027 points system is [unconfirmed].**

Four operational conclusions. Two local CLASS observations per classroom per year requires certified in-house observers, and certification and recertification is a recurring budgeted expense at every site. **The score is essentially the rating** — 700 of 800 points is pure interaction quality, so there is no compliance-paperwork route to a good outcome; it is coaching, retention and ratio stability. **Curriculum is 100 free points** and is the cheapest 12.5 percent of the score available — confirm the national curriculum's approved-list status. And **mixed-age rooms are scored on the Toddler tool**, making room configuration a rating decision.

Virginia's own claim is that 99 percent of early childhood sites meet quality expectations. Read that as: a good rating is table stakes; a bad one is a serious, publicly discoverable liability.

RecognizeB5 is a companion VDOE educator incentive programme funded at \$20 million in FY25 and is a retention lever staff should be enrolled in.

2026 legislation and budget

A Democratic trifecta — Governor Spanberger, an expanded House majority following Democratic gains of 13 seats in November 2025, and Senate control — produced the most consequential child care session in years.

SB 134 (Sen. Mamie Locke, D-Hampton) / HB 1208 (Del. Briana Sewell, D-Prince William) — enacted. Requires VDOE to establish a **funding formula for early childhood education programmes**, estimating necessary funding based on parental demand and future economic development, and **enabling automatic reimbursement rate increases via a re-benchmarking process every two years, modelled on K-12 re-benchmarking**. Passed with bipartisan support. **This is the most important structural win for providers in a decade: it puts rates on a biennial escalator instead of ad hoc appropriation.** Chapter numbers and exact effective date are [unconfirmed].

HB 18 (Del. Adele McClure) / SB 3 (Sen. Lashrecse Aird) — enacted, signed May 27, 2026. Establishes the **Employee Child Care Assistance Program** — state matching funds for employers contributing toward employees’ child care costs, with priority to small businesses under 50 employees. **A direct commercial opportunity: position as the preferred provider partner for Virginia employers accessing the state match, particularly in Northern Virginia and the Richmond and Hampton Roads corridors.** Provider-side participation mechanics are [unconfirmed] and are the thing to chase.

The **FY2027–2028 biennial budget** was passed in special session on June 22, 2026 and finalised June 29:

Item	Amount
Total child care and early childhood education	\$577 million
Increase to expand child care assistance	+\$137.6 million
Employer cost-sharing pilot	\$25 million (revived after Youngkin’s 2025 veto)
New slots	~6,700
Waitlist	Fully eliminated, all ages, plus ~10% growth headroom

What the budget did not do is raise reimbursement rates. The advocacy coalition asked for \$428 million for slots and \$253 million for educator wage increases; it received roughly a third of the slot ask and nothing explicit on wages. **Rates unchanged since 2022 remains the defining provider grievance heading into 2027.**

The Department’s own funding-scenario report models three paths at re-benchmarked rates: maintaining current slots costs roughly \$620.3 million a year; historic growth rates cost \$940.9 million in FY27; eliminating all waitlists adds roughly \$188.7 million. **The enacted \$577 million lands below even the first scenario. That gap — between funding current slots at honest rates and what was appropriated — is the 2027 fight.**

2027 outlook and political map

The 2027 session convenes in January as a **short session** and is a **caboose year** — the General Assembly amends the FY2027-28 biennium already adopted rather than writing a new one. Lower ceiling for new money, real room for targeted amendments.

Democrats hold a trifecta. **Note a common error: there are no November 2026 House of Delegates elections. Virginia holds House elections in odd years; the last was November 4, 2025 and the next is November 2027.** That means the 2027 short session runs directly into a House campaign, which **raises the political value of affordability deliverables and lowers appetite for anything that looks like a business cost.**

Money committee dynamics are favourable: **House Appropriations Chair Del. Luke Torian (D-Prince William)** personally led the child care expansion; **Senate Finance and Appropriations Chair Sen. L. Louise Lucas (D-Portsmouth)** was a named participant in the funding-formula debate.

Teed up: **the first re-benchmarking under SB 134 / HB 1208**; reimbursement rate increases; enrollment-based payment and the attendance and absence policy workgroup findings; out-of-school-time rates, where school-age is 44 percent of the waitlist population and priced at just \$3,687 a slot; **Employee Child Care Assistance Program scale-up beyond the \$25 million pilot**; **Mixed Delivery expansion**, the most private-provider-favourable programme in the state and the easiest expansion story to tell; and regulatory streamlining and zoning.

Jenna Conway is the most important person in this file. She spent seven years as VDOE's Chief of Early Learning, spearheaded the birth-to-five system build, helped double the number of young children served with public funds over eight years, and previously unified Louisiana's early childhood programmes. She was named **Superintendent of Public Instruction on January 13, 2026** — the strongest available signal that early childhood is a governing priority rather than a talking point. **Virginia's K-12 chief is an early childhood person fluent in provider economics: arguments framed around rate adequacy, payroll and workforce will land; arguments framed around deregulation for its own sake will not.** Her successor as Chief of Early Learning is **[unconfirmed]** and is a priority identification. Secretary of Education Jeffery Smith completes the picture.

The Commission on Early Childhood Care and Education must report recommendations to the Governor and General Assembly by October 1 annually, and that report frames the session. Its October 2025 edition carried five notably business-friendly priorities: family-driven funding with sliding-scale copays; **public-private partnerships including an Early Childhood Digital Wallet and social impact bonds**; workforce stability through cost-of-quality reimbursement; **regulatory streamlining** — “reduce bureaucratic barriers to provider entry and expansion, including zoning and licensing simplifications”; and economic development integration. **That fourth priority is an explicit, on-the-record state endorsement of deregulatory interests and should be cited rather than re-argued.**

The Virginia Early Childhood Foundation is the most important non-governmental relationship in the state — it administers Mixed Delivery, staffs the Commission and publishes the annual report, making it the likely counterparty for Mixed Delivery contracts rather than a conventional advocacy group. Also: Voices for Virginia's Children (Allison Gilbreath), the Commonwealth Institute for Fiscal Analysis (Levi Goren), and Virginia Promise Partnership. **The Virginia Chamber's 2025-26 child care positions are [unconfirmed]**, but the Commission's economic-development framing and the employer-match law indicate active business engagement, and the Chamber is the best available coalition partner — business framing gives a credible voice that “provider asking for more money” does not.

Business climate and what to watch

The minimum wage is on a legislated escalator to \$15.00: \$12.77 on January 1, 2026; **\$13.75 on January 1, 2027; \$15.00 on January 1, 2028.**

This is the defining financial fact. A cumulative 17.5 percent minimum wage increase over 24 months against reimbursement rates frozen since October 2022. Compression will hit assistant-teacher and floater bands hardest and cascade upward into lead-teacher differentials. Model FY27 and FY28 labor separately by site; sites with high subsidy mix are squeezed from both ends.

74 percent of Virginia child care centers report staffing shortages. Mitigants: RecognizeB5, the state workforce registry, and the loosened qualification pathways under 8VAC20-781.

An **ECCE Capital Fund of \$25 million (FY25)** exists for facilities capital and is worth investigating for expansion or renovation eligibility. **State child care tax credits, statewide zoning preemption status and liability insurance market conditions are [unconfirmed].**

What to watch:

1. **Confirm the 8VAC20-781 effective date and transition terms this week.** Call the VDOE Office of Child Care Health and Safety: confirm the effective date, whether a 90-day non-citation grace period applies, and — critically — **whether existing variances expire and must be reapplied for.** Then run a gap assessment across all Virginia sites on the new items.
2. **Get inside the SB 134 / HB 1208 re-benchmarking methodology before the numbers publish.** The formula's cost, wage and regional assumptions will govern Virginia economics for years, off a base frozen since October 2022. Once published, the numbers are hard to move.
3. **Pursue Mixed Delivery expansion and secure the FY27 guidelines** from VECF and the Ready Region coordinators.
4. **Resolve enrollment versus attendance and obtain the two overdue workgroup reports.** Verify Child Care PASS onboarding is complete at every site.
5. **Shape the October 1, 2026 Commission report,** building on its existing zoning and licensing simplification language rather than introducing new asks.

3.9 Alabama — 5 centers

Snapshot. A low-regulation, low-subsidy state with one genuinely unusual feature: **Alabama's Childcare Facility Tax Credit is written explicitly for for-profit providers, is refundable, and scales with quality rating.** Most state child care credits exclude for-profit operators. Alabama's does the opposite. It also runs the highest-quality state pre-K programme in the country — twenty consecutive years at ten of ten national benchmarks — with explicit private-center participation. **Both the credit and the political continuity behind the pre-K programme face a hard test between now and December 31, 2027.**

Licensing

Licensing sits with the Alabama Department of Human Resources, Child Care Services Division, under Ala. Admin. Code ch. 660-5-26, **effective September 13, 2021. No comprehensive revision to the day care center minimum standards was adopted in 2025 or 2026** — the 2021 rewrite remains operative and no pending rulemaking for centers was identified. Licenses renew every two years.

Ratios, unchanged since July 2005: 0–18 months 1:5; 18 months to 2.5 years 1:7; 24–36 months 1:8; 2.5–4 years 1:11; **4 years to school age 1:18**; school age to 8 years 1:21; 8 and older 1:22. **Alabama does not publish separate maximum group-size caps [unconfirmed]** — which, combined with 1:18 at age four and 1:11 for two-and-a-half to four-year-olds, makes Alabama among the more permissive states in the Southeast.

Teachers need a high school diploma or GED plus at least 12 clock hours of training annually; directors need one of four pathways plus at least 20 clock hours of administration training and 4 hours of quality training annually.

One compliance flag. ACF identified Alabama as **non-compliant with 45 CFR 98.44, pediatric first aid pre-service training**, in the FY2025–2027 CCDF plan review. **Expect corrective action to land as a pre-service training requirement on new hires — a real onboarding cost.**

Inspection frequency and enforcement volume trend data are not published in accessible form [unconfirmed] and would require a records request.

The religious exemption is the defining feature of Alabama’s competitive landscape and it remains fully in force. The 2018 Child Care Safety Act limits exemption to preschool programmes that are “an integral part of a local church ministry or a religious nonprofit elementary school,” and **no repeal or narrowing was enacted in 2025 or 2026.** Exempt facilities must notify DHR, submit employee criminal history information, show proof of property, casualty and liability coverage, disclose staff qualifications and ratios to parents, **post in plain view a statement that the programme is not regulated or licensed by DHR**, and obtain annual signed parental affidavits.

Exempt church-based centers remain price-competitive with a lower cost structure in most Alabama markets. But they cannot access the Quality STARS-gated tax credits or, in practice, subsidy tiering. That is the structural counter-advantage, and a licensed for-profit operator’s Alabama strategy should lean into the incentive stack the exempt sector cannot touch — STARS 4 or 5 rating, the facility tax credit, subsidy tiering and First Class Pre-K grants — rather than competing on private-pay price.

Subsidy

Alabama’s FFY2025–2027 CCDF State Plan was approved March 26, 2025, with delivery through four Child Care Management Agencies covering nine regions.

Eligibility runs at **60 percent of state median income** — \$3,729 a month for a family of three, equivalently 180 percent of the federal poverty level — **well below the federal 85 percent SMI ceiling.** Alabama leaves substantial eligible demand unserved by design.

Alabama pays on an enrollment basis, not attendance — materially better for occupancy-based unit economics than the attendance states, and aligned with the now-rescinded 2024 federal rule.

Copay is an open compliance issue. The sliding scale runs 2 to 5 percent of gross family income, with roughly 60 percent of participating families paying no copayment. But **copays are assessed per child, not per family, with no multi-child discount — meaning a family with two or three children in care can exceed the 7 percent cap.** Alabama formally submitted a waiver to come into compliance after the start of the plan cycle. **When Alabama converts to a family-level cap, per-child copay revenue at the center gate falls for multi-child families. Model it as a receivables shift rather than a revenue loss — the state share should rise correspondingly — but timing risk is real.** The July 13, 2026 federal rescission may simply resolve the issue by removing the requirement.

Rates are the stalest in the portfolio. The posted schedule, “Provider Rates with QRIS Tiers,” is dated **April 1, 2022**, and base rates were originally set at the **70th percentile of the 2017 market rate survey**, effective October 1, 2018. QRIS tiered add-ons above base run **+2 / +4 / +6 / +8 / +10 percent** for one through five stars.

The 2024 Child Care Cost Study, conducted by DHR with Alabama State University, documents the gap. Statewide 75th-percentile weekly center rates: \$205 for children under two and a half, \$195 for two and a half to five, \$153 school-age. Documented reimbursement gaps: Huntsville centers, under two and a half — **\$210 market against \$168 one-star reimbursement, a \$42 weekly gap**; Birmingham — \$220 against \$199, a \$21 gap. The study concludes “almost all child care rates were higher than the reimbursement rate.” The draft plan separately reports a statewide average reimbursement near **\$120 a week** with 46 percent of providers charging above it and **an average \$24 per-child weekly shortfall.**

No rate increase has been announced for FY2026 or FY2027 [unconfirmed whether one is in planning]. The 2024 cost study creates the evidentiary predicate; the FY2027 Education Trust Fund gave DHR’s child care line only **+\$455,980**, which will not fund a meaningful across-the-board increase.

Alabama’s plan does not describe a statewide waitlist, operating instead on priority enrollment categories.

First Class Pre-K — the largest untapped opportunity

Administered by the Alabama Department of Early Childhood Education, Office of School Readiness.

- **1,521 classrooms** serving approximately **24,168 four-year-olds**, in every one of Alabama’s 67 counties
- Roughly **40 percent of Alabama four-year-olds** served in 2024-25, projected to reach 47 percent under the FY2027 budget
- **Twenty consecutive years as the highest-quality state pre-K programme nationally — ten of ten NIEER quality benchmarks, unmatched**
- FY2027 funding: **\$209.87 million** to the Office of School Readiness, up \$12.4 million

Per-classroom grant amounts — the numbers that matter:

Component	Amount
New classroom setup, one-time	up to \$125,000
Tiered annual funding	\$84,804 – \$97,908 by free/reduced lunch eligibility
Excellence funding	up to \$48,300/yr on a 3-year renewal cycle
Per-pupil allocation, non-Head Start	up to \$3,600

Grantees must supply at least a **25 percent local match** for tiered and new classroom grants, which may be in-kind or from alternative revenue.

First Class Pre-K explicitly funds classrooms in public schools, private child care centers, Head Start programmes, community organisations, faith-based centers, colleges and universities, and military agencies. But the precise count of classrooms located in private child care centers is not published in any accessible source and is [unconfirmed]. This is the highest-value open data item in the Alabama file — obtainable from ADECE Office of School Readiness at 334-224-3171, or from the annual grantee list, which names each site.

The core trade-off: a First Class Pre-K classroom brings \$85,000 to \$98,000 annually plus up to \$125,000 in setup, but imposes a **bachelor’s-degree lead teacher and a 1:10 ratio** on that classroom against a 1:18 licensing baseline, plus a maximum class size of 20, a minimum of 15 hours annual professional development and a 6.5-hour instructional day.

The expansion runway is real and the barriers are ones an established operator can solve. Sixty-four new classrooms were announced June 24-25, 2026 for the 2026-27 school year, serving roughly 1,100 additional children. **Approximately 4,100 children sit on waiting lists in 20 priority counties identified by a University of Alabama study; clearing them would require 229 additional classrooms. The named barriers are available classroom space, transportation, before- and after-school care, and workforce capacity — every one of which an operator with existing licensed square footage is positioned to solve.** NIEER recommends Alabama move toward universal pre-K.

Alabama also received a **\$3.8 million Preschool Development Grant Birth through Five** award announced January 21, 2026, funding workforce supply, stability and skills, **alignment across mixed-delivery programmes**, and cross-agency analytics.

Quality STARS

ADECE administers Quality STARS under an interagency agreement with DHR. Five levels, building-block design. **Star 1 is automatic for licensed centers unless the programme opts out.** Star 2 and above are valid for 36 months.

Three financial ties, and they compound: subsidy tiering at +2 to +10 percent; an annual incentive payment from DHR (dollar amounts [unconfirmed]); and — most importantly — **participation in Quality STARS is a hard eligibility requirement for both state tax credits, and the facility credit scales directly with star level.**

Any Alabama center not rated at Star 4 or 5 is leaving money on the table across all three channels simultaneously. On the facility credit alone, the delta between Star 1 at \$1,000 per child and Star 5 at \$2,000 per child is worth up to the full \$25,000 facility cap.

The Child Care Tax Credit Act — and its sunset

HB 358, signed May 9, 2024, effective January 1, 2025, codified at Ala. Code Title 40, Ch. 18, Article 28. **Total package value: \$82.5 million over three years if fully utilised.**

Employer Childcare Tax Credit. Employers under 25 employees claim **100 percent** of eligible expenses; 25 or more claim **75 percent**. Cap **\$600,000 per employer per year**. Eligible employees are Alabama residents, full- or part-time including independent contractors, with wages at or below \$80,000, with children aged five or under. **The provider must be DHR-licensed and participating in Alabama Quality STARS.** Statewide aggregate caps: **\$15 million (2025), \$17.5 million (2026), \$20 million (2027)**, with 25 percent reserved for small businesses or employers headquartered in targeted rural counties. Non-refundable, no carryforward. Reservations open via My Alabama Taxes on a **first-come, first-served** basis.

Childcare Facility Tax Credit — for-profit providers only. Credit per average monthly eligible subsidy-enrolled child aged five and under, scaled by rating:

STARS rating	Credit per child
5-star	\$2,000
4-star	\$1,750
3-star	\$1,500
2-star	\$1,250
1-star	\$1,000

Cap **\$25,000 per qualifying facility per year** against a **\$5 million statewide aggregate cap**, with 25 percent set aside for rural facilities and unused rural allocation moving to the general queue **after July 1**. Eligibility requires a for-profit entity, current DHR licensure, Quality STARS participation and subsidy enrollment. **The credit is refundable** — unlike the employer credit — so it converts to cash even against low Alabama tax liability. Claim no later than March 1 following the tax year.

This is the headline provision. Most state child care credits exclude for-profit operators; Alabama's is written for them. A larger Alabama footprint at Star 4 or 5 with meaningful subsidy census would capture materially more, but against a \$5 million statewide pool on first-come, first-served reservation — **reservation timing is the whole game**. The rural set-aside releasing to the general queue after July 1 creates a **timing arbitrage** for non-rural centers.

The critical date: all credits are available January 1, 2025 through December 31, 2027, “subject to legislative extension.”

Uptake data for 2025 and 2026 is [unconfirmed] — neither the Department of Revenue nor the advocacy community has published claimed-versus-cap figures. Whether the pools are oversubscribed or undersubscribed determines both reservation urgency and the political viability of a 2027 extension, and should be requested from the Department of Revenue's Tax Incentives division.

Legislation and outlook

No dedicated child care legislation was enacted in the 2025 session, and no tax credit expansion, extension or subsidy legislation was enacted in 2026 — confirmed across multiple independent session recaps.

The one directly relevant 2026 enactment is **HB 78, the Healthy Early Development and Screen Time Act**, sponsored by **Rep. Jeana Ross (R-Guntersville)**, requiring state education officials to develop **screen time standards for child-care settings and preschools**, banning screen time for children under two, and mandating staff training. **Rep. Ross is the former ADECE Secretary — her sponsorship signals the beginning of a broader early-childhood programme-standards agenda, not a one-off.** Her HB 584, extending screen-based instruction limits to K-5, passed the House 98-0 but died in Senate Education Policy and should be expected back in 2027.

FY2027 Education Trust Fund: \$10.4 to 10.5 billion, a roughly six percent increase. Early childhood lines: **Office of School Readiness \$209.87 million (+\$12.4 million); DHR Child Care and Afterschool \$91.97 million (+\$455,980); VOICES for Alabama's Children \$375,000 as a new line item.** House Ways and Means Education Chair Danny Garrett set the fiscal tone for 2027: *"Those days where we had all that extra money is gone. We're getting back to normal times now."*

A session-timing correction worth carrying. The Alabama Legislature does **not** convene in January 2027. Under the four-year-term rotation, the first year of a term convenes the **first Tuesday in March — so the 2027 Regular Session begins March 2, 2027**, limited to 30 meeting days within 105 calendar days. That gives an unusually long runway from now, and means the pre-filing and interim window runs through autumn 2026 and February 2027.

The election overlay is a full turnover cycle. On November 3, 2026 the entire Legislature — all 105 House and 35 Senate seats — plus the governorship are on the ballot. **Governor Ivey is term-limited.** Nominees: **Tommy Tuberville (R)**, who won the May 19 primary with 79.1 percent, against **Doug Jones (D)** at 75.7 percent. Every forecaster rates the race Solid or Safe Republican.

A Tuberville administration means a new ADECE secretary appointment is possible, and Quality STARS and First Class Pre-K institutional continuity — remarkably stable across twenty years — becomes a live question for the first time in a long while. Governor Ivey has been First Class Pre-K's most consistent patron. **ADECE Secretary Ami Brooks, appointed June 2025, and DHR Commissioner Nancy Buckner both serve at the governor's pleasure.** New-governor budgets in Alabama are typically submitted very close to a March session start, compressing the advocacy window further.

Teed up for 2027: **the tax credit extension, which is the highest-stakes item;** HB 584 redux; HB 78 implementation rulemaking; CCDF compliance cleanup on the copay waiver, per-child methodology, twelve-month eligibility and pediatric first aid pre-service training; pre-K expansion appropriation against the 229-classroom gap; and subsidy rate rebasing on the 2024 cost study evidence.

Key relationships: **Rep. Danny Garrett (R-Trussville)**, Chair of House Ways and Means Education, and **Sen. Arthur Orr (R-Decatur)**, Chair of Senate Finance and Taxation Education — the two must-meet members on any pre-K or tax credit appropriation. **Rep. Jeana Ross (R-Guntersville)** is the most important relationship for regulatory-content issues. The **Women's Foundation of Alabama** was the principal architect and public champion of the Child Care Tax Credit and is the natural coalition partner for a sunset extension; the **Business Council of Alabama** backed the 2024 credit as a **workforce-participation measure rather than a social programme**, which is why it passed a conservative legislature.

What to watch

1. **The Child Care Tax Credit sunset on December 31, 2027.** The 2027 session convening March 2 is the last practical vehicle for extension. Coalition-building with the Women's Foundation, the Business Council and VOICES should begin in **autumn 2026**, before a new governor's first budget locks. Get in front of Orr and Garrett during the interim.
2. **The January 5, 2027 credit reservation window.** Both credits open first-come, first-served in early January via My Alabama Taxes. **The 2027 pools are the largest ever — \$20 million employer, \$5 million facility — and are also the last under current law.** Have every Alabama center's STARS rating maximised and reservation paperwork staged before New Year's, and watch July 1, 2027 for rural set-aside spillover.
3. **The First Class Pre-K FY2028 application cycle and the 229-classroom gap.** Obtain the classroom-by-auspice breakdown from ADECE and the priority-county list from the University of Alabama study.
4. **HB 78 screen-time rulemaking**, which will produce standards and a staff training mandate landing on licensed centers.
5. **The November 3, 2026 election and its cabinet consequences**, given that twenty years of First Class Pre-K continuity has rested substantially on gubernatorial patronage.

3.10 Tennessee — 5 centers

Snapshot. Tennessee is simultaneously the most legislatively productive and the most fiscally contractionary state in the portfolio. The 2026 session produced two near-unanimous acts — a red tape reduction act amending local zoning law and a new dedicated child care revenue stream — while the subsidy programme cut differentials, imposed a universal copay, activated a waitlist and **flattened the return on quality investment to essentially zero**. Two of the most consequential statutes could not be retrieved and should be obtained before any Tennessee planning proceeds.

Licensing

The Tennessee Department of Human Services regulates roughly 2,374 of the state's 4,164 licensed providers, with the Department of Education regulating the balance, largely school-based before- and after-school programmes. Rules sit at Tenn. Comp. R. & Regs. 1240-04-01.

New licensure rules took effect November 20, 2025, with a further revision dated February 8, 2026. TDHS ran provider training sessions in December 2025 and stated it would provide a transition period with technical assistance rather than immediate enforcement.

The substantive content of both the November 2025 and February 2026 revisions could not be verified and is [unconfirmed] — the Secretary of State's server blocked automated retrieval. This is the single largest verification gap in the Tennessee profile and should be closed by obtaining the rule texts directly, from the licensing consultant, or from the TDHS licensing rules guidance page.

Ratios and group sizes from the codified table — **to be treated as baseline and re-verified against the 2025–26 revisions before operational reliance**: infants 1:4 / max 8; toddlers 1:6 / max 12; two-year-olds 1:7 / max 14; three-year-olds 1:9 / max 16; **four-year-olds 1:13 / max 18**; five-year-olds 1:16 / max 20; school-age 1:20 with no maximum. **The 1:13 four-year-old and 1:16 five-year-old ratios are permissive by regional standards and are a meaningful margin advantage; the 1:4 infant ratio with a group cap of 8 is the binding constraint on infant-room economics.**

Directors need one of four qualification pathways, 36 hours of competency-based training in year one and 18 clock hours annually thereafter; caregivers need 16 hours in year one and 12 annually. **TDHS launched an Administrator Foundations Series in January 2026 aimed at new directors without four-year degrees — a useful internal promotion pathway** given the director qualification rules.

Background checks require fingerprinting within 10 calendar days and a Vulnerable Persons Registry check.

Enforcement carries an unusual reputational mechanic. Civil penalties run \$50 for minor violations and \$200 to \$1,000 for major ones, escalating for background-check failures. **Probation triggers mandatory parental notification, and QRIS scores must be posted at the facility where parents can view them.** Enforcement events in Tennessee carry direct, forced enrollment-marketing consequences that they do not in states without posting mandates. **A statutory minimum inspection frequency and enforcement trend statistics are [unconfirmed].**

Subsidy — the contraction

Date	Event
September 30, 2024	COVID-era supplemental funding ended
FY2025	CCDF reduced by approximately \$44.5 million
August 26, 2025	Waitlist activated for new applicants
October 1, 2025	Universal 5% copay begins; three rate differentials eliminated
January 1, 2026	New rate table effective; QRIS bonus cut

Current weekly full-time rates, effective January 1, 2026. “Top Tier” comprises the 20 highest-population or highest-income counties, including Davidson, Shelby, Knox and Hamilton.

Age group, child care centers	Top Tier	Lower Tier
Infant (6 wks–13 mo)	\$286.00	\$187.00
Toddler (13–31 mo)	\$264.00	\$176.00
Preschool (31 mo–K)	\$229.00	\$163.00
School In	\$87.00	\$83.00
School Out	\$157.00	\$121.00

A 15 percent differential is retained for infants and for children with disabilities.

The QRIS bonus cut is the most important number in this profile:

QRIS score	Bonus, October 2024
80–89	15% 5%
90–100	20% 10%

Modelled on a top-tier infant at a 90–100 score: October 2024 was $\$260 \times 1.20 = \text{\$312.00}$. January 2026 is $\$286 \times 1.10 = \text{\$314.60}$ — an increase of 0.8 percent. At an 80–89 score the increase is 0.4 percent. **A provider earning no QRIS bonus at all received the full 10 percent.**

Tennessee has substantially flattened the financial return on quality investment. If the Tennessee portfolio is heavily three-star, effective subsidy revenue is flat year over year despite a headline “rate increase.”

Eliminated differentials, effective October 1, 2025: the toddler differential, the child care desert and distressed county differential, and the **non-traditional hours differential**. Operators running second- and third-shift capacity or sited in rural distressed counties took an uncompensated revenue reduction.

Copay: families under 150 percent of poverty previously had copays waived. **From October 1, 2025, every approved family is assessed a 5 percent copay based on income**, with waivers retained only for Families First, Early Head Start partnerships, mental health and substance abuse services, and Department of Children's Services referrals. Five percent sits below the former federal 7 percent cap, so Tennessee is facially compliant — **but the 2024 rule encouraged waiving copays below 150 percent of poverty, and Tennessee moved the other way. This is both a plausible 2027 advocacy pressure point and a collections risk**, since the copay is collected through the provider relationship.

Eligibility sits at **85 percent of state median income** — the federal maximum, which is favourable. Twelve-month eligibility periods apply, and **families enrolled by August 26, 2025 remain covered through their period and may renew, so the waitlist bites only new entrants and lapsed families. Waitlist size is [unconfirmed]** and TDHS has not published it; Tennesseans for Quality Early Education is running a public “Clear The Child Care Waitlist” campaign, indicating political salience.

Payment basis — enrollment or attendance — is [unconfirmed] and is a material revenue-recognition question. Confirm with TDHS Child Care Fiscal at 1-800-362-8004.

Tennessee sets base rates at the 60th percentile of market price while federal guidance encourages the 75th; the state's own advisory commission recommended moving to a cost-estimation model.

Child Care WAGE\$ Tennessee raised its salary cap from \$20 to \$30 an hour, backed by a \$7.2 million state investment — a meaningful expansion of the eligible wage band.

And one item that is directly actionable and appears under-exploited: Public Chapter 80 (2025), SB1286 by Senate Majority Leader Jack Johnson, removed the requirement that grants under the child care improvement pilot programme be provided explicitly to nonprofit organisations. Effective March 28, 2025. **For-profit operators are now eligible for these grants.** Launch and Compliance Establishment Grants and Compliance Expansion Grants launched in December 2025 through the Community Foundation of Middle Tennessee, covering salaries, benefits, recruitment and physical space improvements. **Verify eligibility and apply.**

State pre-K

Tennessee Voluntary Pre-K is administered by the Department of Education across approximately **935 classrooms serving roughly 18,000 four-year-olds**, funded at roughly \$85 million, operating in 138 of 142 districts.

Private provider access exists but is conditioned: districts may contract with private child care providers, Head Start agencies and community-based organisations **rated at least three stars on the state QRIS.**

Strategically, VPK is predominantly school-based and district-controlled — the contracting relationship runs through the local education agency, not the state, so business development is a 142-district, locally negotiated effort rather than a single state procurement. The three-star floor is the gating credential.

Note the tension this creates. The state has just reduced the subsidy-side financial reward for three-star status while three-star remains the hard prerequisite for VPK contracting. **Maintaining top-tier QRIS in Tennessee is now justified primarily by VPK market access, not by subsidy bonus economics — and that is a deliberate decision to make rather than a default.**

Quality — Report Card and Star-Quality

Tennessee runs a two-part system administered in partnership with the University of Tennessee's Social Work Office of Research and Public Service.

Part one, the Child Care Report Card Evaluation Program, is mandatory for every licensed agency: quarterly evaluations on a 100-point scale — **four visits annually, averaged** — assessing health and safety and teacher-child interactions across six quality areas for homes and eight for centers. **Scores must be posted at the facility where parents can view them.**

Part two, the Star-Quality Program, is voluntary, awarding one, two or three stars.

The rate link is direct and formulaic, and it was cut effective January 1, 2026 as set out above. **No evidence was found of a redesign to the rating methodology itself** — the change appears to be purely to the payment schedule attached to existing scores — but a methodology update may exist within the unverified 2025–26 rule package.

Legislation — the 2026 breakthrough

The 114th General Assembly has adjourned sine die. **Child care was a rare consensus area, with the major bills passing near-unanimously in both chambers.**

The origin is worth understanding. Two 2024 study mandates — Public Chapters 934 and 938 — directed study of the child care workforce and of **regulatory barriers imposing costs or delays on child care businesses.** Both were executed by the Tennessee Advisory Commission on Intergovernmental Relations, producing *“Improving Policies and Addressing Barriers to Grow and Support Tennessee’s Child Care Industry”* in January 2025. **That report is the blueprint for essentially everything that passed in 2026 and should be read as the forward agenda.**

Its key findings: 71 percent of surveyed providers reported waitlists averaging 38 children; **eight counties have no licensed infant care and ten have only one provider;** median weekly toddler fees run \$220, from \$100 in Lewis County to \$365 in Williamson; **average child care worker earnings are \$12,973 a year, with one in ten workers below the poverty line,** and directors report losing staff to Target, Walmart, McDonald’s and Chick-fil-A; one in six unemployed Tennesseans cite child care.

Its recommendations map directly onto the 2027 agenda: **align child care zoning with schools and churches;** permit home-based care by right in residential zones; eliminate special appeals for centers in appropriate zones; **eliminate minimum outdoor play area requirements exceeding state standards;** coordinate state and local fire inspections simultaneously; give child care providers **the same priority as public charter schools** for purchasing or leasing underutilised school district property; **eliminate state and local business taxes for child care businesses** — an estimated 400 to 500 providers paying an average \$1,925 a year, at a cost of \$350,000 to \$400,000 to the state and \$500,000 to localities; and move subsidy rate-setting from the 60th to the 75th percentile on a cost basis.

The 2026 enactments:

Public Chapter 980 — the Tennessee Child Care Red Tape Reduction Act. Sponsors Sen. Charlane Oliver (D) and Rep. Love. **Amends Title 13, Chapter 7 — local planning and zoning — and Title 71, Chapter 3.** Senate 32-0; House 88-0; signed May 19, 2026. **Effective May 19 and July 1, 2026.** Given the Title 13 amendment, this is the vehicle carrying TACIR’s zoning and inspection-coordination recommendations. **The operative text could not be retrieved and is [unconfirmed] — obtain it.** **For a multi-site operator with a Tennessee development pipeline, the zoning-by-right and inspection-sequencing provisions are potentially the highest-dollar item in the state.**

Note the politics: a Democrat led a deregulatory bill to a 32-0 / 88-0 vote. Child care is genuinely cross-partisan in Tennessee.

Public Chapter 997 — the Promising Futures Act. Lead sponsors **Sen. Bo Watson (R)** with sixteen bipartisan senators, and **Rep. Mark White (R)**. Amends Titles 4, 43, 49, 57, 67 and 71 — the Title 57 (alcoholic beverages and hemp) and Title 67 (taxes) amendments indicating **a dedicated revenue stream**, reportedly drawing on hemp and vapor product revenues. House 73-8; Senate 31-0; signed May 19, 2026. **Effective May 19, 2026 and January 1, 2027.**

The dollar amount, revenue-allocation formula, scholarship design and provider payment mechanics of PC 997 could not be verified and are [unconfirmed]. This is a new dedicated child care revenue stream turning on January 1, 2027 and it is the most consequential unknown in this profile. Obtain the chaptered text immediately.

Public Chapter 873 — youth employment. Allows a high school student **older than 16 and younger than 19 to work in a child care center outside school hours, or during school hours through a work-based learning programme.** Senate 32-0, House 94-0. **Effective July 1, 2026 — already in effect. This opens a new labor pool for afternoon and closing shifts and creates a high-school-to-career pipeline. Few operators will have moved on it.**

Public Chapter 695 — the Child Care Hosting Safe Harbor Act, creating liability protections for entities hosting child care services, effective July 1, 2026. Relevant to employer-sited or co-located models; Tyson Foods opened an employer child care facility in Humboldt in 2023 serving more than 100 children with a \$150,000 TDHS grant.

Public Chapter 1023 — TANF reporting. As introduced by **Sen. Becky Massey (R)** with thirteen senators, this would have allocated a portion of the state's TANF reserve to CCDF to support Smart Steps. **As enacted, it was narrowed to a reporting requirement** mandating annual publication of TANF and CCDF balances and expenditures. **Read this carefully: the transfer authority was stripped and replaced with transparency.** That is a partial loss for the waitlist-clearing coalition — but the mandated annual report **becomes a recurring public pressure instrument that will fuel the 2027 appropriations fight.** Tennessee has historically carried a large TANF surplus; the 2021 Tennessee Opportunity Act deployed \$182 million of it.

A correction to the record. The premise of a 2024 Tennessee franchise and excise tax credit for child care could not be substantiated and appears inaccurate. The Department of Revenue's 2024 legislative summaries contain no child care credit, and its published franchise and excise exemptions and credits page lists only the Job Tax Credit and the Qualified Production Tax Credit. **Third-party commercial sites claim a Tennessee "HB 1163" employer child care credit at 50 percent of employer contributions capped at \$1 million. These contradict the Department of Revenue's own published credit list and no primary source corroborates them. Do not build a tax position on this without a written ruling.** What is real is federal §45F.

2027 outlook

The **115th General Assembly convenes in January 2027** following November 2026 elections in which the entire House and half the Senate are on the ballot. **Governor Bill Lee is term-limited, and this is the single biggest variable** — a new governor submits the FY2027-28 budget in early 2027, and every child care funding baseline is re-openable by an incoming administration with no ownership of prior commitments. **A new TDHS commissioner is likely.**

Teed up: **Promising Futures Act implementation, with the second tranche turning on January 1, 2027** and implementation rules written in late 2026 and early 2027 — **the highest-leverage engagement window on the calendar;** Red Tape Reduction Act implementation, requiring local-government conformance and likely producing friction, clean-up legislation and possibly a local-preemption fight; waitlist clearing, now armed with the PC 1023 annual TANF and CCDF balance report; and the unexecuted TACIR recommendations, of which **the business tax exemption for child care providers is small-dollar, well-documented and has a ready-made fiscal note — a strong candidate for 2027 enactment.**

No 2026 summer study committee assignments on child care were identified [unconfirmed]; given the volume of 2026 bills, referrals are likely and the House Health, House Children & Family Affairs, Senate Health & Welfare and Senate Finance calendars should be monitored between August and October 2026.

Political map and business climate

TDHS Commissioner Clarence H. Carter; verify currency given the transition. **Glenna Jones**, Child and Adult Care Licensing Director of Field Operations, authors the provider newsletter's compliance column and is the operationally relevant licensing contact.

Legislators who actually move child care bills, derived from verified sponsorship: **Sen. Bo Watson (R)**, lead sponsor of the Promising Futures Act and the Senate's principal budget figure — **the most important single relationship**; **Rep. Mark White (R)**, House lead; **Sen. Becky Massey (R)**, lead on the TANF transfer; **Sen. Jack Johnson (R)**, Majority Leader, who sponsored the for-profit grant eligibility fix; **Sen. Ferrell Haile (R)**; and **Sen. Charlane Oliver (D)**, lead sponsor of the Red Tape Reduction Act. **Committee chairs are [unconfirmed]** and should be re-baselined in December 2026 after the elections.

Tenneseans for Quality Early Education is the dominant and most sophisticated early childhood advocacy organisation in the state, publishing an annual budget priorities and legislative hotlist, tracking bills to outcome, and running the "Clear The Child Care Waitlist" campaign. **Its 2026 agenda — red tape reduction, dedicated revenue, workforce supply — aligns closely with for-profit operator interests. A for-profit operator should be at the table with TQEE rather than opposite it.** TACIR, though a state body rather than an advocacy group, is functionally the agenda-setter for child care regulatory policy and its publication calendar should be monitored. The **Community Foundation of Middle Tennessee** administers the TDHS grants and is a funding gatekeeper worth a direct relationship.

Business climate: average worker earnings of 12,973 *ayearisthebindingconstraint.MitigantsnowavailableincludetheWAGE* cap increase, the PC 873 youth employment pathway, and the Administrator Foundations Series. **Tennessee has no state child care tax credit** but child care businesses currently pay state and local business taxes that TACIR has recommended eliminating — a live, low-cost 2027 ask. **Liability insurance market conditions are [unconfirmed].**

What to watch

1. **Obtain and analyse Public Chapter 997 before its January 1, 2027 provisions take effect.** A new dedicated revenue stream with unverified allocation and provider participation mechanics; implementation rules are being drafted now.
2. **Obtain Public Chapter 980 and audit the Tennessee development pipeline against it.** Title 13 zoning amendments effective July 1, 2026, with local governments required to conform. Quantify the carrying-cost savings on delayed openings.
3. **Model the QRIS bonus cut across the Tennessee portfolio and re-underwrite the case for three-star status.** The subsidy-side return on quality fell from 20 percent to 10 percent; the remaining justification is VPK contracting eligibility across 138 districts.
4. **Confirm the payment basis with TDHS Child Care Fiscal and request the waitlist count.** The first is material to revenue recognition; the second is the number that will drive the 2027 appropriations fight.
5. **Execute on two items already in effect and largely unexploited:** apply for child care improvement pilot grants now that PC 80 removed the nonprofit-only restriction, and build a 16-to-18-year-old staffing pipeline under PC 873.

3.11 Kentucky — 2 centers

Snapshot. The smallest state position, in the state that just completed the most consequential child care legislative cycle in its history. **HB 6 (2026)** — a Chamber-brokered, 27-sponsor omnibus — became law **without the Governor’s signature**, codifying permanent free child care for child care workers, privatising administration of the state’s employer-match programme, authorising a new “microcenter” category capped at ten statewide, mandating a cost-estimation rate model for the next federal plan cycle, and **freezing agency discretion over the quality rating system**. The regulatory posture is loosening. The money is not growing.

Licensing

Licensing sits with the Cabinet for Health and Family Services, Department for Community Based Services, Division of Child Care. Note a two-agency split worth mapping for compliance escalation: a separate **Division of Regulated Child Care** sits in the Office of Inspector General.

Core regulations 922 KAR 2:090 (center licensure) and 922 KAR 2:120 (health, safety and ratios) were **both amended effective February 13, 2025**, the most recent substantive revision cycle.

Ratios and group sizes under 922 KAR 2:120 §2(2):

Age	Ratio	Max group
Infant (0–12 mo)	1:5	10
Toddler 12–24 mo	1:6	12
Toddler 24–36 mo	1:10	20
Preschool 3–4 yr	1:12	24
Preschool 4–5 yr	1:14	28
School-age 5–7 yr	1:15	30
School-age 7+ (before/after school)	1:25	30

Maximum group size applies only to Type I centers — the nonresidential category a multi-site operator occupies. **The age of the youngest child in the group sets both ratio and group size, staff members’ own children count in ratio, and centers must maintain a written procedure to preserve ratios during transitions and breaks — a common citation vector.**

Kentucky’s 1:14 four-year-old ratio and 1:20 to 1:25 school-age ratios are relatively generous and materially favourable to unit economics.

Type I directors have eight credential pathways, running down to three years of direct experience with children in approved settings — a meaningful hiring flexibility relative to states requiring degrees. Staff with supervisory authority need six hours of orientation within three months, nine hours of early care education training in year one, and 15 annual hours thereafter. **HB 6 adds three hours a year of special-needs training for center staff effective October 1, 2026 —** budget it into FY27 training plans.

Background checks include fingerprint-based state police and FBI checks with rap-back monitoring, plus, if the applicant lived elsewhere in the prior five years, **out-of-state criminal, sex offender registry and child abuse registry checks — a real hiring-velocity drag in border markets** including Louisville, Northern Kentucky and the Tri-State. Checks must be complete **before** the person becomes a staff member, with rechecks every five years.

Enforcement direction of travel is toward provider protection. HB 6 imported the substance of SB 160 (Sen. Danny Carroll) as a Senate floor amendment, amending KRS 199.896 to set explicit factors governing when the Cabinet may issue a correction plan versus a directed plan versus suspension or revocation; **bar a single violation of a directed plan from triggering suspension** unless independently justified; give centers five business days to produce documentation on request; require weekly support contacts for preliminary-licensed centers; and **apply retroactively to pending enforcement actions**. HB 6 separately establishes informal dispute resolution for licensure deficiencies.

If any Kentucky site has a pending or recent enforcement action, the retroactivity clause is directly usable and counsel should review open matters against the new standard.

Subsidy — CCAP

Eligibility sits at the federal maximum of 85 percent of state median income, having moved from 160 percent of poverty to 200 percent in January 2022 and to 85 percent SMI in July 2022. Current monthly gross thresholds effective October 1, 2025: family of two \$4,862; three \$6,005; four \$7,149.

A transitional provision worth modelling. A child continues to receive assistance for six months after becoming income-ineligible — **but providers receive only 50 percent of the standard rate during that window**. That is a margin cliff on a defined subset of subsidy census, not a full loss.

Kentucky pays on enrollment, not attendance. 922 KAR 2:160 §17(1)(a): “Payment under the CCAP shall be made to a registered, certified, or licensed provider based on the enrollment of the child.” Kentucky adopted this in the ARPA era and has retained it — **materially favourable and ahead of the 2024 federal rule**. The policy costs roughly \$20 million a year.

Copays run on a **daily** chart by gross monthly income and household size, from \$0 to a **\$25 maximum**, set at initial application and fixed for the twelve-month eligibility period. Enrollment fees are capped at \$100 per family per year for certain cases. **Explicit certification of 7 percent cap compliance could not be located and is [unconfirmed]** — the flat-dollar structure is directionally compliant but should be verified with the Division of Child Care.

Rates are published in the DCC-300 maximum payment rate chart, **set at the 80th percentile of the state market rate survey** and increased July 2021. Maintaining the 80th percentile costs roughly \$40 million a year. **The current DCC-300 dollar rates could not be retrieved at any tested URL and are [unconfirmed]** — **this is the highest-value single missing data point for Kentucky revenue modelling**.

HB 6 mandates a major forward change: the Cabinet must request ACF approval to use a cost-estimation model rather than a market rate survey to set payment rates for the FY2028–2030 CCDF plan, incorporating provider type, hours and seasons of operation, child age range, geography and level of quality. **This is the most important medium-term rate-setting development in Kentucky.**

The fiscal context is austerity. ARPA delivered roughly \$330 million a year to Kentucky child care through September 2024. The \$130 million annual CCDBG replacement need decomposes as \$40 million for rate maintenance at the 80th percentile, \$40 million for the 85 percent SMI expansion, \$20 million for enrollment-based payment and \$30 million for child care worker eligibility. Caseload runs roughly 42,000 children. **No CCAP waiting list was documented [unconfirmed]**.

ECCAP — the distinctive Kentucky programme

The **Employee Child Care Assistance Partnership**, created by HB 499 (2022) and codified at KRS 199.885, splits cost three ways between employee, employer and state. The Cabinet’s own example: an employer contributes \$400 a month toward a \$1,200 cost; **the state matches the employer’s \$400**; the employee pays the remaining \$400. **The employer’s dollar buys two dollars of tuition relief.**

The state match runs up to 100 percent for households at or below state median income, declining by 10 percent per 20-percent income increment above 100 percent, with a **50 percent floor**.

Critically, ECCAP is a middle-income programme. Household income must be **at or above 85 percent SMI** — below that, the employee is referred to CCAP instead, and the two are mutually exclusive.

The provider requirement is mandatory All STARS participation. A non-rated provider disqualifies the employer from the match. **Kentucky centers must be All STARS-enrolled to be an eligible destination for ECCAP dollars.**

Deadlines: new employer applications by **May 17 annually**; existing employer renewals by **April 2**. The fiscal year runs July 1 to June 30. **The state match is expressly not taxable compensation to the employee** — a strong selling point.

The funding is small: \$2 million in matching funds appropriated for FY2026, first-come, first-served by contract processing order, with **25 percent reserved for small business employers** and an administrative carve-out rising to 10 percent from FY2026-27.

Three distinct plays exist for a multi-site operator. As an **employer**, enroll the Kentucky corporate entity and contribute toward staff child care at own centers — though most center staff fall below 85 percent SMI and route to CCAP instead, so this targets directors and regional managers. As a **provider and destination**, ensure every Kentucky site is All STARS-enrolled and market ECCAP eligibility to large local employers as a reason to steer their workforce — a differentiated enrollment funnel non-rated competitors cannot offer. And **stack with federal \$45F**: employer contributions can claim the federal credit at 40 or 50 percent *while also* receiving the ECCAP state match, a genuine double benefit, with the 2025 federal law expanding qualified expenses to include intermediary service providers and technology platforms.

HB 6 requires the Cabinet to contract with a private third-party administrator by December 1, 2026 to handle applications, eligibility verification, fund distribution and reporting, with the stated intent of making ECCAP easier for employers and providers to use — current uptake has been constrained by portal friction. **That procurement is an open, near-term influence point, and the appropriation level is the binding constraint worth lobbying.** At \$2 million with a 25 percent small-business set-aside and a 10 percent administrative haircut, the programme cannot scale to a large employer's workforce.

The child care workforce provision — now permanent

This is Kentucky's single strongest recruitment tool, and HB 6 moved it from budget-contingent policy into statute.

Under 922 KAR 2:160 §4(4), an employee of a licensed center working 20 or more hours a week is **automatically eligible for CCAP for their own children regardless of household income**. It operates as an income disregard rather than a separate programme, so most families qualify at the \$0 copay tier.

HB 6 §9 codifies this at new KRS 199.889, extending it to microcenter employees. **3,200 or more child care workers and 5,600 of their children benefited in the first year**, at an annual cost of roughly \$30 million.

The qualifier "to the extent funds are available" survives codification. Codification does not appropriate, and the FY27-28 budget did not increase child care funding — verify with the Division of Child Care that the trigger has not been throttled in FY27.

This is worth several thousand dollars a year in effective compensation to a Kentucky teacher with young children, at zero employer cost. It should be a headline item in every Kentucky job posting and offer letter.

State pre-K and All STARS

The Kentucky Preschool Program, under 704 KAR 3:410, serves four-year-olds approved for free lunch — roughly 130 percent of poverty, a narrow threshold — plus all age-eligible three- and four-year-olds with disabilities regardless of income, with a space-available paid-seat pathway for others. Approximately **\$170 million over the FY27-28 biennium**, but **frozen at 2019 levels through 2028** in real programme terms.

Access is weak and declining. Kentucky serves 26 percent of four-year-olds and 8 percent of three-year-olds, with enrollment falling by roughly 900 children year over year. It meets eight of ten NIEER quality benchmarks — strong quality, poor access — and lags Georgia, West Virginia, Florida and Alabama, all of which use mixed-delivery models.

704 KAR 3:410 expressly authorises districts to contract with private preschool programmes, subject to the programme being separately incorporated from any religious institution, having a nonsectarian board, maintaining separate finances and paying reasonable rent, and offering a non-religious curriculum. **A secular for-profit operator clears these tests trivially. This is a live and under-exploited channel**, and the Prichard Committee is actively campaigning for coordinated mixed-delivery expansion. Pursue district-level contracts, particularly in Louisville/Jefferson, Lexington/Fayette and Northern Kentucky.

Kentucky All STARS runs five levels across four domains totalling 50 points, with levels 3 and above requiring nationally standardised environment rating scale observation. **Participation is mandatory for any provider receiving public funds — and since both CCAP and ECCAP constitute public funds, serving any subsidy child places a center in All STARS.**

The rate tie is a **monthly per-child add-on for CCAP children: \$25 to \$45 a month for Type I centers serving children under three at Levels 3 to 5, and \$23 to \$43 for age three and above**, plus initial achievement awards of \$250 to \$5,000. **Moving from Level 3 to Level 5 is worth roughly \$240 to \$264 per child per year — meaningful but not transformative. The stronger argument for Level 5 is ECCAP eligibility and preschool contracting credibility.**

HB 6 puts All STARS under legislative control, requiring a comprehensive modernisation plan by **October 1, 2026**, final recommendations by December 1, 2027, and **prohibiting the Cabinet from making administrative changes without express General Assembly authorisation** except as required for federal compliance. **This is a significant governance shift: the current framework is stable through at least late 2027, and the modernisation plan process in autumn 2026 is an open comment and influence window.**

HB 6 and the budget

HB 6, Acts Ch. 146, sponsored by **Rep. Samara Heavrin (R)**, chair of House Families & Children, with 26 co-sponsors including **Speaker David Osborne and Speaker Pro Tem David Meade** — an unusually strong leadership signal. House 84-11 on February 17; Senate 36-1 on March 31; **became law without the Governor's signature on April 14, 2026.**

Enacted provisions beyond those already described: **child-care microcenters**, a new category for 4 to 24 children in nonresidential settings, open only to applicants with **three or more years of licensing experience in good standing, capped at ten statewide with a maximum of two per county**, with regulations due July 1, 2027 and applications accepted from that date, targeted at **third-shift and drop-in care**; expansion of the Child Care Advisory Council from 18 to 34 members adding private sector and economic expertise; **monthly supply reporting** from December 1, 2026 and **real capacity tracking** from July 1, 2027; an expanded Certified Child Care Community Designation Program; on-premises access for diagnosticians and therapists supporting IFSPs and IEPs; and a **kindergarten readiness pilot** at the University of Kentucky providing **\$2,000 incentive payments or refundable tax credits** to providers and parents on kindergarten-readiness achievement, operating August 2027 to July 2029.

HJR 50 — child care regulatory review — was vetoed and overridden. It directs the Auditor of Public Accounts to hire a vendor for a comprehensive study of statutes, regulations and agency policies affecting the establishment and operation of licensed child care, reporting to the Legislative Research Commission by **December 1, 2027**. House 98-0 and Senate 37-0, vetoed April 13, overridden April 14. **Note the politics: a resolution passing unanimously in both chambers was still vetoed and overridden — the veto was almost certainly about executive-branch prerogative, not child care policy. This is the deregulatory vehicle to watch, and its December 2027 report will drive the 2028 session.**

The FY2027–2028 budget, HB 500, Acts Ch. 168, was line-item vetoed April 13 and **overridden April 14** — \$15.6 billion General Fund with governmental expenditures reduced seven percent. **Child care was held flat: preserved but not meaningfully increased.**

One warning signal deserves attention. The House Committee Substitute stage **eliminated four CCAP line items totalling \$46.5 million in FY2026** — funds that had supported provider rate improvements, assistance for families transitioning above income limits, and child care support for care workers — plus reductions to CCAP subsidies and ECCAP. Independent analysts noted the budget “makes no mention of over \$40 million a year that was included in the last budget to help maintain reimbursement rates.”

Whether the roughly \$40 million annual rate-maintenance appropriation survived the free conference committee determines whether the 80th-percentile rate floor holds through FY28. Final enacted line items for CCAP, ECCAP and the child care worker subsidy could not be retrieved and are [unconfirmed]. Pull the Cabinet section of HB 500 or request the Legislative Research Commission budget memorandum.

2027 outlook

The 2027 Regular Session is an **odd-year, 30-legislative-day session convening approximately January 5, 2027** and adjourning no later than March 30. Odd-year sessions require a three-fifths supermajority to raise revenue and write no biennial budget — **2027 is a policy session, not a money session.**

Governor Beshear is term-limited and the 2027 gubernatorial race is the dominant variable. As the Prichard Committee frames it: “The next state budget will reflect the priorities of the next governor.” **Every 2027 child care fight is really positioning for the 2028 biennial budget,** and child care should be expected to feature in the gubernatorial primaries as an economic and workforce issue — the Chamber has spent two years building exactly that frame.

2027 is a regulatory implementation year rather than a legislative-change year. The dense deadline calendar — the All STARS modernisation plan (October 1, 2026), the ECCAP administrator contract (December 1, 2026), monthly supply reporting (December 1, 2026), microcenter regulations (July 1, 2027), the Auditor’s regulatory review (December 1, 2027) — means **the real value of 2027 is influence over rulemaking, and the real legislative action is 2028.**

Political map

Governor Andy Beshear (D) faces Republican supermajorities in both chambers, and because Kentucky requires only a constitutional majority to override, overrides are routine. **CHFS Secretary Dr. Steven Stack, MD,** appointed May 2025, is a clinician-technocrat rather than a human-services careerist — relevant to how the Cabinet will approach the All STARS redesign and licensing posture. **The DCBS Commissioner and Division of Child Care director names are [unconfirmed]; the Division of Child Care director is the single most important agency relationship** and should be identified directly.

Rep. Samara Heavrin (R), Chair of House Families & Children and prime sponsor of both HB 6 and HJR 50, is the most important child care legislator in Kentucky. **Sen. Danny Carroll (R, District 2)** is the Senate’s substantive expert — **a former child care operator by background** — and sponsored both SB 160 and SB 191. **Rep. Jason Petrie (R),** Chair of House

Appropriations & Revenue, is the fiscal gatekeeper; House A&R is where both SB 160 and SB 191 died as standalone bills. The **Interim Joint Committee on Families and Children** is the statutorily designated recipient of both the HJR 50 report and the pilot's annual reports, and is the venue for interim work.

The Kentucky Chamber of Commerce is the dominant force, and unusually so for a business federation. It convened the **Kentucky Collaborative on Child Care** in June 2024 with more than 40 stakeholders, producing "*A Foundation for Action*" — 37 recommendations across improving child care data, supporting affordability, **strengthening provider business models through regulatory relief**, and engaging employers and communities. Its economics: 16,000 to 28,000 additional parents could enter or rejoin the workforce, generating \$599 million to \$1.1 billion in new wages and tax revenue. **HB 6 is essentially the Collaborative's agenda enacted. The Chamber is the natural coalition home, and joining the Collaborative is the highest-leverage single move available in Kentucky.** Also relevant: Kentucky Youth Advocates; the Prichard Committee, the sharpest independent budget analyst on early childhood and the leading voice for **mixed-delivery preschool expansion**; and the Kentucky Center for Economic Policy.

Business climate and what to watch

Kentucky has no state minimum wage above the federal \$7.25 — wage floor pressure is market-driven. Early Childhood Development Scholarships provide up to \$6,751 a semester for eligible workers pursuing credentials, and three registered apprenticeship pathways exist with progressive wage increases and mentor stipends. **The 3-years-experience director pathway is a real advantage over states requiring degrees.**

Kentucky has no employer child care tax credit; ECCAP is the state vehicle, structured as a cash matching grant rather than a credit — better for cash flow, since funds flow directly to the provider rather than being deferred to tax filing.

One under-scoped compliance exposure: Kentucky's county and city occupational license taxes on payroll are a real and often-overlooked multi-jurisdiction burden, levied at differing rates by Louisville Metro, Lexington-Fayette and Northern Kentucky counties. Scope this by site with tax counsel. **Zoning, liability and sales and property tax treatment are [unconfirmed].**

What to watch:

1. **The ECCAP third-party administrator procurement, due December 1, 2026 — four months out.** It determines how usable ECCAP is for years, and the administrative carve-out just tripled. Engage through the Chamber's Collaborative, which has publicly committed to strengthening ECCAP, and press for an appropriation above \$2 million.
2. **Confirm the CCAP rate appropriation survived HB 500, and obtain the current DCC-300.** Whether the roughly \$40 million annual rate-maintenance money is in the enacted act determines Kentucky subsidy revenue through FY28.
3. **The All STARS modernisation plan, due October 1, 2026 — two months out.** HB 6 froze agency discretion, so the redesign runs through the legislature. Get on the stakeholder list before the plan is filed.
4. **Microcenter regulations, July 1, 2027 — and the cap is the story.** Only ten statewide, maximum two per county, restricted to applicants with three or more years of licensing experience in good standing — **which describes an established operator and excludes most new entrants.** Two decisions follow: whether to claim one or two of the ten slots as a pilot for non-traditional-hours capacity, and whether to lobby for cap expansion once the concept proves out. First-mover advantage here is unusually literal.
5. **The 2027 governor's race and the HJR 50 Auditor review.** The review lands December 1, 2027 at the Interim Joint Committee and is the designated deregulatory vehicle; **submit operator-side evidence on licensing, zoning and inspection burden to that study**, and build relationships with gubernatorial campaigns in both primaries around the Chamber's workforce framing.

Part IV — Cross-Cutting Themes

Eleven state profiles produce a great deal of detail. Six patterns run across all of them, and they are what a portfolio-level view adds to a state-level one.

4.1 The federal floor is gone and the consequences are now local

For two years the sector planned against a single federal standard. That standard disappeared on July 13, 2026, and what replaced it is eleven separate policy environments in which the same four questions — copay ceiling, payment basis, payment timing, and whether direct-service contracts exist — now have eleven independent answers that can change without legislation.

The practical consequences are three.

Monitoring cost has risen and monitoring cadence has to change. State agencies signalled in the rulemaking record that they wanted this flexibility. Changes will therefore arrive through policy transmittals, provider agreements and CCDF state plan amendments rather than through bills — instruments with far shorter notice periods and no committee hearings. Texas’s Chapter 809 package and Florida’s Rule 6M-4.500 amendment are both examples of consequential change moving through rulemaking while nothing appeared on a legislative calendar.

Fiscal condition predicts behaviour better than political lean. The two documented reversions to date — Missouri pausing prospective payment, Washington defunding enrollment-based payment — are budget decisions, not ideological ones. Within the footprint, the states with the sharpest fiscal pressure are Arkansas (a cliff eight weeks out), Oklahoma (17 percent of its agency ask funded), Arizona (a \$1.45 billion three-year tax cut ahead of an eroding revenue base) and North Carolina (a legislature on record preferring cost reductions to new funding). Those are the four to watch on payment terms, regardless of who wins in November.

One federal protection survives and is worth invoking. At redesignated 45 CFR 98.45(m)(4), lead agencies must still ensure providers receive payment under a written payment agreement specifying rates, payment schedules, any fees charged to providers, and a dispute resolution process. Where a state moves to attendance-based or arrears payment, that agreement is the contractual anchor and the dispute-resolution clause is the mechanism.

4.2 The rate-staleness gap is the strongest available argument, and it is fully sourced

Six of eleven states are setting reimbursement against benchmarks that predate a period of substantial wage inflation — Alabama by nine years, Kentucky by five, Arizona by four, Virginia by nearly four, Oklahoma by three and a half, North Carolina by three.

In four of those states the evidentiary predicate for an increase already exists, in a state-commissioned or state-published document:

- **Arizona** published a 2024 market rate survey and continues to pay on the 2022 one.

- **Alabama's** own 2024 cost study, conducted by the Department of Human Resources with Alabama State University, documents an average \$24-per-week-per-child shortfall and concludes "almost all child care rates were higher than the reimbursement rate."
- **Virginia** enacted a statutory biennial re-benchmarking mechanism in 2026 that has not yet produced numbers, against re-benchmarked cost-per-slot assumptions the state itself published.
- **North Carolina's** own division director told legislators the current funding model wrongly assumes parents can afford quality care and that rates cover less than half the true cost.

The paired comparison that carries furthest is wage floor against public rate. **Florida is the cleanest: the state minimum wage rises 25 percent between September 2022 and September 2026 while the VPK base student allocation moves from \$3,029 to \$3,029.** Arizona and Virginia produce the same shape with different numbers. In the eight federal-floor states the argument runs on market wages rather than statutory ones, but the arithmetic is the same.

Two methodological shifts are worth more than any single rate increase, because they change how rates are set rather than what they are this year: the cost-estimation provision in the federal Child Care Modernization Act, and the state-level equivalents already in motion — Virginia's enacted re-benchmarking, Kentucky's HB 6 mandate to request ACF approval for a cost model for the FFY2028–2030 plan, and Georgia's Georgia Policy Labs cost survey now in the field. **Participation in the Georgia cost survey is a concrete, time-limited action item: cost-based methodologies systematically produce higher benchmarks than price surveys, and the sample is being assembled now.**

4.3 Mixed-delivery pre-K is where the money is, and it is unevenly harvested

Across the eleven states, publicly funded pre-K delivered through private providers is the largest identifiable revenue opportunity, and the portfolio's exposure to it is highly uneven.

Where the position is already strong: **Georgia**, where roughly half of a \$594 million programme runs through private and community providers, and **Florida**, where private providers are 77 percent of the VPK delivery system.

Where the position is weak relative to the opportunity:

- **Alabama.** Grants of \$84,804 to \$97,908 per classroom plus up to \$125,000 setup, in a programme that has met ten of ten national quality benchmarks for twenty consecutive years, with 4,100 children waitlisted across twenty priority counties and 229 classrooms needed. The stated barriers — classroom space, transportation, wraparound care, workforce — describe exactly what an established multi-site operator already has. **The number required to size this is not published and is obtainable by telephone.**
- **Virginia.** The Mixed Delivery Grant Program is explicitly reserved for licensed non-faith-based private settings, uses a cost-of-quality payment model, contracts rather than vouchers, is re-benchmarked at \$19,441 a slot against \$6,763 for the school-based programme, and runs at roughly twice oversubscription with a 1,423-family waitlist. **Seven centers is a small position in the state with the best-priced public revenue stream in the portfolio.**
- **Kentucky.** Regulation expressly authorises district contracts with private preschools; a secular for-profit operator clears the sectarian tests trivially; Kentucky serves 26 percent of four-year-olds and lags every mixed-delivery neighbour.
- **Oklahoma.** The unusual case — district pre-K enrollment is *falling*, with the national research body attributing part of the decline to children remaining in child care centers. Roughly 3,500 four-year-olds a year have left the district pipeline since 2019.

Two counterweights belong in any pursuit model. **First, the cost structure.** Every mixed-delivery programme imposes tighter ratios and higher credentials on the funded classroom than the licensing baseline — Alabama at 1:10 with a bachelor's-degree lead teacher against 1:18 licensing; Georgia at 1:10 with K-12 salary parity against 1:18; Arkansas at 1:10 with one degree-holder per three classrooms against 1:15. The result is a two-tier internal labor market inside the same building, and it is the single most common reason mixed-delivery pro formas underperform. **Second, Arkansas demonstrates that the arithmetic can simply fail:** \$5,105 per child per year with a 40 percent match obligation and a 15 percent administrative cap is thin-to-loss-leading absent a strong in-kind match strategy.

4.4 Quality ratings have decoupled from money in three states, and the decision that follows is deliberate

Quality rating systems were designed to link investment in quality to revenue. In three states in the footprint that link has been cut or is being cut, and the strategic response is not obvious.

- **Tennessee cut it.** The January 2026 restructuring raised base rates ten percent and cut the quality bonus from 15/20 percent to 5/10 percent, producing a net 0.8 percent increase for a top-scoring provider and a full ten percent for a provider with no rating at all.
- **Arkansas collapsed it.** Levels 3–4 now pay identically, as do 5–6, leaving only two rate-relevant advancement steps out of four.
- **North Carolina is studying it.** SL 2025-36 directed a plan to decouple star ratings from reimbursement entirely, due May 1, 2026, in the largest state position in the portfolio.

Where the link remains steep, it is very steep: **Oklahoma's two-star to three-star step raises the infant daily rate 67 percent, and Arizona's 40 percent quality differential is worth \$25.66 a day per subsidised infant.**

The correct posture is now state-specific rather than portfolio-wide, and in several states the business case for a top rating has shifted from subsidy revenue to market access. In Tennessee, three-star status is the hard prerequisite for Voluntary Pre-K contracting across 138 districts; the subsidy bonus no longer justifies it. In Kentucky, All STARS participation is the gate on ECCAP eligibility rather than a meaningful rate premium. In Alabama, Quality STARS gates both state tax credits, which are worth more than the subsidy tiering. In Texas, Texas Rising Star gates the property tax exemption as well as the rate enhancement.

Two efficiency opportunities are worth testing. North Carolina's Pathway 3 recognises accreditation and Head Start status, potentially allowing star maintenance on existing national accreditation without the full environment rating scale burden. Oklahoma exempts accredited programmes from partial reviews absent serious non-compliance. In both cases, accreditation already held may be substitutable for assessment burden.

4.5 The employer channel is the one clearly expanding revenue line

Everything else in this report describes a public funding environment that is flat, contracting or contested. The employer-partnership channel is the exception, and the reason is federal tax law rather than appropriations.

The 2025 reconciliation law raised the Section 45F credit from 25 percent to **40 percent generally and 50 percent for eligible small businesses**, raised the annual cap from \$150,000 to **\$500,000 and \$600,000**, and — structurally most important — **for the first time permits a qualified facility to be jointly owned or operated by the taxpayer and other persons**. Before 2026, a shared near-site center serving a consortium of mid-size employers in one office park or hospital campus did not qualify. It now does.

Five states in the footprint layer state programmes on top:

State	Programme	Character
Georgia	\$48-7-40.6 (75% of operating cost; 100% of property over 10 years) plus HB 136's per-child credit	Strongest stack in the portfolio; \$48-7-40.6 is the consortium play, HB 136 the tuition-benefit play
Alabama	Employer credit at 100%/75% of eligible expenses, \$600,000 per employer, statewide cap rising to \$20M in 2027	Requires DHR licensure and Quality STARS participation
Kentucky	ECCAP — a cash matching grant paid directly to the provider , not a credit	Better for cash flow; stacks with \$45F; state match not taxable to the employee
Virginia	Employee Child Care Assistance Program, enacted May 2026, \$25M pilot	Small-business priority; provider-side participation mechanics [unconfirmed]
Florida	Multi-tax credit including employer payments to a facility on behalf of an employee	First-come, first-served; annual cap [unconfirmed]

Three practical notes. Treasury and IRS guidance on the \$45F pooled-facility allocation methodology has not issued, so consortium structures should not be papered without tax counsel. Several state programmes are first-come, first-served against small pools — Alabama's facility credit runs against a \$5 million statewide cap with a January reservation window, and Kentucky's ECCAP against \$2 million with a 25 percent small-business set-aside — so **timing is as important as eligibility**. And in two states the channel is specifically insulated from what is going wrong elsewhere: **Arizona, where a B2B employer channel sidesteps a 13,500-child subsidy waitlist entirely**, and Kentucky, where ECCAP is a middle-income programme sitting above the subsidy population.

4.6 Zoning and siting is the unaddressed policy space — and three states have already opened the door

Across all eleven states, child care siting is essentially a local matter, and in most of them no state-level preemption or by-right provision exists. That is a live constraint on any development pipeline, and it is the area where state-level policy is least developed.

But the door has opened in three states in the last twelve months, in each case through a document already on the public record:

- **Tennessee's Public Chapter 980 amends Title 13, Chapter 7 — local planning and zoning — and carries the state advisory commission's recommendations to align child care zoning with schools and churches, eliminate special appeals for centers in appropriate zones, and cap outdoor play area requirements at state standards.** The operative text has not been obtained.
- **Virginia's Commission on Early Childhood Care and Education recommended, on the record, reducing "bureaucratic barriers to provider entry and expansion, including zoning and licensing simplifications."** That is an existing state endorsement to cite rather than an argument to make.

- **Arkansas’s United WE / University of Arkansas report recommends modernising zoning to permit child care in residential areas and establishing “Child Care Zones.”** It is foundation-backed, bipartisan-framed and ready for a 2027 sponsor.

North Carolina’s Licensed Childcare Licensure Workgroup on conflicts among building, fire and sanitation codes, and Kentucky’s HJR 50 Auditor review — which explicitly covers statutes, regulations and agency policies affecting the establishment and operation of child care — are the two other open vehicles.

Georgia is the notable absence. No state-level zoning provision was identified in either the 2025 or 2026 sessions, in the state with the second-largest position in the portfolio. SB 554’s capital-grant framing is the natural vehicle to attach one to in 2027.

Part V — Monitoring Calendar

5.1 The next ninety days

By	Item	State
This week	Confirm the 8VAC20-781 effective date, grace period and whether existing variances expire	Virginia
August 2026	ADHS 24-hour annual training compliance deadline — audit records at all 30 sites	Arizona
August 2026	Read current Rule 6M-4.500 and obtain the July 31 CCDF plan amendment to confirm payment basis	Florida
August 2026	Resolve payment basis with DECAL, DCDEE and TDHS — 159 centers across the three	GA, NC, TN
August–September	Establish direct contact with the Office of Early Childhood ahead of the September 30 funding cliff ; model a 10–20% rate reduction	Arkansas
August 25, 2026	Republican gubernatorial runoff — engage both campaigns	Oklahoma
August recess	Congressional center visits, including the districts of the House Labor-HHS and House Appropriations chairs	AL, OK, all
September 2026	Model the county-by-county rate floor impact ahead of October 1	North Carolina
September 30, 2026	Minimum wage steps to \$15.00 — final Amendment 2 step	Florida
September 30, 2026	Federal FY2027 appropriations deadline; CR into the lame duck is the base case	Federal
October 1, 2026	Statewide subsidy rate floor takes effect	North Carolina
October 1, 2026	All STARS modernisation plan filed — get on the stakeholder list first	Kentucky
October 1, 2026	ECCE Commission annual report — shape it before it files	Virginia
Ongoing	ACF guidance terminating CCDF transitional waivers — the highest-value single federal item	Federal

5.2 October 2026 through March 2027

By	Item	State
Autumn 2026	Florida interim committee weeks begin — obtain the calendar the day it posts	Florida

By	Item	State
Autumn 2026	Tennessee summer study referrals; monitor four committee calendars	Tennessee
Autumn 2026	Arizona FY2028 agency budget requests — press for a 2024 survey rate rebase	Arizona
Autumn 2026	Begin coalition-building on the tax credit sunset before the new governor's first budget locks	Alabama
November 3, 2026	Gubernatorial elections in nine states; two ESA ballot measures	AZ + 8
December 1, 2026	Governor's Task Force on Early Childhood report — frames the 2027 session	Texas
December 1, 2026	ECCAP third-party administrator must be under contract	Kentucky
December 1, 2026	Monthly child care supply reporting begins	Kentucky
December 2026	Re-baseline the political map: new governors, likely new agency heads, reset committees	All
January 5, 2027	Alabama tax credit reservation window opens — first-come, first-served, largest pools ever, last under current law	Alabama
January 2027	Sessions convene: KY (Jan 5), GA, NC, TX, VA, TN, AR (Jan 11), AZ (Jan 11)	8 states
January 1, 2027	Promising Futures Act second tranche takes effect	Tennessee
January 1, 2027	Minimum wage steps to \$13.75	Virginia
February 1, 2027	Oklahoma Legislature convenes [unconfirmed date]	Oklahoma
March 2, 2027	Florida and Alabama sessions convene; Florida bill filing deadline noon	FL, AL

5.3 Standing items through 2027

Item	Why it matters
FFY2028–2030 CCDF State Plans, likely due ~July 1, 2027	The formal comment window on payment practices, rates and copays in all eleven states at once . Planning should begin Q4 2026
CCDBG reauthorization — S. 2828 / H.R. 9224	The cost-estimation rate-setting provision is worth more than any appropriations increase on the table. A HELP markup is the signal
Head Start wage and benefits rescission final rule	Comments closed June 11, 2026; a final rule is expected within two to six months
Treasury/IRS §45F guidance on pooled-facility allocation	Gates consortium employer structures
Texas 40 TAC Chapter 809 final rule	Determines whether Texas retains enrollment-based prospective payment
North Carolina QRIS decoupling plan	Largest quality-related revenue risk in the portfolio

Item	Why it matters
Kentucky microcenter regulations, July 1, 2027	Ten statewide, two per county, restricted to experienced operators — literal first-mover advantage
Kentucky HJR 50 Auditor review, December 1, 2027	The designated deregulatory vehicle; submit operator-side evidence
Tennessee PC 997 implementation rules	A new dedicated revenue stream whose mechanics are unknown
Georgia DECAL cost survey	Resets the CAPS rate benchmark; sample being assembled now

Appendix — Confidence, Gaps and Method

A.1 Method

Research was conducted on August 3, 2026 using live web search and direct document retrieval. Primary and authoritative sources were preferred throughout: state administrative codes and licensing rulebooks; legislative bill records and enacted session laws; enacted appropriations acts; agency policy manuals, rate schedules and CCDF state plans; the Federal Register and govinfo bill status data; statutory reports to legislatures; and the National Institute for Early Education Research state profiles. Secondary corroboration came from state policy institutes, advocacy organisation trackers and state-capitol news outlets, and is identified as such in the text.

Nothing time-sensitive in this report is drawn from general knowledge.

A.2 How to read the confidence marks

High confidence items are verified against a primary or authoritative source with a date. These include: the 2026 CCDF final rule and all four rescissions, with citation and effective date; FY2026 enacted federal appropriations; the 2025 federal tax changes to §45F, §21 and §129; every state’s licensing ratio table; the 2025 and 2026 legislative outcomes in each state, with bill numbers, sponsors, vote margins and effective dates; enacted state appropriations figures; published reimbursement rate tables and their effective dates; quality rating structures and rate differentials; the 2026 primary and runoff results; and named agency and legislative leadership where verified on an official page.

Items marked [unconfirmed] could not be verified from an accessible source during research. They are marked rather than estimated because a flagged gap supports better decisions than a confident guess. **Every such item in this report is closable** — most by a records request, a provider-portal login, or a single telephone call.

A.3 Consolidated open items, by priority

Tier 1 — resolve within thirty days

Item	State	Route
Subsidy payment basis post-rescission — enrollment or attendance, and payment timing	Georgia, North Carolina, Tennessee (159 centers)	DECAL CAPS Policy Manual §00-12; DCDEE; TDHS Child Care Fiscal 1-800-362-8004
8VAC20-781 effective date, grace period, and variance expiry	Virginia	VDOE Office of Child Care Health and Safety
Successor funding for School Readiness Assistance after September 30	Arkansas	Deputy Commissioner Stacy Smith; Early Childhood Commission agendas
Whether Florida abandoned enrollment-based and prospective payment	Florida	Current Rule 6M-4.500 text; the July 31, 2026 CCDF plan amendment
North Carolina QRIS decoupling plan, due May 1, 2026	North Carolina	DCDEE or the Joint Legislative Oversight Committee on HHS
Public Chapter 997 and Public Chapter 980 operative text	Tennessee	Secretary of State; both blocked automated retrieval

Item	State	Route
Texas 40 TAC Chapter 809 proposed rule redline	Texas	TWC

Tier 2 — resolve within ninety days

Item	State
Current reimbursement rate tables by zone, age and star level	Georgia, Arkansas, Kentucky (DCC-300), Texas (by board)
Appendix GG ratios and maximum group sizes	Oklahoma
Maximum group sizes	Texas
First Class Pre-K classroom count by auspice — how many are in private centers	Alabama
Tax credit uptake versus cap for 2025 and 2026	Alabama
Child care tax credit annual cap and remaining allocation	Florida
Better Beginnings level 4, 5 and 6 published requirements	Arkansas
Current four- and five-star Reaching for the Stars criteria	Oklahoma
FY27 Mixed Delivery funding, slot count and per-slot rates by age	Virginia
The pre-K collaboration contracting pathway and per-pupil pass-through	Oklahoma
Enacted FY27/FY28 line items for CCAP, ECCAP and the worker subsidy	Kentucky
Whether the 7 percent copay cap was adopted	Arkansas
Waitlist size	Tennessee, Oklahoma

Tier 3 — standing intelligence gaps

Item	Scope
Inspection frequency and enforcement trend data	Not published in accessible form in any of the eleven states. A records request in the four largest — NC, GA, AZ, TX — would materially improve compliance risk assessment
Liability insurance market conditions and premium trends	Not resolvable from public policy sources in any state; requires broker-side inquiry. Note that North Carolina funded a \$350,000 feasibility study, Georgia saw a mandate bill filed, and Arkansas's licensing report elevated insurance to a top-six recommendation — the issue is live in at least three states
State and local zoning treatment of child care facilities	Local in all eleven states; no comprehensive picture exists
Committee chairs with child care jurisdiction	Unconfirmed in most states, and resetting in January 2027 in any case
Federal: Senate FY2027 Labor-HHS status; ACF waiver-termination guidance; Office of Head Start director; Treasury §45F guidance; FFY2028–2030 plan due date	Federal

A.4 Independent verification pass

Twelve of the report's highest-stakes claims were re-verified against primary sources on a separate research pass, with the explicit brief of trying to falsify them. The following were confirmed exactly: the 2026 CCDF final rule's citation, type, publication date, effective date and RIN; the scope of all four rescissions and the retained payment-agreement requirement at 45 CFR 98.45(m)(4); the Head Start document's status as a proposed rule and the absence of any final rule affecting 45 CFR 1302 published on or after May 13, 2026; FY2026 enacted CCDBG and Head Start levels against the Administration for Children and Families' own enacted-column table, and Public Law 119-75 dated February 3, 2026; the Section 45F amendments against IRS guidance; the CACFP rate notice; the four brand locator counts used in this report; and every element of Alabama's Childcare Facility Tax Credit.

The pass produced one date correction and three sourcing caveats, all of which have been incorporated:

- **Oklahoma HB 4298 was approved by the Governor on May 12, 2026, not May 28**, and carries an emergency clause added in Senate committee on April 20 — which in Oklahoma makes an act effective on approval rather than the following July 1. The profile now reflects this and flags the effective date for confirmation against the enrolled text.
- **North Carolina's rate-floor provision, its October 1 effective date and the \$97 million figure** rest on contemporaneous reporting rather than retrieved session-law text; the enacted act's health and human services special provisions could not be reached. Confirm against the Fiscal Research Division money report.
- **Florida's VPK allocation figures** were read from the enrolled text of the extended-session appropriations bill; the regular-session act died in conference, so the chapter number and approval date should be confirmed alongside the line items.
- **Section 45F wording** now follows the Internal Revenue Service's own formulation — a qualified facility may be “jointly owned or operated by the taxpayer and other persons” — and notes that the caps are inflation-indexed rather than flat.

One apparent contradiction resolved in the report's favour. A bill-tracking service captions Georgia HB 136 (2025) as a foster-child-support-organisation credit bill, and the published Georgia Code still shows the dependent care credit at 30 percent. Both are artefacts: HB 136 passed **by substitute** in both chambers, and the available code snapshot predates the amendment. The Lieutenant Governor's own press release on the signing confirms the 50 percent match, the \$250-per-child credit and the \$1,000/\$500 employer credit as described in this report.

A.5 Three corrections to circulate internally

Three claims in wide circulation are inaccurate and should not be relied upon.

1. **There is no Arkansas “Act 1435” employer child care tax credit.** A commercial vendor site markets one with a \$15 million annual cap, a 30 percent credit rate and a \$500,000 per-employer cap, described as active for the 2026 programme year. **Arkansas HB1435 died in House committee at sine die on May 5, 2025 and was never assigned an act number.** The same page attributes oversight to an agency that has not held the portfolio since 2023.
2. **There is no Tennessee employer child care tax credit.** Third-party sites claim a “HB 1163” credit at 50 percent of employer contributions capped at \$1 million per employer. **The Tennessee Department of Revenue's published franchise and excise credit list contains no child care credit**, listing only the Job Tax Credit and the Qualified Production Tax Credit.
3. **Florida child care licensing did not move to the Department of Education.** Licensing has remained with the Department of Children and Families throughout the 2021–23 restructuring, which moved only the Office of Early Learning. **Four counties — Broward, Palm Beach, Pinellas and Sarasota — operate their own local licensing agencies.**

Two further corrections to common planning assumptions: **the Alabama Legislature convenes in March 2027, not January**, under the four-year-term rotation; and **Virginia holds no House of Delegates elections in November 2026** — Virginia holds them in odd years, and the next is November 2027.

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